
UNIT 1 INTRODUCTION TO BUYING AND MERCHANDISING

Structure

- 1.0 Objectives
- 1.1 Introduction
- 1.2 Merchandise Management
- 1.3 Principles of Merchandising
- 1.4 Merchandise Planning Process
- 1.5 Merchandising Strategy
- 1.6 Merchandise Mix
- 1.7 Let Us Sum Up
- 1.8 Key Words
- 1.9 Answers to Check Your Progress
- 1.10 Terminal Questions

1.0 OBJECTIVES

After studying this unit, you should be able to:

- explain the meaning of merchandising;
- describe the principles of merchandising;
- explain the merchandise planning process;
- discuss the merchandising strategy, and
- describe merchandise mix.

1.1 INTRODUCTION

Merchandising is the process of making products in Retail outlets available to consumers, by stocking and displaying them on shelves. It may be called as the heart of the retailing. For a successful venture, it is necessary to identify the needs and wants of the customers in a proper way so that the correct merchandise is purchased at a right time and the business does not incur loss and at the same time, it does not lose its customer.

Merchandise Management involves planning, acquisition, handling and control of the merchandise so that the sales and profits of a category can be maximised. It is a coordinated process and involves buying, sourcing, merchandising, and sales. In order to keep the buying process straight, items are grouped into categories. In this unit, you will learn about the merchandise management in the retail business. You will further learn the principles of merchandising and the planning process. You will also learn about the merchandising strategy and the merchandising mix.

1.2 MERCHANDISE MANAGEMENT

Merchandising is the heart of retailing. Merchandising is the supply chain practice of making products in Retail outlets available to consumers, primarily by stocking shelves and displays.

It is taking the product (or merchandise) from a company and selling it to the customer. It is ensured that the products are visible in stores and presented in an appealing fashion. Merchandise analysis is identifying need and wants of customers in order to buy the correct merchandise.

What is merchandising? Merchandising is a marketing practice in which the brand or image from one product or service is used to sell another.

Merchandising, as commonly used in marketing, also means the promotion of merchandise sales by coordinating production and marketing, and developing advertising, display, and sales strategies to increase Retail sales. It includes disciplines in pricing and discounting, physical presentation of products and displays, and the decisions about which products should be presented to which customers at what time.

Merchandise Management is the process by which a retailer attempts to offer the Right Quantity of Right Merchandise in the Right Place at the Right Time and at the same time meeting the organisation's financial objectives.

Every Retailer space is most precious and the merchandise has to justify the Return on Investment (ROI). The buying decision hence is a very strategic decision to a retailer.

Merchandise Management is an integrated approach to inventory assortment offerings, marketing communications and selling. It does not limit your approach to inventory selection and pricing issues only. It takes all three; effective merchandising, marketing and sales to create a highly desired customer

experience. An integrative approach will help create the right management vision to address aged inventory, stock balancing, pricing strategies, Vendor performance, assortment planning, product selection for purchase and repurchase, managing gross margin return on investment and increasing product turnover. It is highly desirable to adopt an approach to solve the merchandising challenges by taking an integrated approach to managing resources and creating emotional connectivity with your company, brand and products.

Merchandise management is the process of analysis, planning, acquisition, handling and control of the merchandise investments of a Retail business with the objective of maximizing the sales and profits of a category. It sounds simple but involves different processes like buying, sourcing, merchandising, and sales. It may be virtually impossible to keep the buying process straight without grouping items into categories. In general, a category is an assortment of items that the customer sees as reasonable substitutes for each other.

For Example: Men's formal apparels, ladies ethnic wear and infant's apparels are categories. It is important to understand that merchandising is an integral part of the over-all strategy for the success of a retail venture. It is much more than simply stocking and arranging the products on shelves. It is truly an integral component of the Store's overall business and can go a long way toward improving its image and consequently sales. Merchandising is all about creating a congenial environment in the Retail Store that aids customers in their overall shopping experiences. It begins long before customers actually enter the Store. In this context, following points are helpful:

- i) The Retail Store should look appealing and welcoming to customers;
- ii) Try to have clear and professional-looking signage that is distinctly visible to the customers;
- iii) Display merchandise arranged in an orderly fashion;
- iv) The items should have unambiguous signs showing prices and promotional offers prominently displayed;
- v) The interiors should be neat and orderly;
- vi) The staff should display helpful and pleasing manners to assist customers with their shopping needs.

The role of merchandising is to make customers feel that there is always something new and innovative to look at and shop for every time they come in to make a purchase. For example, window-dressing does not cost much, but it adds the "professionalism". If there is really a good window dresser, you will find increase in sales straight away - many products sell out when the customer sees them within a window display.

1.3 PRINCIPLES OF MERCHANDISING

Drawing upon the basic five rights of merchandising, the basic principles around which the function of merchandising needs to revolve are:

1. **Understand the Target Market:** The Retailer exists for the customer. Thus products retailed in the store should be a reflection of consumers' needs and wants. The first step towards this would be the ability to understand who is the consumer? What type of products that he/she actually requires?
2. **Build the Merchandise Plan, one Store at a Time:** Each Store is different; the customers visiting each Store are different. Hence they have to be understood as separate entities. While the merchandise plan is built for the company as a whole, there has to be an element wherein peculiarities of each Store and region are taken into account.
3. **Buy What Your Customers Want, Not What You Want:** The buyer is the representative of the consumers, and it is necessary to remember that the choice and taste of target consumers may be very different from his/her. The buyer therefore needs to offer what the consumer will want rather than what he/she likes.
4. **Build the Right Assortment:** In the case of most products that are bought and consumed, the consumer is always looking for choice. A wide assortment of the right kind of goods goes a long way in building consumer loyalty towards the brand and or the store, as the case may be.
5. **Be Consistent:** When building a range of products for the consumers, it is necessary to ensure consistency across all product offerings. Consistency is required not only in the choice of products offered but also in terms of their quality. This follows from the principle that a Retailer cannot be everything for everybody. Keeping in view the target market, products and brands offered should be consistent with the image that the retailer seeks to create for itself, in the minds of the customers.
6. **Offer Value:** The consumer's decision to buy a product is not always governed by price alone. While taking the buying decision, he/she is seeking value in the purchase made. Low price may not always be a factor favouring sales, and the perception of value that the product provides eventually influences the consumer's decision.
7. **Understand the Needs of the Vendor and Negotiate a Win-Win:** While Vendors play a key role in the entire buying process, it is necessary that a buyer understands the strengths and weaknesses of each Vendor and also the

factors that motivates them. If the goals of the organization are consistent with what the Vendor seeks to achieve, a better and long-term working relationship is envisaged.

8. **Share Information:** Sharing information with the Vendors often goes a long way in creating a sense of responsibility and involvement among them. Crucial information that is shared on a timely basis may even affect the long term success or failure of a product or a range of products.
9. **Accept the Mistakes Committed:** A product or a range launched may not always meet with the expected success. When a buyer is informed that some particular merchandise has not met with the success that was anticipated, it is essential to liquidate/move the goods and open up the selling space to other inventory.
10. **Seek to Surprise the Customer:** The merchandise is what draws the consumer to the Retail Store. If the merchandise in the Store excites the customer and exceeds his expectations time and again, the customer will have reason to keep coming back to the Store.

1.4 MERCHANDISE PLANNING PROCESS

Merchandise planning can either be top down or bottom up planning. In the case of top down planning, the senior management of the company would forecast the growth that they envision for the company and then this process would be translated down to how the growth is to be achieved. Look at Figure 1.1 which shows the merchandising planning process.

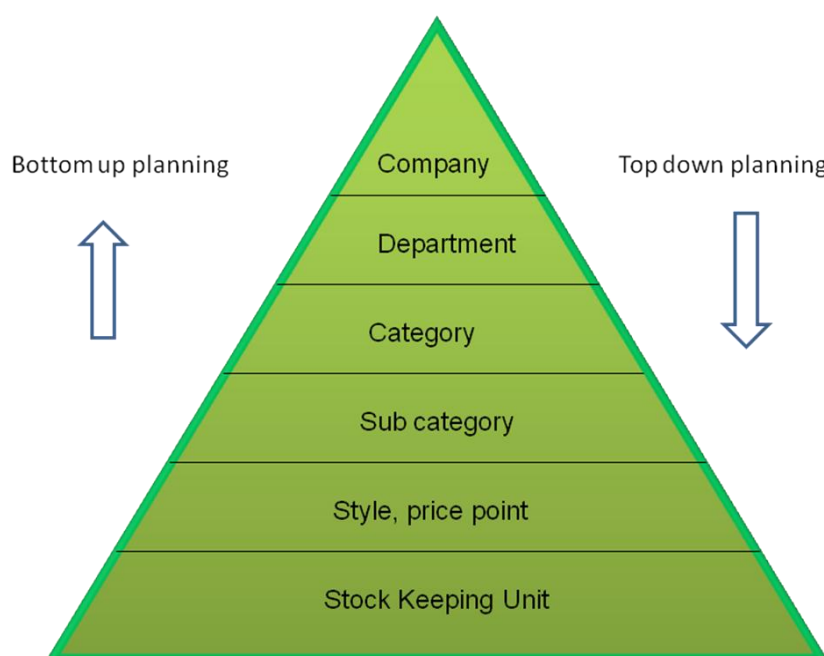


Figure 1.1 : Merchandising Planning Process

Many companies prefer top down planning as it is believed to be more in tune with the Company’s goals and mission; however, by the same principle, it may not focus on the local peculiarities of tastes and choices. Bottom up planning on the other hand would start with planning at the individual store and stock keeping unit level and then up to the regional and national level.

The process of planning also needs to be considered on other scales. The first dimension to be considered is the time span for the plan. The Company could have a five year growth plan which could in turn be broken down year- wise and then with respect to quarters, months and eventually weeks. Another element of planning involves the locations. It answers the basic question in term of how does the Company plan to achieve the sales growth that it has projected. The overall sales target is broken into the sales to be achieved region- wise, store- wise, based on the year on year growth to be achieved and also the new stores that would augment the existing ones. Having done this, planning with reference to the merchandise per se begins. Merchandise planning is done to the last level of Stock Keeping Unit planning.

Check Your Progress A

- 1. Define Merchandising.
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- 2. List the steps for successful Merchandising.
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- 3. What do you mean by Offer Value?
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- 4. List the steps for Merchandising Planning.
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- 5. What do you mean by top down Planning?
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To start with the very definition, focus separately on the words ‘Merchandising’ and ‘strategy’. Fundamentally, a strategy defines a company’s position; merchandising on the other hand refers to the basic product mix that the Retailer offers to the end consumer. Look at Figure 1.2 which shows the areas influenced by the merchandise strategy. A merchandising strategy is defined as a Company’s position with respect to a given product-mix aimed at ensuring optimization of resources, achieving target sales and margins and reducing stock outs and/or markdowns. The merchandising strategy in turn, dictates the position that a particular buyer/merchandise adopts with respect to the following criteria.

1. The products to be sourced;
2. The terms and conditions agreed with the Vendors and Suppliers;
3. The pricing strategy to be adopted, and
4. The method of packaging and presentation to the end consumer.

Let us learn them in detail.

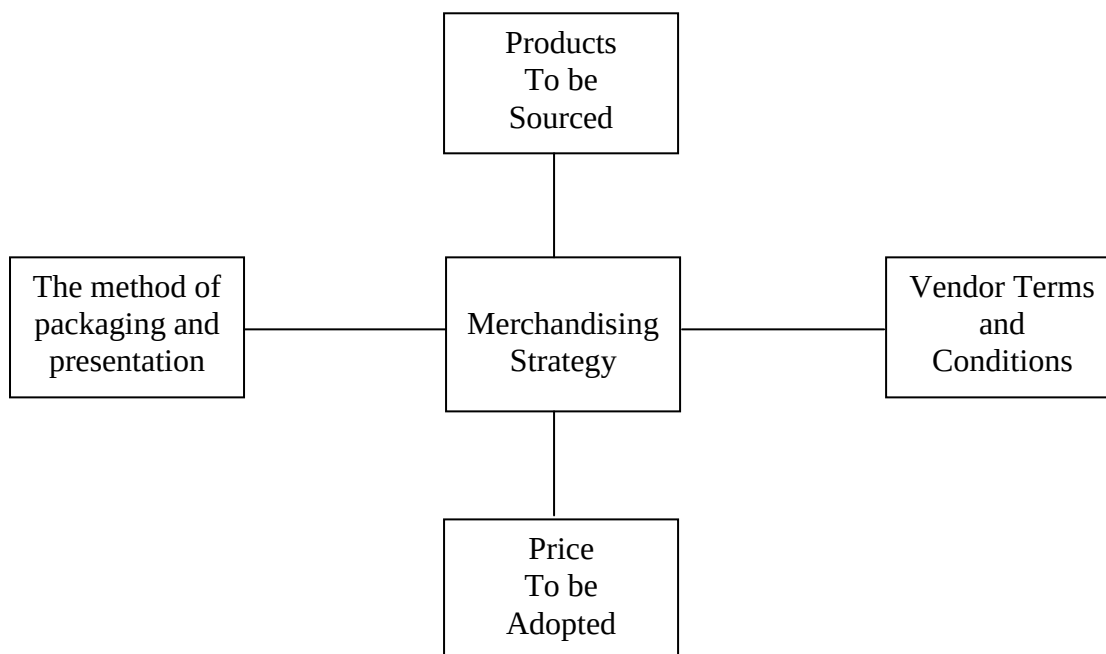


Figure 1.2 : Areas Influenced by the Merchandise Strategy

Products to be sourced: Retailers may buy product from a variety of sources, which depend on the nature of the business and the product, as well as the capacity for the inventory. There are different types of sources, e.g. drop shipping, local sourcing, low volume: wholesalers, mid volume: importers and distributors and high volume: manufacturers and liquidation sales.

Drop shipping allows the products to be sold without having to hold inventory of the merchandise. The drop shipper holds the stock for the Retailer, who is not

required to pay until the stock is sold out. It is obvious that drop shipping can be a good sourcing practice to test the market for a specific product. If the product sells, a bulk order of the product may be placed.

Local sourcing is suitable for the products such as car boot sales, discount shops, and local outlet Stores. This is a good technique to get started immediately in finding products to sell, but it is the most limited type of product sourcing.

Wholesalers are the best option for purchasing low volumes, because they are generally very flexible with Retailers. Once the business is established, and the Retailer is in a position to hold larger quantities of product, importers and distributors may be considered for product sourcing; although they have higher minimum order requirements, they can offer pricing arrangements which can be considerably more profitable than dealing with the wholesalers.

The best ways to increase profit margin is to purchase directly from the manufacturers and to import goods from overseas factories and distributors. Many international Suppliers can offer low priced, high quality goods that can help increase profitability. But importing requires dealing with many issues, such as managing Suppliers, shipping and importation fees.

Liquidation sales are usually bulk lots of merchandise that are being sold when a Retail Company goes out of business. Buying at liquidation can be a very good way of getting very low priced merchandise for sale, but it does not create an ongoing supply of the product.

Vendor's terms and conditions: Vendor's terms and conditions is an important step in the product merchandising strategy. These depend on the nature of product. The buyer and the Vendor negotiate and set the terms and conditions. Some examples are: Dispatch /Transit time, Posting and Packaging, Payment Options, Exchanges, Defects, Returns, Lost items, etc.

Pricing strategy: One of the four major elements of the marketing mix is price. Pricing is an important strategic issue because it is related to product positioning. Furthermore, pricing affects other marketing mix elements such as product features, channel decisions, and promotion. Different pricing strategies are discussed in detail in unit 9.

Packaging and presentation: The packaging and presentation of the product plays an important role in merchandising. No matter how well is it made, a product will not attract a buyer unless it is presented in an attractive manner. It cannot be expected that a car of a new model in a showroom will be presented in

a dirty state or having scratches on the body. Similarly, the packaging of a produce displayed on the shelves of a supermarket is equally important; it should be attractive in appearance, easy to handle, showing the brand name prominently, and providing all the information, such as nutrition value, ingredients, weight, price, manufacturing date, expiry date, discount, if any, etc. clearly.

The corporate strategy of a Retail organization influences the buying strategy. While the corporate strategy serves as a guiding framework for each and every department within the organization, the buying strategy is more specific. For the organization, it serves as guide for the function of buying, as well as to decide the time-frame for specific actions to be accomplished. Thus, while the buying strategy is reflection of the corporate strategy, it is specific only to the Company's buying department.

The buying policy not only ascertains a buyer's duties and responsibilities, but also enables the Suppliers and Vendors to clearly understand whether the Company allows many Suppliers to be a part of its sourcing base, or restricts its buying to/from a few Suppliers. The method of Supplier selection and the terms and conditions that apply to them are also similarly determined.

1.6 MERCHANDISE MIX

Merchandise refers to the complete range of products that the Retailer chooses to offer to its customers. Merchandise mix covers the breadth and depth of products sold by the Retailers. Often, it is also referred to as the product assortment. Over a period of time, the merchandise mix may change in keeping with the market conditions, and may vary even during the course of the same year. For example, the merchandise mix offered during Diwali is different from that offered in summer time.

The merchandise mix comprises of products which the Retailer terms as staple, classic or basic; combined after taking into consideration fashion, fads and seasonal preferences. Staple/classic merchandise lines include those products that are always in demand. Often, they make for the basic necessities of life such as sugar, salt, pulses, etc. or are those products for which there is always a steady demand. Depending on the type of the Retail model, the Retailer has to ascertain the staple products for its stores. In many cases, these products can also be termed as classics. Examples of the products which can be classified as staples are: which shirts for men, socks, handkerchiefs, stationery, etc.

Buying and Merchandising Developing a profitable merchandise mix is a continuous process. Using standard metrics and benchmarks makes a consistent review of products and categories possible. Reviewing historical performance, setting objectives and then comparing the actual performance will lead to an actionable strategy for developing an appropriate merchandise mix.

It is always advantageous to enlist the assistance of the marketing and creative teams to support the merchandise-mix objectives.

Merchandise Line

It comprises of a group of closely related products intended for the same end use, and sold to the same customer group. A given merchandise line also falls within the same price range. Thus we can say that a combination of merchandise lines makes up the merchandise mix.

Check Your Progress B

- 1. What do you mean by Merchandising Strategy?
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- 2. List the four components of the Merchandising Strategy?
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- 3. What is meant by Drop Shipping?
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- 4. What is Merchandise Mix?
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- 5. Which of the following statements are **True** or **False**?
 - i) Merchandising begins long before the customer enters the Retail Store.

- ii) A wide assortment of the right kind of goods goes a long way in building consumer loyalty.
- iii) Top down planning begins from the stock keeping unit and goes up to the Company.
- iv) Liquidation sales create an ongoing supply of the product.
- v) Merchandise mix covers the breadth and depth of products sold by the retailers.

1.7 LET US SUM UP

Merchandising can be defined as the marketing practice in which the brand or image from one product or services is used to sell another. Merchandising, as commonly used in marketing, also means the promotion of merchandise sales by coordinating production and marketing, and developing advertising, display, and sales strategies to increase Retail sales. It is important to understand that merchandising is an integral part of the over-all strategy for success of a Retail venture. It is much more than simply stocking and arranging the products on shelves. It is truly an integral component of the store's over-all business and can go a long way toward improving its image and consequently sales.

Merchandising is all about creating a congenial environment in the Retail store that aids customers in their over-all shopping experiences.

The basic principles around which the function of merchandising needs to revolve are: understand the target market, build the merchandise plan, one Store at a time, buy what your customers want, not what you want, build the right assortment, be consistent, offer value, understand the needs of the Vendor and negotiate a win-win, share information, accept the mistakes happen, and seek to surprise the customer.

Merchandise planning can either be top down or bottom up planning. In the case of top down planning, the senior management of the company would forecast the growth that they envision for the Company and then this process would be translated down to how the growth is to be achieved. Bottom up planning on the other hand would start with planning at the individual Store and stock keeping unit level and then up to the regional and national level.

A merchandising strategy is defined as a Company's position with respect to a given product-mix aimed at ensuring optimization of resources, achieving target sales and margins and reducing stock outs and/or markdowns.

The merchandising strategy dictates the position that a particular buyer/merchandise adopts with respect to the products to be sourced, the terms and conditions agreed with the vendors and suppliers, the pricing strategy to be adopted, and the method of packaging and presentation to the end consumer.

Merchandise mix covers the breadth and depth of the products sold by the Retailers. Often, it is also referred to as the product assortment. Over a period of time, the merchandise mix may change in keeping with the market conditions, and may vary even during the course of the same year.

1.8 KEY WORDS

Brand: A trademark or distinctive name identifying a product or a manufacturer.

Category: It is the classification of one or many items or beings.

Discounting: To deduct or subtract from a cost or price.

Liquidation: Liquidation is usually the last stage of a workout plan or bankruptcy proceeding for a Company.

Merchandise: The objects of commerce; whatever is usually bought or sold in trade, or market, or by merchants; wares, goods, commodities.

Pricing: To establish a selling price for a product.

Product Mix: The variety of product lines that a Company produces, or that a retailer stocks.

Stock Outs: Situation where the demand or requirement for an item cannot be fulfilled from the current inventory.

Supply Chain: The network of retailers, distributors, transporters, storage facilities and suppliers that participate in the sale, delivery and production of a particular product.

Target Market: Target market is the specific group of customers that a company aims to capture.

1.9 ANSWERS TO CHECK YOUR PROGRESS

B 5 i) True ii) True iii) False iv) False v) True

1. Explain merchandising. Describe different factors that are helpful in the merchandising.
2. Describe basic principles of merchandising.
3. What is meant by merchandising strategy? Explain its different components.
4. Describe different types of the product sources giving the advantages of each type.
5. What do you mean by merchandising mix? How can a profitable merchandise mix be developed?

Activities

1. Study the merchandising being followed in your nearby Mall with particular emphasis on the following points:
 - a) Window dressing
 - b) Signage
 - c) Display of merchandise
 - d) Reception of the customers by the staff
2. Would you like to make any suggestions to improve the above points further?

UNIT 2 MERCHANDISE MANAGEMENT

Structure

- 2.0 Objectives
- 2.1 Introduction
- 2.2 Buying and Merchandise Management
- 2.3 Planning Merchandise Assortments
- 2.4 Buying System
- 2.5 The Buying Organisation
- 2.6 Brand Management
- 2.7 Buying Principles
- 2.8 Let Us Sum Up
- 2.9 Key Words
- 2.10 Answers to Check Your Progress
- 2.11 Terminal Questions

2.0 OBJECTIVES

After studying this unit, you should be able to:

- define the merchandise management;
- discuss planning of merchandise assortment;
- describe the buying process;
- explain the principles of buying;
- discuss the breadth & width of merchandise; and
- develop an assortment plan.

2.1 INTRODUCTION

As you are aware that a Retailer attempts to offer the **Right Quantity** of **Right Merchandise** in the **Right Place** at the **Right Time** and at the same time meeting the organisation's financial objectives. Merchandise management is the science of evaluating human behaviour and buying habits in order to determine the best way to stock, display, and sell goods at Retail Stores. The way in which Retailers manage their merchandise has changed extensively over the last three decades.

During this period, the focus on internal supply chain systems has given way to the transaction data management. In recent years, study of the customer behaviour has acquired greater importance while determining merchandise demand. In view of the more sophisticated systems being developed, Retailers are now better equipped to analyse and understand sales and consumer information. In this unit, you will learn the buying and merchandise management and planning the merchandise assortments. You will further learn the buying system, the buying organization and the buying principles.

2.2 BUYING AND MERCHANDISE MANAGEMENT

The Buying and Merchandise management experience includes all the processes for procuring and selling merchandise, encompassing:

- Merchandise planning
- Assortment planning
- Open to buy management
- Purchasing
- Receiving
- Distribution
- Inter-store transfers
- Import management
- Inventory management
- Vendor management
- Sales processing
- Price management and revenue optimization
- Physical inventory
- Promotional management

Let us learn them in detail.

Merchandise Planning: Merchandise Planning can be defined as a systematic approach with the aim of maximizing return on the investment. It involves appropriate planning of the sales and inventory order. Sales- potentials are increased by adopting mark-downs and stock-outs strategies. It is imperative to keep a proper balance between the sales and purchases. Besides, the constraints imposed by the Store-layouts, warehousing and logistics should also be taken into account while keeping this balance. If we are able to divert our resources from the stocks that suck our profit to the business that generates the revenues, the chances of our over-all success will brighten.

Assortment planning: Assortment planning is of utmost importance for the success of the Retailer s. It involves ascertaining the quantities of various products that will be purchased to fit into the overall merchandise plan. It is absolutely necessary to detail out the colour, size, brand and materials, etc. of each assortment. **The primary goal of an assortment plan is to create a balanced assortment of merchandise for the customer.**

A number of factors affect the assortment planning, the most important factor being the type of merchandise, i.e. basic or staple merchandise, fashion, specialty or convenience goods, to be stocked in the Retail Store. The amount of money available for investment in the inventory is another important factor. Sometimes, the Retailer decides to offer only a particular brand in his Store. The availability of space in the Store and market constraints are other important factors that are taken into account for assortment planning.

Open-To-Buy management: Open-To-Buy management is a financial budget for Retail merchandise. The Open-To-Buy eliminates the stress of worrying whether the Retailer is buying too much or too little. It has been found that once a Retailer begins using an Open-To-Buy to plan inventory levels and purchases, he never wants to go back to the old way of ‘guessing’ how much to buy. With Open-To-Buy, the Retailer can go to the market with a buying plan for each classification/category of merchandise for a specific time frame. It is not difficult at all to prepare an Open-To-Buy plan, but it requires some time and thought. It needs the information, planned sales by month, planned or anticipated markdowns and planned monthly beginning-of-month inventory levels. You will learn in detail about Open-To-Buy Management in Unit-3.

Purchasing: As regards the purchasing management, it deals with the monitoring of the right authorization of the right item, at the right price, quality and quantity, from the right Supplier at the right terms and at the right time. The major objectives of the purchase management are:

- a) To maintain the quality and value of the products.
- b) To minimize the tying up the cash in inventory.
- c) To maintain a proper flow of inputs and outputs and
- d) To enhance the competitive position of the firm.

Receiving: Receiving can be defined as the point of transfer of the possession of goods from the manufacturer to the Retailer . It involves the administrative function involving proper checking of the quality, quantity and condition of the incoming goods before their storage.

Distribution: Distribution can be of two types namely store distribution and inter-store transfers. Different tools have been developed to help the Retailer to monitor distribution, for example, 'Merchant Plus' has been designed to help a merchant better leverage inventory across Stores to prevent lost sales and increase stock turn rates, cash flow and margins. These tools also provide for the efficient transfer of merchandise between Stores. This programme also records and facilitates transfers both out of and into a Store or distribution centre.

Import Management: The import management involves facilitating all aspects of the import transaction, namely importing goods, customs clearance, payment of the duties and tariffs and arranging transport, warehousing, etc.

Inventory Management: Inventory management relates to the Retailer trying to acquire and maintain a proper merchandise assortment so that the cost related to ordering, shipping, handling, etc. may be kept in check. The inventory management is very crucial to adjust reasonable times between replenishment, asset management, inventory forecasting, inventory valuation, inventory visibility, availability of space for inventory, quality management, directing defective goods and demand forecasting.

Vendor Management: Vendor management involves a consistent risk classification and necessary efforts to ensure risk assessment that eliminates undue third party risk exposure. A Vendor management tool namely Vendor Management System (VMS) has been developed which is an internet-enabled tool that acts as a mechanism for business to manage and procure staffing services. The VMS application includes: order distribution, consolidated billing and much faster reporting capability.

Sales Processing: The sales processing is a systematic approach for selling a product or service. It includes seller and buyer risk management, standardised customer interaction and measurable revenue generation. The sales process involves a number of specific steps or stages that may vary from company to company. Some of the general steps are initial contact, proposal, negotiations, closing, deal transaction, etc.

Price Management and Revenue Optimization: Price management and revenue optimization refer to the capabilities in generating higher margins from competitive and fragmented markets. In this respect the support extended by the senior management is one of the most important devices of success. Some software tools have been developed for optimum price management and revenue optimization.

Physical Inventory: Physical inventory is a process where a business organization counts its entire inventory physically. It may be necessary due to financial accounting rules or the tax regulations to place an accurate value on the inventory. Business may use several different tactics to minimise the disruption caused by physical inventory.

Promotional Management: Promotional management relates to coordinating promotional mix elements to develop a controlled and integrated programme for effective marketing. In addition to the regular Store promotional schemes, many innovative methods can be used to promote sales. For examples: Special offer for the first time customers, Store wide sales, Gift Certificate, Free shipping ,etc.

2.3 PLANNING MERCHANDISE ASSORTMENTS

Assortment planning is the process of trading-off variety, assortment, and backup stock. An assortment plan is a list of merchandise that indicates in general terms what the Retailer wants to carry in a particular merchandise category. Examples are : an assortment plan for girl's Levi's jeans style/fabric/colour/size combination that a Retailer has inventory. Look at Figure 2.1 which shows merchandise assortments.

Thus, an assortment plan tends to be the amalgamation of the Gross Margin Return on Inventory Investment (GMROI) plan, the inventory turnover plan, sales forecasting, and assortment planning. The assortment plan provides the merchandise planner with a view of what the composition of a specific category of merchandise should be.



Figure 2.1 : Merchandise Assortment

Small and large Retailers are required to make decisions about thousands of individual items from hundreds of Vendors, both nationally as well as in some cases internationally. If the buying process is not organised in a systematic way, it will result in chaos. The planning of Merchandise Assortment is a three step process. Look at Figure 2.2 which shows the steps involved in merchandise assortments plan. These steps are: organise the buying process by categories, set merchandise financial objectives and develop an assortment plan. Let us learn about these steps in detail.



Figure 2.2: Steps of Merchandise Assortments Plan

Organise the Buying Process by Categories: Issues such as what merchandise to purchase and in what quantity, are of strategic significance to every Retailer, especially for the multi-store retail chains of today. Therefore for decisions on these matters, a thorough plan called a **merchandise assortment plan** has to be adopted.

Set Merchandise Financial Objectives: In the merchandise assortment plan, the merchandise is split into categories for the purpose of planning. The categories thus split are managed by buyers and merchandise planners, as well as Vendors. Retailers have many tools that help them develop a merchandise plan – Gross Margin Return on Inventory Investment (GMROI), inventory turnover and sales forecasting.

GMROI is the tool that helps the Retailer plan and evaluates the performance of the merchandise. The GMROI for a specific category of merchandise is calculated on the basis of the overall financial objectives of the Retailer, which are further assigned to specific categories. The gross margin percentage in combination with the inventory turnover evolves into a useful tool for managing merchandise. The most significant issue for a Retailer is determining the inventory turnover and developing inventory turnover goals. Retailers should avoid the extremes in inventory turnover rates – extremely rapid and extremely slow turnover rates.

Though rapid inventory turnover is necessary for the financial success of a Retailer , any attempt of the Retailer to push the level of inventory turnover to the maximum will lead to frequent stock-outs and increased costs.

Assortment Plan: When forecasting sales, Retailer s should identify the stage of the lifecycle of the specific category, and should also determine whether the merchandise category offered is a fad, a fashion, a staple or a seasonal item, so as to plan merchandising accordingly. While making sales forecasts for a specific merchandise category, Retailer s take information from various sources, such as past sales volume, published secondary data and customer surveys. Determining a merchandise strategy is a crucial issue for a Retailer . It involves establishing a trade-off among the variety offered, assortment provided and the availability of the products. A thorough analysis of this trade-off helps the Retailer answer the most significant question – what kind of Store will it be? – a specialty Store, convenience Store or a general Store.

2.4 BUYING SYSTEM

Buying system involves buying for fashion merchandise and buying for staple merchandise. These products are allocated to the stores and performance of merchandise are analysed. Look at Figure 2.3 which represents the buying system. There are three step process. Let us learn them in detail.

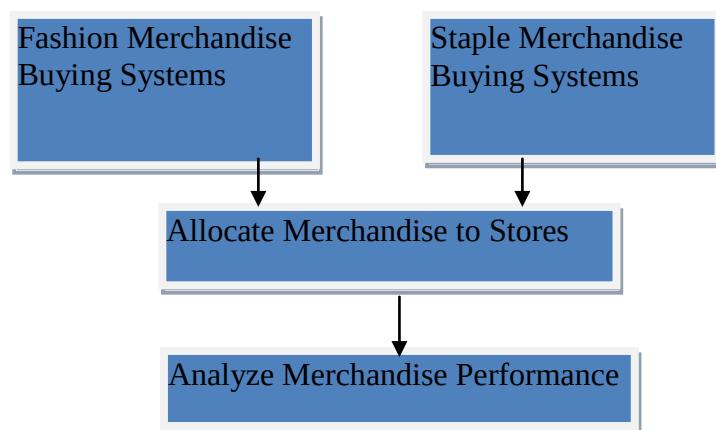


Figure 2.3: Buying System

Buying Systems for Fashion Merchandise and Staple Merchandise: In the first step the Retailer needs to decide the budget allocation for each of the first two things. The Store will consist of Fashion Merchandise & Staple Merchandise. In a typical apparel Store, the Fashion Merchandise will consist of “Seasonal” products and range offered by a Company in its product category. The Staple Merchandise in apparel is colours like blue, black, and beige and white which is part of everyone’s basic wardrobe and continuously in demand throughout the year. In a food and grocery store, the staple merchandise will be rice, wheat,

pulses, spices that are required for every-day use. The Retailer is limited by the amount of money and space available for merchandise in a store. He has to decide whether to carry large variety of different types of clothing (categories) for example, shirts, trousers, denims etc. or fewer categories but a larger assortment of more styles, colours within the categories.

Allocate Merchandise to Stores: In step two, he/she needs to allocate merchandise to Store, which includes how much backup stock he/she will maintain? The more the backup stock, less are the chances of his running out of stock. On the other hand, the more the backup stock, he will have lesser money for other assortments. Therefore, he needs to do a process of trading off variety, assortment and backup stock which is what Assortment Planning is all about.

Analyze Merchandise Performance: In step three he needs to analyze performance of each category and brand and allocate budget based on the Return On Investment (ROI). All merchandising plans depend on the performance of each category and the money that needs to be allocated for such category. The principles of buying will therefore depend on the performance of each category of product in a store and the returns it gives on the investment.

Check your Progress A

1. What is Merchandise Planning ?

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2. What is Assortment Planning?

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3. Enumerate the objectives of Purchasing.

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4. What do you mean by Sales Processing?

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5. What is Physical Inventory?

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2.5 THE BUYING ORGANISATION

All Retailers –even with only one buyer, who may be the owner himself, need to organise the buying activity around categories to maintain an orderly buying process. Each Retailer will have its own system of categorising merchandise. However the National Retail Federation (NRF) has evolved a standard illustrative chart which shows the various categories and the standard designations of people who handle such categories which gives us an indicative picture of a Buying Organisation Chart that indicates not only the categories but also the persons who head them. Look at Figure 2.4 which shows the Buying Organisation.

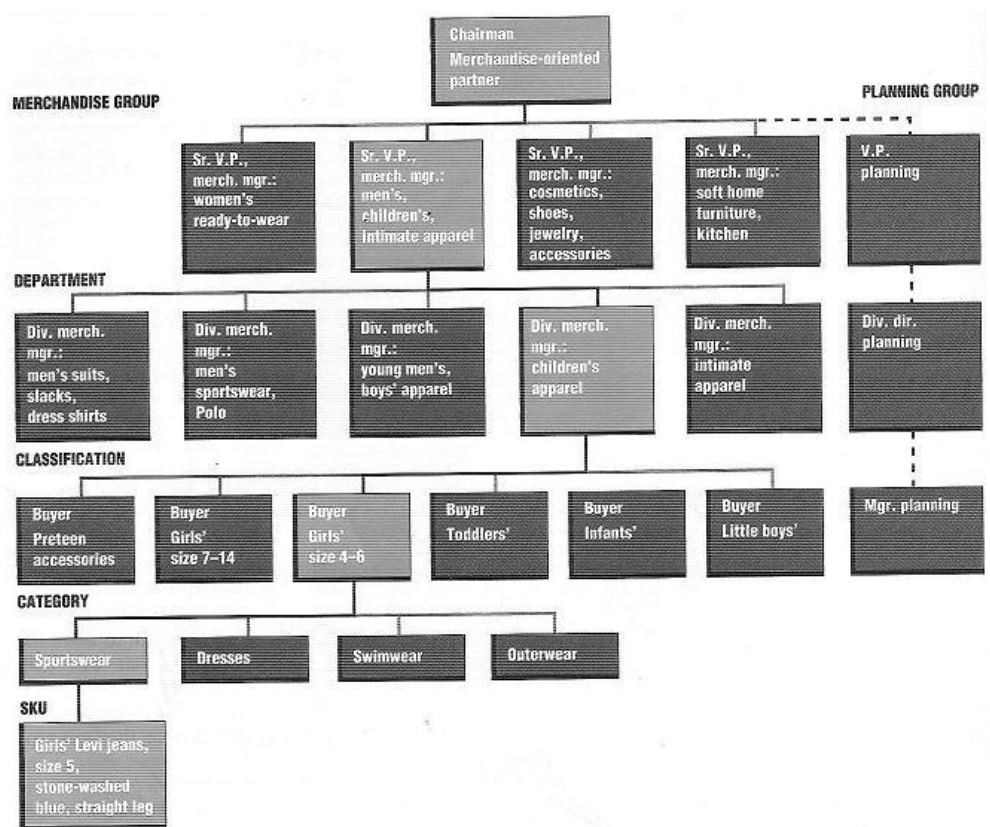


Figure 2.4 : The Buying Organisation

It may be noted that each category indicated above is an example of an Apparel Store which contains all the categories and under each, will have a buyer who will be handling several Vendors under each category. The Unit 3 will have more elaborate information on the category management.

Brand management is an art of creating and sustaining the brand. It motivates the customers to remain committed to your business. A strong brand differentiates your products from the competitors and given a quality image to your business.

Brand management includes managing the tangible and intangible characteristics of the brand. For the product brands, the tangibles include the product itself, price, packaging, etc. But in cast of the service brands, the tangibles include the customers' experience. The intangibles include emotional connections with the product/service.

Buying Brands & Brand management start with understanding what "Brand" really means. This starts with the leaders of the Company who define the brand and control its management. It also reaches all the way down the Company and especially to the people who interface with customers or who create the products which customers use. Brand management performed to its full extent means starting and ending the management of the whole company through the brand. It is simply far too important to leave to the marketing department. The brand management includes the following characteristics of the brand.

Creating the Promise: Creating the promise means defining the brand. A good brand promise is memorable and desirable. It cannot be effective if nobody remembers it, and is no good either if nobody wants it. A good brand promise evokes feelings, because feelings drive actions. The promise must be unique and identified with the brand itself. Within an industry, promises can be very close, but if you want any hope of success, you must stake out the very specific territory of your promise and know clearly how is it different from the promises of other brands.

Making the Promise: Once you have created the promise, the next (and not so trivial) step is to somehow inject it into the minds of your customers, your staff and everyone who receives anything from you or has any impact on what you deliver. This is where marketing people come into their own. Although it is still not their sole preserve, a large part of marketing, which includes advertising and public relations, is about positioning the brand and its products in the minds of customers and against your competitors. In Retail, the current trend is to position the Store as a Brand.

Keeping the Promise: Keeping promises means managing capability. It means consistent processes that are capable of delivering what is required. It means technology and systems which are reliable and usable. It means motivated people who are willing and able to deliver the goods. Whether the brand is domestic or international, the brand positioning needs to be right.

2.7 BUYING PRINCIPLES

The principles of buying facilitate the sales process of the firm. The buying activity for any category will depend on the depth of merchandise that the Store would like to offer. For example in an exclusive footwear Store like Bata the customer will find depth in merchandise with large varieties and design options, but the same thing in a multi-brand footwear Store the depth of merchandise will be limited with more breadth by offering several brands. Also a **Stock Keeping Unit (SKU)** which means the smallest unit available for keeping inventory which usually means single size, single colour and single style, will be considered as a single SKU. Let us learn major principles of buying which are discussed below :

Variety: Variety is the number of different merchandising categories within a Store or a department. Stores with large variety are said to have good breadth of merchandise and the terms variety and breadth are often used interchangeably. For example, an exclusive Levi’s store may carry a large variety of denims & denim accessories to meet the target customer’s requirements.

Assortment: Assortment is the number of SKU’s within a category. Stores with large assortments are said to have good depth- the terms assortment and depth are also used interchangeably. An exclusive Zodiac store may carry a large assortment of formals, casuals, belts, ties and other accessories for men.

Determining Variety and Assortment: To determine the variety and assortment for a particular category, the buyer needs to consider profitability of the merchandise mix, the corporate philosophy of the organisation towards assortment, physical characteristics of the store and finally the degree to which categories of merchandise complement each other.

Check Your Progress B

1. Enumerate the steps involved in Buying System.
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2. What do you mean by Buying Organisation?

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3. What is the difference between Creating the Promise and Making the Promise?

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4. List different steps in planning Assortments for a Retail Store.

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5. Which of the following statements are **True** or **False**?

- i) GMROI is the tool that helps the Retailer plan and evaluate the performance of the merchandise.
- ii) The forecasting of sales depends solely on the fashion trends.
- iii) More the backing stock, Retailer will have more money for other assortments.
- iv) Principle of buying depends only on the performance of a particular category of product.
- v) A good brand promise is memorable.

2.8 LET US SUM UP

Merchandise Management can be defined as the process by which a Retailer offers the **Right Quantity** of **Right Merchandise** in the **Right Place** at the **Right Time** and at the same time, tries to achieve the organisation's financial objectives, i.e. best returns on the investments. It is an integrated approach to inventory assortment offering, marketing communications and selling. It involves all the three aspects, namely effective merchandising, marketing and sales to create a highly desired customer experience. The Buying and Merchandise management includes a number of processes for procuring and selling merchandise, namely merchandise planning, assortment planning, open to buy management, purchasing, receiving, distribution, inter-store transfers, import management, inventory management, vendor management, sales processing, price management and revenue optimization, physical inventory and promotional management.

The assortment plan provides the merchandise planner with a view of what the composition of a specific category of merchandise should be. An assortment plan

is a list of merchandise that indicates in general terms what the Retailer wants to offer in a particular merchandise category. A Retailer has to select thousands of individual items from hundreds of Vendors, both nationally as well as in some cases internationally, and hence it must be organized in a systematic manner.

While forecasting sales, Retailers should identify the stage of the lifecycle of the specific category, and should also determine whether the merchandise category offered is a fad, a fashion, a staple or a seasonal item, so as to plan merchandising accordingly.

Brand management performed to its full extent means starting and ending the management of the whole company through the brand. Creating the promise means defining the brand. A good brand promise is memorable and desirable. Keeping promises means managing capability. It means consistent processes that are capable of delivering what is required. It involves technology and systems which are reliable and usable.

The main theme of the buying principles is to improve the organization's competitive position, to provide an uninterrupted flow of materials, supplies, and services required to operate the organization, to keep inventory investment and loss at a minimum, to maintain and improve quality, to find or develop best-in-class suppliers. Furthermore, attempts are made to standardise, where possible, the items bought and the processes used to procure them, to purchase required items and services at lowest total cost of ownership and to establish harmonious, productive internal relationships, and to achieve supply objectives at the lowest possible operating costs.

2.9 KEY WORDS

Assortment: A range of products.

Brand: A symbol that identifies the origin or manufacturer or quality of a product.

Convenience Store: Complete sale of a particular product.

Inventory: A list of goods compiled for reference.

Merchandise Assortment Plan: A plan for selling different products.

Past – Sales Volume: The magnitude of sale in the past.

Speciality Store: A store that sells products used only for a particular purpose.

Stock – outs: Complete sale of a particular product.

B 5. i) True ii) False iii) False iv) False v) True

2.11 TERMINAL QUESTIONS

1. Discuss the processes involved in the buying and merchandise management.
2. What is merchandise assortment? Describe different steps in the planning of merchandise assortment.
3. Discuss the steps involved in the buying system.
4. Explain the standard buying organization chart evolved by the National Retail Federation.
5. What do you mean by brand management? Describe various components of brand management.
6. Explain various buying principles.
7. Discuss the salient features of 'exclusive' and 'multi – brand' stores.

Activities

1. Visit a nearby Mall and prepare a chart of its Buying Organisation.
2. Identify whether it is a uni-brand or multi-brand Store. If it is a multi-brand Store prepare a list of the brands in an assortment category.

UNIT 3 ORGANIZING BUYING PROCESS BY CATEGORIES

Structure

- 3.0 Objectives
- 3.1 Introduction
- 3.2 Category Management
- 3.3 Partnering Group
- 3.4 Category Captain
- 3.5 Buying Merchandise through Open to Buy
- 3.6 Fashion and Seasonal Merchandise versus Basic In-Stock Items
- 3.7 Budget Planning
- 3.8 Groceries Store/ Staple products
- 3.9 Let Us Sum Up
- 3.10 Key Words
- 3.11 Answers to Check Your Progress
- 3.12 Terminal Questions

3.0 OBJECTIVES

After studying this unit, you should be able to:

- define the category management;
- discuss the steps involved in category management;
- discuss the concept and importance of category captain;
- describe the buying merchandise through open-to-buy;
- explain the steps of budget planning;
- discuss the buying and planning in fresh, staple and grocery products.

3.1 INTRODUCTION

Category Management (CM) is the process of manufacturers and Retailers working together to maximize profits and enhance customer value in any given product category. Category management has developed from brand management

and the techniques of efficient consumer response, and is most prevalent in the fast moving consumer goods sector. CM is founded on the assumption that consumer purchase decisions are made from a variety of products within a category and not merely by brand. It has gained in prominence, as it is believed to meet customer needs better than standard brand management. It would be virtually impossible to keep the buying process straight without grouping items into categories. In this unit, you will learn the concept and steps of category management, category captain and buying merchandise through open to buy. You will further learn about the fashion and seasonal merchandise, basic in stock items, budget planning and groceries store/staple products.

3.2 CATEGORY MANAGEMENT

First of all let us learn what is category? Items can be prioritised into categories based on the nature of the products, how are they consumed, or how are they purchased. As a result new categories and sub - categories have emerged allowing organisation to focus on customer needs rather than more traditional tactics. Category Management (CM) in general is an assortment of items that the customer sees as reasonable substitute for each other. Girls' apparel, boys' apparel, infant's apparel, ladies apparel and men's apparel are all various categories. Within each of these categories, there are similar characteristics. For example, a customer is looking for a girl Levis' denim. If the Store does not have the same, at least an alternate brand like Lee in the same size and style should be offered in the category. The merchandise also should be at similar price point and promoted to appeal to the customer. The merchandise for each category is purchased from a similar set of Vendors and targeted to appeal for a particular segment of customer profile.

The key elements of category management are:

- Meeting consumer and customer needs.
- Managing a business unit strategically.
- Maximizing financial returns.
- Working together.

Merchandising process can be very inefficient for Retailers who do not adopt category management. In Retail organisation, the responsibility for buying merchandise is done either by a buyer or category manager depending on the organisation's structure. In today's retailing environment, the category manager is more than a buyer in the traditional sense. The following are the few examples of the categories in apparel retailing:

Men's Apparel – Formal, casual, ethnic, accessories, sportswear.

Women's Apparel- Formal, casual, ethnic, party wear, accessories, jewellery, perfumes

Children's Apparel - baby care, baby cosmetics, accessories

Small and large Retailers are required to make decisions about thousands of individual items from hundreds of vendors both nationally as well as in some cases internationally. If the buying process is not organised in a systematic way, it will result in chaos.

Category management therefore is most significant in the modern retailing, where seasonal changes affect merchandise and category. Perhaps the most crucial element for the success of the category management is the partnership between the Retailer and the Supplier.

3.3 PARTNERING GROUP

Category management is in fact a complex and dynamic process that requires continuous monitoring for a successful Retail venture. Several theories and approaches have been proposed for a successful category management. The

Category Management 8 step cycle

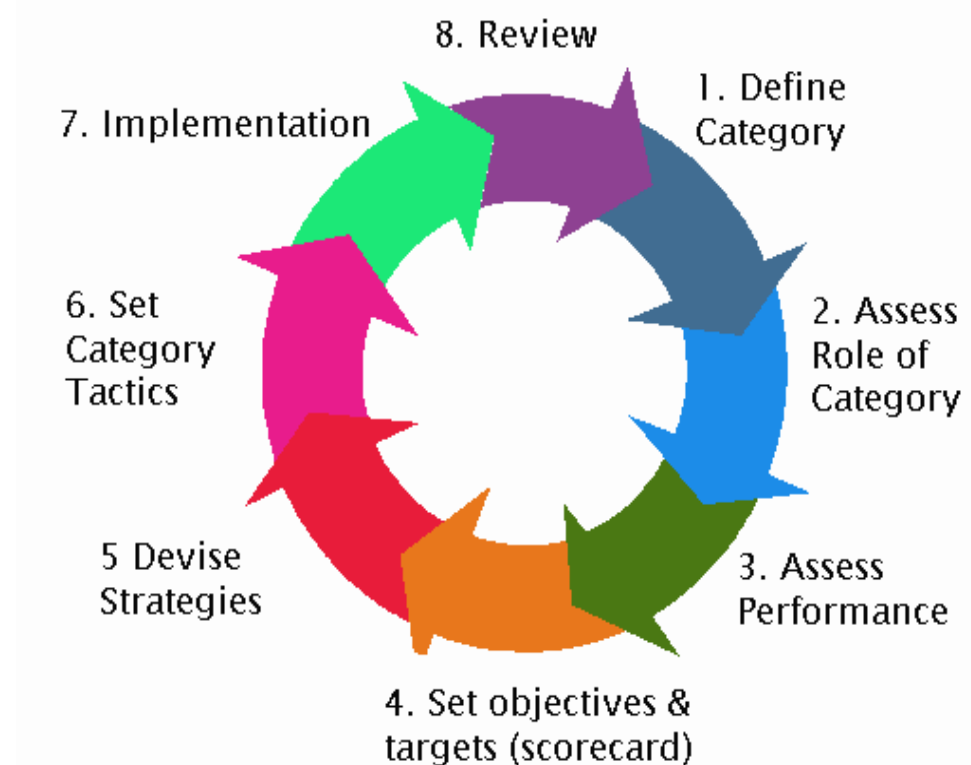


Figure 3.1 : Category Management Cycle

Source : Wikipedia, <http://en.wikipedia.org/wiki/File:8-step-process.gif>

Define Category: The first step in the category management cycle, namely defining the category is the process of identifying those areas within the business that will contribute the most to over-all profit and growth. It includes the process for putting plans into place to achieve the desired results. With an end-to-end planning system, Retailers can reap the rewards of putting the plans into practice and monitoring trends. For example, a category may be girls' apparel or boys' apparel or men's apparel, etc.

Assess Role of Category: The second step involves assessing the item roles for an organization. Determination of what categories or items play the role of traffic driver, basket builder, or profit generator is key to proper pricing and promotional strategy success. The category management process relies heavily on establishing first the roles in order to set a margin target, identify space and assortment, and develop a pricing plan for the category.

Assess Performance: The third step, i.e. assessing the performance has many meanings, but it is defined here as *regular measurement of the results (sales) and efficiency of a particular category*. Regular measurement of the performance toward specified targets is very crucial for the success of any effort. Various parameters have been developed for monitoring the performance of a particular item or service.

Set Objectives and Targets: In the category management, each category is run as a "mini business" (business unit) in its own right, with its own set of turnover and /or profitability targets and strategies. Thus, the objectives or the targets are set for the sales of a particular category.

Devise Strategy: The Retailer Strategy is an important component of the Category Management process. The seven main strategies in category management are cash generating, excitement creating, image enhancing, profit generating, traffic building, transaction building and turf protecting.

Set Category Tactics: The next step is devising appropriate, category tactics that consider key parameters like assortment, pricing, shelf presentation, allocation and promotion.

Implementation: After setting category tactics, the next step is the implementation of these tactics in actual practice.

Review: The final step in the category management cycle is the review of the progress and of the actual achievements as against the targets set for the category. A review is helpful in taking appropriate decisions at the right point of time.

Although the 8-step process is very comprehensive and thorough, it has been criticized for being rather too unwieldy and time-consuming particularly in today's fast-moving sales environment. According to a recent survey (Wikipedia, http://en.wikipedia.org/wiki/category_management), only 9% of the supplier companies have been found to use the full 8-step process. The current trend is that the supplier companies develop their own more streamlined processes, tailored to their own particular products and requirement. On the other hand, market research company, Nielsen has developed a process for category management based on only 5 steps, namely reviewing the category, targeting consumers, planning merchandising, implementing strategy, and evaluating results.

3.4 CATEGORY CAPTAIN

Manufacturers and Retailers have divergent profit objectives. A manufacturer wants to maximize the profits of its own brands. The Retailer, on the other hand, wants to maximize the profit of the entire product category.

In spite of these apparently divergent profit objectives, both manufacturers and Retailers are increasingly realizing that profit margins of both can be increased through cooperation rather than confrontation. The category captain is not always the Supplier with the largest turnover, although that is quite common. However, sometimes a 2 or 3 player who can demonstrate particularly strong expertise in category management is given the job instead.

And also, whilst the job has traditionally been given to branded Suppliers, it is now common-place to have switched-on Private Label suppliers taking the category captaincy job. Despite the improved status, the category captain should not abuse, or be made to abuse his status by blatantly uncompetitive practices such as price fixing or blocking a competitor.

Wal-Mart experimented with Proctor & Gamble (P&G), a leading FMCG company, where P&G was considered by Wal-Mart as its partner in progress and not just another vendor in the FMCG category. P&G was allowed to manage the shelf space in all the Wal-Mart Stores and add or reduce inventory based on customer demand. P&G emerged the category captain among FMCG products within a short period contributing over 50% in sales volume its categories through online inventory management system and better shelf-monitoring. Category management is one such cooperative strategy that often involves the appointment of a leading manufacturer as the "category captain". A category captain advises the Retailer on the best way to price, display, and promote products in a category,

including those of the competitors. This arrangement, therefore, ensures Retail efficiency but raises doubt about possible misuse of power by the category captain to circumvent fair competition. Therefore, a perfect understanding and trust can only make this work for both the Retailer as well as the Supplier/Vendor. Category Management is a Retailer-Supplier process of managing categories as a strategic business unit (SBU), producing enhanced results by focussing on delivering consumer value. The aim of the category management is for two purposes: a) Satisfy the consumer b) Grow the category. This way, the category captain will add value to the retail space and the retailer.

In India, Madura garments, a division of Aditya Birla Nuvo is a leading apparel manufacturer and a Retail company owning brands such as Van Heusen, Louis Philippe, Allen Solly, Allen Solly Women's wear, Peter England, Byford, etc. which are leading apparel among its categories. Madura also retail their brands through its own outlets named Planet Fashion and Trouser Town. Madura has strategic partnership with several multi brands Retailers such as Shoppers Stop, Lifestyle, etc. and are considered category captain in the brands it manufactures and retails throughout the country. To know more about Madura and its brands, you may log on to www.maduragarments.com.

Check Your Progress A

1. What is a Category?

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2. Define Category Management?

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3. List the key elements of the Category Management.

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4. List eight steps in the Category Management Cycle.

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5. What is meant by Category Captain?

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3.5 BUYING MERCHANDISE THROUGH OPEN TO BUY

You have learnt about the category management and category captain. Let us now learn about the buying merchandise through Open-To-Buy. What exactly is Open-To-Buy?

The clearest and simplest definition is that it is a financial budget for retail merchandise. Let's look at this more closely.

- Open-To-Buy relates directly to Retail merchandise and is structured specifically to address the needs of Retailers . It is a tool designed to assist Retailers manage and replenish their most significant asset, their inventory investment.
- Open-To-Buy is a budget, and involves the full range of budgetary functions. It begins with the planning process, is future oriented, provides guidance on how much to buy, and provides benchmarks for evaluating progress, and adjusting future plans.
- Open-To-Buy is a financial tool, in that the units of measure are typically dollars, usually retail dollars but sometimes cost dollars, and that it can be tied back to the financial control process.
- Open-To-Buy can work on any level that a Retailer needs it to. It can be used to track merchandise at the company, department, and classification or sub-classification level. In rare cases for a small Retailer, it can even be used to track an individual item.

3.6 FASHION AND SEASONAL MERCHANDISE VERSUS BASIC IN-STOCK ITEMS

It is important to note from the start, that as a replenishment tool, Open-To-Buy is not appropriate for all categories of merchandise. It is most appropriate for fashion merchandise where the specific items may change, but the departments, classifications and sub-classifications remain relatively stable and seasonal merchandise where inventories are brought in at the beginning of the selling

season, and need to be managed down to pre-determined ending level at the end of the selling season.

In the case of fashion or seasonal merchandise, Open-To-Buy answers the question of how much to buy, but not necessarily the question of which specific items to buy. For that, a detailed assortment plan is necessary, which lays out exactly what items will be coming in when, and provides a plan for how all of the individual items come together to form a compelling merchandise assortment. In contrast, an Open-To Buy is not appropriate as a replenishment tool for day-in and day-out basics. These staple items are more effectively replenished using an automatic replenishment program running off of pre-determined minimum and maximum inventory parameters. In the case of these in-stock basics, Open-To-Buy may still serve a valuable budget and control function at a department or category level.

3.7 BUDGET PLANNING

Like any budget, an Open-To-Buy starts with a plan, then compares actual results to that plan and quantifies any variances. Carefully considered planning is the critical first step in constructing Open-To-Buy.

Steps in the Process

The following steps are involved in the budget planning:

Problem recognition

General need description

Product specification

Supplier search

Proposal solicitation

Supplier selection

Order routine specification

Supplier performance review

Let us learn them in detail.

Problem Recognition: Problem recognition is the process of identifying the difference between one's desired state and one's actual state. There are several sources for this, namely an item is out of stock, dissatisfaction with a current product or service, consumer needs and wants, related products/purchases, marketer-induced or new products.

General Need Description: General need description is the stage in the business buying process in which a Retail Store outlines the general characteristics and quantity of a needed item. It is simple for the standard items, but for the complex items, the opinion of the specialist and technical experts is required.

Product Specification: Product specification is the process to understand the needs of the user and then convert these needs into quantifiable measurable parameters, according to which the product is finally produced. Product specifications should cover a few critical topics, such as performance, validation and quality.

Supplier Search: Supplier search is the process of finding appropriate Suppliers for your business. It is very important to locate reliable manufacturers, distributors and service providers for the success of the business. In the era of information technology, this process is facilitated by the Internet, because important manufacturers, distributors and service providers have their websites.

Proposal Solicitation: Proposal solicitation is the stage when the buyer invites qualified suppliers to submit proposals for the required products. If a particular item is complex or expensive, the buyer may ask the Suppliers to submit a detailed written proposal. After evaluating the proposals, the buyer shortlists a few suppliers and invite them to make formal presentations.

Supplier Selection: Supplier selection is the process by which a company identifies, evaluates, and makes contract with the suppliers. It is a very important step and may require tremendous amount of a firm's financial resources. In return, firms expect significant benefits from contracting with Suppliers offering high value.

Order Routine Specification: Order routine specification includes the final order with the chosen Supplier or Suppliers and lists the details such as technical specifications, quantity needed, expected time of delivery, return policies, and warranties. In the case of maintenance, repair, operating items, and accessories etc. may also be included.

Supplier Performance Review: Supplier performance review is the process of evaluating the Suppliers for its material or finished products and seeking ways to improve Supplier relationships and performance. In fact, Suppliers are the company's lifeline for sustainability and continued growth and therefore, it is very important to maximize suppliers' performance and working to maintain mutually beneficial relationships that strengthens what in essence is income stream supply. Various standard methods have been developed for evaluating the performance of the Suppliers.

Beginning as early as the 14th century, a grocer (also called purveyor) was a dealer in comestible dry goods such as spices, pepper, sugar, and (later) cocoa, tea and coffee. These items were bought in bulk, hence the term grocer from the French "grossier" meaning wholesaler. As increasing numbers of staple foodstuffs became available in cans and other less-perishable packaging, the trade expanded its province. Today, grocers deal in a wide-range of staple food-stuffs including such perishables as meats, produce and dairy products. Such goods are, hence, *groceries*. Look at Figure 3.1 which shows the Groceries Store.



Figure 3.1 : Groceries Store

In the United States and United Kingdom, Supermarkets and Convenience Stores are sometimes described as grocery businesses, or simply grocers. The early Supermarkets began as chains of Grocer's Shops. Clarence Saunders of Memphis, Tennessee invented the self-service grocery store with open stock in 1916, for which he received a US patent.

In the current context in India Food & Grocery Stores like Food World, More, Reliance Fresh, Spencer's, Nilgiris, and Food Bazaar etc. have successfully replicated the model and offer fresh fruits, vegetables, meat, dairy products and groceries.

A Supermarket is a form of Grocery Store, or a Self Service Store offering a wide variety of food and household merchandise, organized into departments. It is larger in size and has a wider selection than a traditional grocery store and it is smaller than a Hypermarket or Superstore.

The Supermarket typically comprises meat, fresh produce, dairy and baked goods departments, along with shelf space reserved for canned and packaged goods as well as for various non-food items such as household cleaners, pharmacy products and pet supplies. Most Supermarkets also sell a variety of other household products that are consumed regularly, such as alcohol (where permitted), medicine, and clothes, and some Stores sell a much wider range of non-food products.

The traditional suburban Supermarket occupies a large amount of floor space, usually on a single level. It is usually situated near a residential area in order to be convenient to consumers. Its basic appeal is the availability of a broad selection of goods under a single roof, at relatively low prices. Other advantages include ease of parking and frequently the convenience of shopping hours that extend far into the evening or even 24 hours a day. Supermarkets usually allocate large budgets to advertising, typically through newspapers. They also present elaborate in-store displays of products. The stores are usually part of corporate chains that own or control (sometimes by franchise) other Supermarkets located nearby—even transnational—thus increasing opportunities for economies of scale.

Supermarkets typically are supplied by the distribution centres of their parent companies, such as Loblaw Companies in Canada, which operates thousands of Supermarkets across the nation. Loblaw operates a distribution centre in every province—usually in the largest city in the province.

Supermarkets usually offer products at low prices by reducing their economic margins. Certain products (typically staple foods such as bread, milk and sugar) are occasionally sold as loss leaders, that is, with negative profit margins. To maintain a profit, supermarkets attempt to make up for the lower margins by a higher overall volume of sales, and with the sale of higher-margin items. Customers usually shop by placing their selected merchandise into shopping carts (trolleys) or baskets (self-service) and pay for the merchandise at the check-out. At present, many Supermarket chains are attempting to further reduce labour

costs by shifting to self-service check-out machines, where a single employee can oversee a group of four or five machines at once, assisting multiple customers at a time.

A larger full-service Supermarket combined with a Department Store is sometimes known as a hypermarket. Other services offered at some Supermarkets may include those of banks, cafés, childcare centres/crèches, photo processing, video rentals, pharmacies and/or petrol stations.

Check Your Progress B

1. Define Open-to-Buy.

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2. List the key steps in the Budget Planning.

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3. What is meant by Problem Recognition?

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4. What is meant by a Supermarket?

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5. Which of the following statements are **True** or **False**?

- i) Merchandising process is very good for the Retailers who do not follow category management.
- ii) Supplier search is the process of finding appropriate Suppliers for the business.
- iii) Proposal solicitation is the process of inviting the qualified Suppliers to submit proposals.
- iv) A grocery store offers new fashion apparel.
- v) Staple foods are occasionally sold as loss leaders.

3.9 LET US SUM UP

Category Management (CM) is the process of manufacturers and Retailers working together to maximize profits and enhance customer value in any given product category. In the Retail business, it has become very important because it is believed to meet customers needs better than standard brand management. The products can be divided into categories based on their nature, i.e. how are they consumed, or how are they purchased? This leads to new categories and sub – categories allowing organisation to focus on customer needs than more traditional tactics. There are four key elements of the category management, namely meeting consumer and customer needs, managing a business unit strategically, maximizing financial returns, and working together.

Eight step cycle is widely used for the category management. These steps are – define category, assess role of category, assess performance, set objectives and targets, devise strategies, set category tactics, implementation and finally the review.

A category captain advises the Retailer on the best way to price, display, and promote products in a category, including those of the competitors. This arrangement, therefore, ensures retail efficiency, but a vigil is needed that it is not misused.

Open-To-Buy is a financial budget for Retail merchandise and is designed to assist Retailers manage and replenish their inventory investment. It can work at any level that a retailer needs. The budget planning is the critical first step in constructing Open-To-Buy. There are several other steps in this process.

A Supermarket typically comprises meat, fresh produce, dairy and baked goods departments, along with shelf space reserved for canned and packaged goods as well as for various non-food items such as household cleaners, pharmacy products and pet suppliers.

3.10 KEY WORDS

Apparel : External clothing, garments, dress.

Ethnic Wear : Ethnic wear is classic and maintains the essence of our culture, design and distinctive outlook.

Financial Return : Return on capital also known as return on invested capital is net income divided by the invested capital.

FMCG Company : Fast Moving Consumer Goods, are the products that are sold quickly at relatively low cost.

In – Stock Items : A detailed list of all the items in stock.

Proctor & Gamble : Manufactures and distributes household products, personal care products and food and beverage products.

Staple Foodstuffs : A foodstuff that forms the basic constituent of a diet.

Transnational : Reaching beyond or transcending national boundaries.

Wal – Mart : It is largest retailer in the world, leading United States chain of discount department Stores which is the largest retailer corporation in the world.

3.11 ANSWERS TO CHECK YOUR PROGRESS

B 5 i) False ii) True iii) True iv) False v) True

3.12 TERMINAL QUESTIONS

1. “Category Management meets customer needs better than standard brand management.” Elaborate.
2. What is category management? Describe the steps involved in the category management.
3. “The concept of category captain is helpful but it requires watch.” Explain.
4. Explain the system of Open-To-Buy and different steps involved therein.
5. Describe salient features of a supermarket. How is it helpful for the consumers to make shopping at a supermarket?

Activities

1. Study the category management process in a nearby Mall and identify the number and types of steps they are following for this purpose and how is it successful.
2. Try to see, if there is any category captain in that Store and study how it is working.

UNIT 4 SALES FORECASTING

Structure

- 4.0 Objectives
- 4.1 Introduction
- 4.2 Importance of Sales Forecasting
- 4.3 Factors Affecting Sales Forecasting
- 4.4 Sources and Magnitude of Consumer Demands
- 4.5 Methods of Sales Forecasting
- 4.6 Category Life Cycle
- 4.7 Do's and Don'ts in Sales Forecasting
 - 4.7.1 Do's
 - 4.7.2 Don'ts
- 4.8 Annual Budgeting
- 4.9 Let Us Sum Up
- 4.10 Key Words
- 4.11 Answers to Check Your Progress
- 4.12 Terminal Questions

4.0 OBJECTIVES

After studying this unit, you should be able to:

- explain the concept of sales forecasting in retail and creating business plan;
- describe the importance and application of sales forecasting;
- discuss the factors affecting sales forecasting;
- discuss the methods of sales forecasting;
- explain do's and don'ts in sales forecasting;
- describe the annual budgeting.

4.1 INTRODUCTION

Sales forecasting is projection of achievable sales revenues, based on historical sales data, analysis of market surveys and trends and sales person's estimates. Also called sales budget, it forms the basis of a business plan because the level of

sales revenue affects practically every aspect of business. A sales forecast can be a good indicator of future sales in stable market conditions, but may be less reliable in times of rapid market change. For example, if Shoppers Stop or a Big Bazaar opens in Pune, what sorts of customer profiles are available in the town? What is their income level? What are the other Retail Formats available in the town and how are they performing? What are the price points of merchandise currently selling, etc? In this unit, you will learn about the importance of the sales forecasting, methods of doing this and the factors that are taken into account while making it. You will further learn the meaning of the category life cycle and the strategies adopted for different category life cycles. Furthermore, you will also be acquainted with the annual budgeting and its importance.

4.2 IMPORTANCE OF SALES FORECASTING

The sales forecast is a prediction of a business unit and rupee sales for some future period of time, up to several years or more. These forecasts are generally based primarily on recent sales trends, competitive developments, and economic trends in the industry, region, and/or nation in which the organization conducts business. Sales forecasting is management's primary tool for predicting the volume of attainable sales. Therefore, the whole budget process hinges on an accurate, timely sales forecast. Sales forecast helps to plan a company's investments, launch new products, and decide when to close or withdraw production and so on. The sales forecasting process is a critical one for most businesses. Particularly in the apparel business, knowledge of season and festival need to be taken into account while doing sales forecast.

Key decisions that are derived from a sales forecast include:

- Employment levels required
- Promotional mix
- Investment in production capacity

4.3 FACTORS AFFECTING SALES FORECASTING

For the forecasting to be accurate, managers need to consider all of the following factors:

Historical Perspective: As a starting point, management analyzes previous sales experience by product lines, territories, classes of customers and other relevant details. Management needs to consider a time line long enough to detect trends

and patterns in the growth and the decline of Rupee sales volume. This period is generally five to ten years. If the Company's experience with a particular product class is shorter, management will include experience of similar Companies.

Business Competence: The ability of a company to respond to the results of a sales forecast depends on its production capacity, marketing methods, financing, and leadership, and its ability to change each of these to maximize its profit potential and logistic capabilities to provide right product at right price at the right time.

Market Position: Forecasting also considers the competitive position of the company with respect to its market share, research and development, quality of service, pricing and financing policies and public image. In addition, forecasters also evaluate the quality and quantity of the customer base to determine brand loyalty, response to promotional efforts, economic viability, and credit worthiness.

General Economic Condition: Although consumer markets are often characterized as being increasingly susceptible to many segmentation in recent years, the condition of the overall economy is still a primary determinant of general sales volume, even in many niche markets. Forecasters incorporate relevant data that correlate well or demonstrate a casual relationship with sales volume.

Price Index: If the prices of products have changed over the years, changes in Rupee volume of sales may not correlate well with volume of units. At one point in time when demand is strong, a Company raises its prices. At another time, a Company may engage in discounting to draw down inventories. This happens especially when a season is coming to an end and there are unsold stocks on the shelf. Therefore, accountants devise a price index for each year which compensates for price increases as well as mark down. By dividing the Rupee volume by the price indexes, a Company can track its "true" volume growth. This process is similar to an inflation index, which provides prices in constant Rupees. As a result, management is able to compare the price-adjusted Rupee sales volumes.

Secular Trends: The secular trend depicts:

- 1) General economic performance, or
- 2) The performance of the specific product for all Companies.

If a Company's trend line rises more rapidly than the secular trend line, a Company would be experiencing a more rapid growth in the rate of sales. Conversely, if a Company's trend line is below the secular trend line, its performance is below the market average. Management also uses this type of comparison to evaluate and control annual performance.

Trend Variation: Although the secular trend represents the average for the industry, it may not be "normal" for a particular Company. The comparison of Company trends to secular trends may indicate that the Company is serving a specialized market, or that the Company is not faring well. Forecasters study the underlying assumptions of trend variations to understand the important relationships in determining the volume of sales. Although markets may be strong, the sales force might need to be adjusted.

Intra - Company Trends: By analyzing month-to-month trends and seasonal variations over both the long and short terms, small business owners and managers can adjust the sales forecast to anticipate variations that historically repeat themselves during budget periods. For example, sales during winter season and summer over 2 to 3 years period. Management may then construct a budget reflecting these variations, perhaps increasing volume discounts during traditionally slow periods, exploring new territories, or having sales representative solicit product and service ideas from current customers. Alternatively they can offer new varieties and designs that can interest their existing customer base.

Product Trends: Forecasters also trend individual products, using indexes to adjust for seasonal fluctuations and price changes. Product trends are important for understanding the life cycle of a product. For example, sale of raincoats and umbrellas may vary depending on the monsoon seasons variation due to global warming or failure of monsoon. There are times when monsoon either gets delayed or extended or totally fails which can affect the individual product trend.

4.4 SOURCES AND MAGNITUDE OF CONSUMER DEMANDS

In past eras, the introduction of new and improved products drove much of the demand. Currently, consumer attitudes and lifestyles anticipate product introductions and technological changes. Example: Cell phone- Individual customers taste and preferences change and hence the demand for the features in the product. While some want a cell phone which just about meets the communication need and some others will look for features like camera, MP3,

FM, etc Individual consumers are pushing technology to anticipate the needs of an increasingly segmented market. Demand based on anticipation is becoming the dominant feature of the technological age. The rapid pace of technological development and new product introductions have shortened product life-cycles. The combination of demographic considerations and technological change dominate consumer trends to a greater degree than in the past.

4.5 METHODS OF SALES FORECASTING

The methods of sales forecasting are as follows:

1. For your type of business, what is the average sales volume per square foot for similar Stores in similar locations and similar size? This is not the final answer for adequate sales forecasting, since a new business would not hit that target for perhaps a year. But this approach is far more scientific than a general 2 per cent figure based on household incomes.
2. For your specific location, how many households needing your goods live within say, three mile radius? How much will they spend on these items annually, and what percentage of their spending will you get, compared to competitors? Do the same for within five miles with lower sales forecast figures. (Use distances that make sense for your location.)
3. If you offer say, three types of goods plus two types of extra cost services, estimate sales revenues for each of the five product/service lines. Make an estimate of where you think you will be in six months (such as "we should be selling five of these items a day, plus three of these, plus two of these.") and calculate the gross sales per day. Then multiply by 30 for the month.

Now scale proportionately from month one to month six; that is, build up from no sales (or few sales) to your six month sales level. Now carry it out from months six through 12 for a complete annual sales forecast.

Check Your Progress A

1. What is meant by Sales Forecasting?
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2. List five important factors affecting Sales Forecasting.
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3. What is meant by Price Index?

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4. What do you mean by Secular Trends ?

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5. List three methods of Sales Forecasting.

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4.6 CATEGORY LIFE CYCLE

Category Life Cycle is based upon the biological life cycle. For example, a seed is planted (introduction); it begins to sprout (growth); it shoots out leaves and puts down roots as it becomes an adult (maturity); after a long period as an adult, the plant begins to shrink and die out (decline).

In theory, it is the same for a product or a category. After a period of development it is introduced or launched into the market, it gains more and more customers as it grows; eventually the market stabilizes and the product becomes mature; then after a period of time the product is overtaken by development and the introduction of superior competitors, it goes into decline and is eventually withdrawn.

However, most products fail in the introduction phase. Others have very cyclical maturity phases where declines see the product promoted to regain customers.

Strategies for Different Stages of the Category Life Cycle

Introduction: The need for immediate profit is not a pressure. The product is promoted to create awareness. If the product has no or few competitors, a skimming price strategy is employed. Limited numbers of product are available in few channels of distribution.

Growth: Competitors are attracted into the market with very similar offerings. Products become more profitable and companies form alliances, joint ventures and take each other over. Advertising expenditure is high and focuses upon building brand. Market share tends to stabilize.

Maturity: Those products that survive the earlier stages tend to spend longest in this phase. Sales grow at a decreasing rate and then stabilize. Producers attempt to differentiate products and brands are keys to this. Price wars and intense competition occur. At this point the market reaches saturation. Producers begin to leave the market due to poor margins. Promotion becomes more widespread and uses a greater variety of media.

Decline: At this point, there is a downturn in the market. For example, more innovative products are introduced or consumer tastes have changed. There is intense price-cutting and many more products are withdrawn from the market. Profits can be improved by reducing marketing expenditure and cost cutting.

Problems with Life Cycle Concept: In reality, very few products follow such a prescriptive cycle. The length of each stage varies enormously. The decisions of marketers can change the stage, for example, from maturity to decline by price-cutting. Not all products go through each stage. Some go from introduction to decline. It is not easy to tell which stage the product is in.

4.7 DO'S AND DON'TS IN SALES FORECASTING

You have already learnt the importance and factors affecting the sales forecasting, methods of sales forecasting, strategy for category life cycle. Let us now learn some consideration while forecasting the sales. While forecasting sales, you should take into consideration following Do's and Don'ts.

4.7.1 Do's

- I. One should start by writing down sales forecasts assumptions. Sales forecast can be created then. This becomes easy once you have found a way to break the forecast down into individual items.
 - Can the sales be broken down by product, market, or geographic region?
 - Are individual customers important enough to the business to warrant their own individual sales forecast?
 - Can the conversion rate - the percentage change of the sale happening
 - for each item on your sales forecast be estimated?

Selling more of your product to an existing customer is far easier than making a first sale to a new customer. So the conversion rates for existing customers are much higher than those for new customers.

- II. You may want to include details of which product each customer is likely to buy. Then you can spot potential problems. One product could sell out, while another might not shift at all.
- III. There is a wide range of sales forecasting software available that can make the whole process much simpler and more accurate. This software generates forecasts based on historical data. If you are considering buying software, get advice from your trade association, your business advisers and businesses of a similar size and in similar markets.

4.7.2 Don'ts

- I. It's all too easy to be over-optimistic. It is a good idea to look back at the previous year's forecast to see if your figures were realistic. New businesses should avoid the mistake of working out the level of sales they need for the business to be viable, then putting this figure in as the sales forecasts. It is also important to consider if it is physically possible to achieve the level of sales forecasted.
- II. Make sure your sales assumptions are linked to the detailed sales forecast; otherwise you can end up with completely contradictory information. For instance, if you assume a declining market and declining market share, it is illogical to forecast increased sales.
- III. Make sure the sales forecast is finalized and agreed within a set timescale. If you are spending a lot of time refining the forecast, it can distract you from focusing on your targets. Avoid tinkering with the forecast, even if you discover it is too optimistic or pessimistic.
- IV. Your sales people probably have the best knowledge of your customers' buying intentions, therefore:
 - ask for their opinions
 - give them time to ask their customers about this
 - get the sales team's agreement to any targets they will be set
- V. Having built your sales forecast, you need someone to challenge it. Get an experienced person - your accountant or a senior sales person - to review the whole document.

4.8 ANNUAL BUDGETING

The sales forecast provides the framework for the detailed planning presented in the master budget. Based on planned strategies and its best business judgment, management converts a sales forecast into a sales plan through the commitment of resources and the establishment of control mechanisms. The sales budget provides an evaluative tool by presenting monthly indexes of volume of units and Rupees as hard targets for the sales team. Deviations from these indexes indicate to small business owners and managers where they need to adjust their efforts to take advantage of hot products or to remedy difficult situations.

Management determines its sales policies and strategies within its ability to respond to customer needs, technological changes, and the financial prerequisites of marketing. The sales budget projects that portion of potential sales the sales team believes it can achieve. The forecast, then, sets the parameters on the top side while the production capacity and sales acumen of the team sets the floor. Although sales forecasts may accurately project significant changes in market conditions, a company needs to thoroughly examine its own resources to determine its ability to respond to these changes. A huge drop in demand may decrease the strain on the production process to where a company regains cost efficiencies, or a large increase in demand might be required by a company that needs cash for other projects. The sales budget, therefore, is predicated on a company's ability to meet expected demand at or near its maximum profit potential.

Check Your Progress B

1. What is meant by the maturity of the Category Life Cycle?
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2. What are the problems with Life Cycle Concept ?
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-
3. List the three do's in Sales Forecasting.
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4. List three don'ts in Sales Forecasting.

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5. Which of the following statements are **True** or **False**?

- i) In the apparel business, knowledge of season and festival mood play crucial role in the sales forecasting.
- ii) Sales forecasting is not useful for the companies that cannot respond to production capacity and marketing methods.
- iii) Economy of a country does not play any role in the sales forecasting of a company.
- iv) A category life cycle can be prolonged by following appropriate strategies.
- v) A skimming price strategy is always successful.

4.9 LET US SUM UP

Sales forecasting is the projection of achievable sales revenues, based on historical sales data, analysis of market surveys and trends and sales person's estimates. Sales forecasting plays an important role in the success of the company, as the whole budget process hinges on an accurate, timely sales forecast. It helps to plan company's investments, launch new products and decide when to close or withdraw production and so on.

A number of factors are taken into account while doing sales forecasting. These factors include historical perspective, business competence, market position, general economic condition, price index, secular trends, trends variation, intra-company trends and product trends. In the present times, consumer attitudes and life styles determine product introduction and technological changes. Three methods have been developed for sales forecasting.

Category life cycle is similar to the life cycle of a biological species and it involves introduction, growth, maturity and decline. However, very few products follow such a prescriptive life cycle and there are enormous variations in each stage. Different strategies are followed for each stage.

There are several do's and don'ts in sales forecasting. The sales forecast provides the framework for the annual budgeting. The sales budget is helpful in planning strategies, taking appropriate decisions and establishing the control mechanisms.

4.10 KEY WORDS

Brand Loyalty: When consumers become committed to your brand and make repeat purchases over time.

Credit Worthiness: A creditor's measure of an individual's or company's ability to meet debt obligations.

Employment Level: The percentage of the labour force that is employed.

Price Index: Index that tracks inflation by measuring price changes.

Product Life Cycle: A marketing theory in which products or brands follow a sequence of stages including introduction, growth, maturity and sales decline.

Promotional Mix: Using several different types of communication to support marketing goals which include: advertising, personal selling, publicity and sales promotions.

Sales Volume: Quantity or number of goods sold or services rendered in the normal operations of a firm in a specified period.

4.11 ANSWERS TO CHECK YOUR PROGRESS

B 5 i) True ii) True iii) False iv) True v) False

4.12 TERMINAL QUESTIONS

1. Explain the importance of the sales forecasting in the retail business, describe different factors that are taken into account while making it.
2. Describe different methods of sales forecasting.
3. Explain the concept of the category life cycle. Discuss the strategies adopted at different stages of the category life cycle.
4. What are do's and don'ts in the sales forecasting? Explain giving suitable examples.
5. What is annual budgeting? How is it prepared for Retail stores? Explain its importance.

Activities

1. You visit a Mall in your city.
 - a) Identify the sales forecasting methods used by the Mall.
 - b) Identify the category life cycle of few products in the Mall.

UNIT 5 MERCHANDISE OBJECTIVES

Structure

- 5.0 Objective
- 5.1 Introduction
- 5.2 Merchandise Planning Components
- 5.3 Setting Sales Objectives
- 5.4 Setting Stock Objectives
 - 5.4.1 Days of Supply
 - 5.4.2 Stock Turn
 - 5.4.3 Stock to Sales Ratio
 - 5.4.4 Sale Through Percentage
- 5.5 Setting Margin Objective
- 5.6 Let Us Sum Up
- 5.7 Key Words
- 5.8 Answers to Check Your Progress
- 5.9 Terminal Questions

5.0 OBJECTIVES

After studying this unit, you should be able to:

- analyse the meaning of merchandise plan;
- explain the components of merchandise plan;
- describe setting sales objective - sales by category and zone;
- describe setting stock objective;
- explain setting margin objectives.

5.1 INTRODUCTION

Merchandise planning plays a pivotal role in creating and maintaining profitability. No other area within a Retail business has such a direct impact on bottom line profit (or loss). The merchandise plan is a financial or rupee plan allocating a specific amount of money to each department or division for the purchase of an appropriate assortment of fashion merchandise that will meet consumer demand and sales goals.

It is crucial that merchandisers have a broad understanding of the best practice approaches that have evolved, in order that they are able to optimize the financial return on the investment that is under their control. Most retailers' primary goal is to sell merchandise. Deciding what to buy and how much is a vital task for any Retailer. Retailers make up a merchandise plan within the framework of policy. In this unit, you will learn about the components of the merchandise planning and how the sales objectives are set. Besides, you will further learn about the various factors that are taken into account while setting the stock objectives. You will also learn how the margin objectives are set.

5.2 MERCHANDISE PLANNING COMPONENTS

The merchandise planning process requires planners to develop detailed plans to achieve the company goals. The merchandise plan is usually developed once or twice a year by the merchants in an organization. Prior to the beginning of the planning season, the planner starts the process by seeding Last Year (LY) actual results and This Year (TY) Forecast information into the planning layouts. This information is used as a reference and guide during the planning process. The merchant uses the Last Year and Forecast information to plan an extended set of key performance indicators (KPIs) and time horizon to match the company goals. The system displays these KPIs in a progression format (set of steps) to guide the planner through the process.

Once the merchant is satisfied with the plans and submits them to his or her manager, the manager approves the plans so that they can be incorporated into the reconciliation process.

The merchandise planning components are as follows:

- a) **Receipt plans** – Cost of goods that needs to be received to sell in the store.
- b) **Sales plan** – Contains the objectives of the sales process.
- c) **Mark up plan** – Adding on to prices to cover costs.
- d) **Mark down plan** – Reducing price to move goods.
- e) **Stock planning** – Planning for the material to be stored.
- f) **Gross profit margin** – A financial metric used to assess a firm's financial health by revealing the proportion of money left over from revenues after accounting for the cost of goods sold. It is also known as “gross margin”.

The planning of this figure is the most significant, and should be calculated first, because it is the basis for establishing the stock markdown and purchase figures. It is one figure that requires greatest skills and judgment. It requires following :

- a) Reviewing and analyzing past sales performance for the same time period
- b) Considering factors that may cause change in sales. These factors are :
 - Current Sales trends
 - Previous rate of growth patterns
 - Economic conditions
 - Local business conditions
 - Fashion factors
 - Influencing conditions within and from outside the store or departments (e.g. change in store concept, market directions, competitions, etc.)
- c) Establishing, for a season, a percentage of estimated sales change. This would be done after past sales performance and the current conditions have been reviewed and analyzed. Thus, the total Rupee sales volume for the entire period can be calculated as below –

$$\begin{aligned}\text{Seasonal Planned Sales} &= \text{Last year (LY) sales} + (\text{LY sales} \times \\ &\quad \text{planned increase \%}) \\ &= \text{L.Y. Sales} + \text{Rupee increase}\end{aligned}$$

Sales planning takes place at the distribution chain, segment, and season levels. The planner can drill down to the category, sub-category, rollout, month and week levels. When planning sales, Retailers should identify the stage of the lifecycle of the specific category, and should also determine whether the **merchandise category** offered is a **fad**, a **fashion**, a **staple** or a **seasonal** item, so as to plan merchandising accordingly.

Merchandise Category

1. **Fad Category** generates substantial sales within a short period of time, usually less than a season.
2. **Fashion Category** lasts several seasons, and sales can be very volatile from one season to another.
3. **Staple Or Basic Merchandise** have a continuous demand over an extended period of time.

4. **Seasonal Merchandise’s sales** fluctuates dramatically according to the time of the year.

When making sales forecasts for a specific merchandise category, Retailers take information from various sources, such as past sales volume, published secondary data and customer surveys. Determining a merchandise strategy is a crucial issue for a Retailer.

The Nielsen definition of a **Category**, used as the basic definition across the industry is that **the products should meet a similar consumer need, or that the products should be inter-related or substitutable**. The Nielsen definition also includes a provision that products placed together in the same category should be logistically manageable in store (for example, there may be issues in having room-temperature and chilled products together in the same category even though the initial two conditions are met).

However, this definition does not explain how the process often works in practical retailing situations, where demographic or marketing considerations take precedence.

It involves establishing a trade-off among the variety offered, assortment provided and the availability of the products. A thorough analysis of this trade-off helps the Retailer answer the most significant question – what kind of store will it be? – A specialty store or a general store.

Check Your Progress A

- 1. What is Merchandise Plan?
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- 2. List the components of Merchandise Planning.
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- 3. What is meant by Gross Profit Margin ?
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4. List the factors that play crucial role in setting Sales Objectives.

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5. Write the Nielsen definition of a Category.

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5.4 SETTING STOCK OBJECTIVES

Because the merchandising policies of Retail stores differ, there is no absolute figure for developing the variety of stock assortment. However, the planning phase of stock investment is achieved through the Rupee plan. In the planning and control of Rupee stock, each merchandiser's objective is to:

- a) Maintain adequate assortment
- b) Regulate the Rupee investment of stocks in relation to sales to obtain a satisfactory balance between the two factors.

After planned monthly sales are established, the amount of Rupee stock that is required on hand at the beginning of each month (BOM) and/or the end of each month (EOM) must be determined. The EOM stock for a particular month is same as the BOM stock for the next month. It is important to know the turnover before doing the stock planning because it represents the degree of balance between sales and stocks. Turnover indicates the number of times that an average stock has been sold and replaced during a given period.

Let us take a closer look at how analyzing your inventory performance on a regular basis can keep the business on track. A Retailer has five decisions to make on any given item in stock. These decisions are as follows.

- Mark up?
- Mark down?
- Buy More?
- Buy Less?
- Don't do anything.

How does a Retailer know what to do and when to do it? Below are the key factors that will help you in taking appropriate decisions.

5.4.1 Days of Supply

Days of Supply is a key statistic which tells how long it will take you to sell out of your present stock, assuming that sales continue at the same rate as recent past sales. For non-seasonal merchandise, for example, toothpaste, which sells at a relatively steady rate, one could use a longer basis period, such as 30 days or 60 days. For seasonal merchandise, for example, soft drinks, which sell more during summer, the rate of sale changes rapidly, and one would want to use a shorter period.

Days of Supply analyses the last period of sales, and based upon that rate, gives you the amount of days of supply left on that style. It is based upon the numbers of days of selling that you tell your system to examine.

Using this information, days of supply to match lead times can be reduced, without losing sales.

5.4.2 Stock Turn

Stock Turn is a measure of how many times your inventory is replaced in the course of a year. For example, if you have an average inventory of 300 ties in a year and you sell 300 ties every 4 months, your inventory "turns over" or is totally replaced, 3 times per year. Therefore, your turn is 3. In three turns a total 900 ties are sold in a year on an average.

Stock Turn is often increased by reducing selling price. Retailers like Wal Mart offer products at low prices thereby selling to more number of customers. However, this obviously reduces profit. A balance needs to be reached between the proper stock turn, and the proper profit margin on the products sold in the store. Increased stock turn is a number game in Retail and therefore competitive pricing policy can help achieve better stock turns and also result in better bottom line for the store.

Stock Turn = Annual Sales / Average Inventory.

5.4.3 Stock to Sales Ratio

This is the ratio of the inventory available for sale versus the quantity actually sold. For every unit sold, how many units were on hand? Stock to Sales Ratio is the exact inverse of Sell Through Percentage.

Some compilers of industry data (e.g., Dun & Bradstreet) use sales as the numerator instead of cost of sales. Cost of sales yields a more realistic turnover ratio, but it is often necessary to use sales for purposes of comparative analysis. Cost of sales is considered to be more realistic because of the difference in which sales and the cost of sales are recorded. Sales are generally recorded at market value, i.e. the value at which the marketplace paid for the good or service provided by the firm. In the event that the firm had an exceptional year and the market paid a premium for the firm's goods and services then the numerator may be an inaccurate measure. However, cost of sales is recorded by the firm at what the firm actually paid for the materials available for sale. Additionally, firms may reduce prices to generate sales in an effort to cycle inventory. Here, the terms "cost of sales" and "cost of goods sold" are synonymous.

An item whose inventory is sold (turns over) once a year has higher holding cost than one that turns over twice, or three times, or more in that time. Stock turnover also indicates the briskness of the business. The purpose of increasing inventory turns is to reduce inventory for three reasons.

- Increasing inventory turns reduces holding cost. The organization spends less money on rent, utilities, insurance, theft and other costs of maintaining a stock of good to be sold.
- Reducing holding cost increases net income and profitability as long as the revenue from selling the item remains constant.
- Items that turn over more quickly increase responsiveness to changes in customer requirements while allowing the replacement of obsolete items. This is a major concern in fashion industries. However high turns may indicate that, the inventory is too low. This often can result in stock shortages.
- When making comparison between firms, it is important to take note of the industry, or the comparison will be distorted. Making comparison between a supermarket and a car dealer, will not be appropriate, as supermarket sells fast moving goods such as sweets, chocolates, soft drinks so the stock turnover will be higher. However, a car dealer such as Honda will have a low turnover due to the item being a slow moving item. As such only intra-industry comparison will be appropriate.

When getting into inventory, Stock to Sales Ratio is a key statistic for measuring whether or not you are overstocked. If the Stock to Sales Ratio rises, and there is not an accompanying rise in sales, then you are adding more stock without increasing sales, which will reduce your profitability. If the Stock to Sales Ratio decreases and your sales do not decrease, then you will have increased profitability.

Buying and Merchandising Following formula can be used to calculate and manage stock accordingly –

Stock to Sales Ratio = Averaged Units of Inventory Available / Units Sold.

This will reduce the Stock to Sales Ratio as low as possible, without losing sales.

5.4.4 Sale Through Percentage

This is the percentage of stock you had available for sale which was actually sold.

Sale Through Percentage is the exact inverse of Stock to Sales Ratio.

Sale Through Percentage is especially important for seasonal merchandise, since the goal is to be out of stock of seasonal merchandise by the end of the season. Therefore, you can look at your year-to-date sales of seasonal merchandise, and be sure that you were out of stock by the end of the season.

Sale Through Percentage = Average Units Sold / Averaged Units of Inventory Available

Since this calculation primarily concerns seasonal merchandise, plan out the percentages to be sold out by month, so that you can ensure being out of stock by season end. This will give you better control for accurate stock and sales management.

5.5 SETTING MARGIN OBJECTIVE

Many Retailers use the performance indicators of gross margin percentage (after markdown) and week's cover to measure performance. While the gross margin percentage is a measure of relative profitability without taking into account the cost of stockholding investment, week's cover tells us how effectively the stock turned, without informing us about relative profitability. What is needed is a measure that combines these two indicators into an indicator of real profitability. Gross Margin Return on Inventory Investment (GMROI) does this.

GMROI is calculated as Gross Margin / Average Inventory at cost

GMROI is a merchandise planning and decision making tool that assists the buyer in identifying and evaluating whether an adequate gross margin is being earned by the products purchased, compared to the investment in inventory required to generate the gross margin. It focuses the buyer's attention on the return on

investment rather than on sales as a basis for merchandising decisions. The focus is on SKUs (stock keeping units) of each individual product rather than department totals and it keeps identify product winners' and core products. Product winners are those products that perform well, which boost profitability and are the best return on investment products. Core products on the other hand, are the buyer's list of existing winners that can never be out of stock. They're the most valuable products in terms of their high profitability and their excellent return on investment.

Gross margin is the value of sales less the cost of goods sold. Increasing gross margin entails increasing sales revenue or reducing the cost of the merchandise. The obvious way to increase sales revenue is simply to increase prices. Unfortunately in a competitive environment, things are not that easy. The recommended approach is to avoid products that are known value items or those that your competitors focus on for price comparisons. Merchandise managers who can effectively inter-relate gross merchandise management and inventory turnover management will be able to achieve high performance results.

Check Your Progress B

1. List the five decisions for an Item in Stock.

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2. What is the basis of "Days of Supply"?

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3. What is meant by Stock Turn?

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4. What do you mean by Stock to Sales Ratio?

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5. Which of the following statements are **True** or **False**?

- i) Fashion category sales are consistent from one season to another.

- ii) The EOM stock for a particular month is same as the BOM stock for the next month.
- iii) Toothpaste is a seasonal merchandise.
- iv) If out of an average inventory of 400 trousers, all are sold out every 3 months, the stock turn is 3.
- v) Stock to Sales Ratio is the inverse of Sell Through Percentage.

5.6 LET US SUM UP

The merchandise plan is a financial or Rupee plan allocating a specific amount of money to each department or division for the purchase of an appropriate assortment of fashion merchandise that will meet consumer demand and sales goals. The merchandise planning process requires planners to develop detailed plans to achieve the company goals. The merchandise plan is usually developed once or twice a year by the merchants in an organization.

Merchandise Planning comprises a number of components, such as receipt plans, sales plan, mark-up plan, mark-down plans, stock planning and gross margin-profits.

Setting sales objectives is the most significant figure and is calculated first, as it is the basis of the mark-down and purchase figures. It requires reviewing and analysis of the past sales and a number of factors that may influence sales in the planned period.

The Nielsen definition of a category, used as the basic definition across the industry is that the products should meet a similar consumer need, or that the products should be inter-related or substitutable. While making sales forecasts for a specific merchandise category, Retailers take information from various sources, such as past sales volume, published secondary data and customer surveys. Setting stock objective is another important aspect which includes maintaining adequate assortment and regulating the rupee investment of stocks in relation to sales to obtain a satisfactory balance between the two factors.

Days of Supply is a key statistic which tells how long it will take to sell out the present stock, assuming that sales continue at the same rate as recent past sales. Stock Turn is a measure of how many times the inventory is replaced in the course of a year. Stock to Sales Ratio is the ratio of the inventory available for sale versus the quantity actually sold.

Sell Through Percentage is the percentage of stock available for sale which was actually sold. Sell Through Percentage is the exact inverse of Stock to Sales Ratio. Sell Through Percentage is especially important for seasonal merchandise, since the goal is to be out of stock of seasonal merchandise by the end of the season.

Gross margin is the value of sales less the cost of goods sold. Increasing gross margin entails increasing sales revenue or reducing the cost of the merchandise.

5.7 KEY WORDS

Fad Category: Fads are often seen with common consumer items, especially around a holiday season.

Fashion Category: Style, clothing and clothing industry and cultural and social trends.

Key Performance Indicators (KPIs) : Also known as KPI or Key Success Indicators (KSI), help an organization define and measure progress toward organizational goals.

Mark down Plan: To reduce the price of something.

Mark up Plan: A raise in the price of an item for sale.

Staple Merchandise: A basic dietary item, such as flour, rice or corn.

Stock to Sales Ratio: Inventory turnover ratio measures the velocity of conversion of stock into sales.

5.8 ANSWERS TO CHECK YOUR PROGRESS

B 5 i) False ii) True iii) False iv) False v) True

5.9 TERMINAL QUESTIONS

1. Explain the importance of the merchandise planning in the retail business. Describe different factors that are taken into account for this purpose.
2. Explain the process of setting sales objective.
3. What is meant by setting stock objectives? Describe important factors which help in taking appropriate decisions in this regard.

4. Write short notes on:

- a) Stock Turn
- b) Stock to Sales Ratio

5. What do you mean by Setting Margin Objective? How it is related to GMROI?

Activities

1. Study the stock to sales ratio of a particular assortment category in your nearby Mall.
2. Study the criteria of setting margin objective of a particular category in your nearby Mall.

UNIT 6 PRICING

Structure

- 6.0 Objectives
- 6.1 Introduction
- 6.2 Importance of Pricing
- 6.3 Factors Affecting Retail Pricing
- 6.4 Break-Even Pricing and Mark-Up Pricing
- 6.5 Nine Laws of Price Sensitivity
- 6.6 Pricing Methods
- 6.7 Reductions
- 6.8 Let Us Sum Up
- 6.9 Key Words
- 6.10 Answers to Check Your Progress
- 6.11 Terminal Questions

6.0 OBJECTIVES

After studying this unit, you should be able to:

- explain the importance of pricing;
- outline the objectives of pricing;
- describe the factors affecting pricing;
- discuss the break-even and mark-up pricing;
- explain nine laws of price sensitivity;
- describe various pricing methods;
- discuss the reductions in Retail Firms.

6.1 INTRODUCTION

Pricing is one of the “4Ps of the marketing mix and determines the strategies adopted for positioning the product in the market. It also influences the returns on the investments. For a successful business, it is crucial to keep a judicious balance between the margins and the customers’ buying ability. Thus while fixing the selling price of a product, a number of factors must be taken into

account. In this unit, you will learn about the concept of the pricing and the factors that affect it. You will further learn the nine laws of the price sensitivity and different pricing methods. You will also be acquainted with the different types of reductions in the prices.

6.2 IMPORTANCE OF PRICING

Pricing is the process of determining price at which a product is bought or sold. Pricing is a very important aspect in success of any Retailer . It is one of the four major elements of the marketing mix. Pricing is an important strategic issue because it is related to product positioning and is a reflection of Retailer 's understanding of customer profile and buying behaviour.

Pricing is the process of determining what a company will receive in exchange for its products. The factors of pricing are: manufacturing cost, market place, competition, market condition, and quality of product. Pricing is also a key variable in micro economic price allocation theory. Pricing is a fundamental aspect of financial modeling and is one of the four Ps of the marketing mix. The other three aspects are product, promotion, and place. Price is the only revenue generating element amongst the four Ps, the rest being cost centers.

Pricing is the manual or automatic process of applying prices to purchase and sales orders, based on factors such as: a fixed amount, quantity break, promotion or sales campaign, specific Vendor quote, price prevailing on entry, shipment or invoice date, combination of multiple orders or lines, and many others.

Automated systems require more set up and maintenance but may prevent pricing errors. The needs of the consumer can be converted into demand only if the consumer has the willingness and capacity to buy the product. Thus pricing is very important in marketing.

Irrespective of what product one sells, price charged to customers have a direct effect on the success of your business. There are different methods with which pricing strategy can be determined; however, the basic rules of pricing remain consistent and are as follows:

- All prices must cover costs and profits.
- Review prices frequently to assure that they reflect the dynamics of cost, market demand, response to the competition, and profit objectives.
- Prices must be established to assure sales.

1. Maximise Profits and Achieve Return On Investment (ROI)
2. Positioning
3. Gain or Maintain Market Share

6.3 FACTORS AFFECTING RETAIL PRICING

Various factors need to be taken into account while determining price of a product. viz, market positioning of the Retailer , competition benchmarking for prices of same / similar products and profit expectation on the product by the Retailer .

Therefore, key factors influencing the pricing strategy are :

1. **Store Positioning:** Based on the image that Retailer wants to establish in customer's mind is key to pricing strategy. In case of Discount Formats, pricing strategy will be to be lowest / equally priced among their competitors to ensure that positioning is maintained. Whereas in case of a departmental Store or Premium Brands outlet, product is priced at a premium providing value in form of presentation, value addition, etc. Product portfolio in both cases is also created to reinforce the same.
2. **Competition Price Benchmarking:** In most cases where there is a scenario of perfect competition, prices offered by competing Retailers are determined to ensure that customers get the right price. Whereas in cases of monopoly, Retailer may choose to set price as he wishes.
3. **Store Location:** The prices of similar products may differ in different markets based on level of competition, tax structures, cost structures and customer profiles.
4. **Market Share:** Based on the market share, pricing strategy can be determined. For example, in case of a market leader, price can be at a premium whereas any other players in the market cannot afford to do so, e.g. Nokia in Mobile Handsets.
5. **Profitability Desired:** Based on the profit desired, pricing is done above the average cost to meet the objective. This factor is taken into account alongside the market condition with factors such as demand, supply and market share of the player.

6.4 BREAK-EVEN PRICING AND MARK-UP PRICING

Break-even and mark-up pricing are frequently used by Retail Firms. Let us learn them in detail.

Break-Even Pricing: As any business to be profitable, it needs to make more revenue than the cost incurred. In order to achieve the desired revenue, it becomes necessary to understand different cost aspects as well as no. of pieces as quantity required to be sold at a given price. This is also termed as Break Even Analysis.

Cost types to be ascertained are:

1. **Fixed Cost:** This type of costs do not vary as per the production output, e.g. rent for factory / office space, insurance premiums, salary of office staff, etc.
2. **Variable Cost:** This type of cost varies as per production output or merchandise sold or services provided, e.g. raw material consumption in production set up, carry bags issued with merchandise sold, commission paid to the employees on sale, etc.

Break even analysis is then carried out to determine Break Even point. Break Even Point is termed as the point at which business is on No Profit No Loss situation. i.e. cost has been recovered but no profit made.

To determine no. of units to be produced or sold to achieve break even , calculation is done as follows:

$$\text{Break Even Units} = \frac{\text{Fixed Cost}}{\text{Profit per unit}}$$

To determine the amount of revenues achieved to break even, calculation is done as follows:

$$\text{Break Even Revenue} = \frac{\text{Fixed Cost}}{(1 - \text{Variable cost per unit} / \text{Sales Price per unit})}$$

Mark-Up Pricing: This method is most commonly used method in the retailing context. The difference between the selling price to the customer and the cost of the product is termed as Mark-up.

Mark-Up calculations can be in Rupee terms or percentage. It can also be indexed on Cost Price or Selling Price. When Mark-Up is indexed on selling price, it is also termed as margin.

$$\text{Mark-Up (in Rs.)} = \text{Selling Price} - \text{Cost Price}$$

$$\text{Mark-up \%} = \frac{\text{Mark-up}}{\text{Cost}} \times 100$$

$$\text{Margin \%} = \frac{\text{Mark-up}}{\text{Selling Price}} \times 100 = \frac{50}{150} \times 100 = 33.33\%$$

e.g. A Retailer pays Rs. 100 for a book to be sold in his Store for Rs. 150.

$$\text{Mark-Up (In Rs.)} = \text{Selling Price} - \text{Cost Price} = 150 - 100 = 50$$

$$\text{Mark-up \%} = \frac{\text{Mark-up}}{\text{Cost}} \times 100 = \frac{50}{100} \times 100 = 50 \%$$

$$\text{Mark-up \%} = \frac{\text{Mark-up}}{\text{Cost}} \times 100 = \frac{50}{100} \times 100 = 50 \%$$

$$\text{Margin \%} = \frac{\text{Mark-up}}{\text{Selling Price}} \times 100 = \frac{50}{150} \times 100 = 33.33\%$$

Check Your Progress A

1. Define Pricing.

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2. What are the objectives of Pricing?

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3. List three factors that affect Retail Price.

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4. What is meant by the Break Even Pricing?

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5. What is Break Even Revenue?

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6.5 NINE LAWS OF PRICE SENSITIVITY

In their book, *The Strategy and Tactics of Pricing*, Thomas Nagle and Reed Holden outlined 9 laws or factors that influence a buyer's price sensitivity with respect to a given purchase. These laws or factors are discussed below:

1. **Reference Price Effect:** Buyer's price sensitivity for a given product increases the higher the product's price relative to perceived alternatives. Perceived alternatives can vary by buyer segment, by occasion, and other factors.
2. **Difficult Comparison Effect:** Buyers are less sensitive to the price of a known / more reputable product when they have difficulty in comparing it to the potential alternatives.
3. **Switching Costs Effect:** The higher the product-specific investment a buyer must make to switch suppliers, the less price sensitive that buyer is when choosing between alternatives.
4. **Price-Quality Effect:** Buyers are less sensitive to price the more that higher prices signal higher quality. Products for which this effect is particularly relevant include: image products, exclusive products, and products with minimal cues for quality.
5. **Expenditure Effect:** Buyers are more price sensitive when the expense accounts for a large percentage of buyers' available income or budget.
6. **End-Benefit Effect:** The effect refers to the relationship a given purchase has to a larger overall benefit, and is divided into two parts:

Derived demand: The more sensitive buyers are to the price of the end benefit, the more sensitive they will be to the prices of those products that contribute to that benefit.

Price proportion cost: The price proportion cost refers to the percent of the total cost of the end benefit accounted for by a given component that helps to produce the end benefit (e.g., think CPU and PCs). The smaller the given components share of the total cost of the end benefit, the less sensitive buyers will be to the component's price.
7. **Shared-Cost Effect:** The smaller the portion of the purchase price buyers must pay for themselves, the less price sensitive they will be.

8. **Fairness Effect:** Buyers are more sensitive to the price of a product when the price is outside the range they perceive as “fair” or “reasonable” given the purchase context.
9. **The Framing Effect:** Buyers are more price sensitive when they perceive the price as a loss rather than a forgone gain, and they have greater price sensitivity when the price is paid separately rather than as part of a bundle.

6.6 PRICING METHODS

1. **Skimming Pricing:** This method of pricing aims at products where there is a competitive advantage but not sustainable, since it can be replicated soon. High price tends to attract greater competition and therefore till the time oversupply situation is reached, price can be skimmed. Generally, customers for these products are early adopters. They are willing to pay premium to own newly launched products which are innovative, improved product or style statement. This method is highly successful in conspicuous and technology products which are launched earlier than competition, e.g.
 1. New Launches of technology products at premium segments – I phone, LCD TV, etc.
 2. Designer clothing or accessories.



In this method price is consciously dropped as the demand starts falling from early adopters. This is when early adopters would scout for newer options.

- 2. Penetration Pricing:** In order to “penetrate” the market, price is artificially set low so as to gain market share. Once this is achieved, price is increased to the desired level. This is normally done where there is a cost to buy the product or services and thereafter recurring expense in the form of monthly rentals or replacement of parts drives revenue which is assured.

For example,

- i. Mobile service providers,
- ii. Satellite TVs
- iii. Gillette Razors



- 3. Premium Pricing:** In order to “Differentiate” itself and convey products / services that are unique or luxurious, this method of pricing is used. These products cater to classes.



Examples:

- i. Luxury Brands such as Cartier, Gucci, etc.
- ii. Premium Hotels and resorts.

4. **Economy Pricing:** It is a “No Frill Pricing Model”. Simply put, cost of manufacturing and marketing is kept at minimum. The objective here is to develop mass markets for these products. For example, Hypermarkets and Super market would use this model to drive volumes in respective categories.
5. **Psychological Pricing:** This pricing model is aimed to create “Perception of Value” in customers’ mind although it is not so in reality, e.g. pricing a product @ Rs. 99/- and not 100/-



6. **Bundled Pricing:** This pricing model is combined or packaged together to be sold as one unit. Deals such as “Super Saver Packs” or “Multipacks” are examples of bundled pricing. This helps Retailer to sell larger units resulting in volume advantage. This method of pricing is widely prevalent in Hypermarket, Super market formats where price benefit is largely due to the volume throughput.



7. **Promotional Pricing:** This Pricing model is used to improve “Quantity offtake” to ensure higher inventory rotation. Examples, such as Buy1 Get 1 are widely used for promotional pricing.



8. **Captive Pricing:** This Pricing model is used when a product requires repeat purchase for its accessories on a recurring basis or “After sales Service” for its maintenance. Here, primary sale is made at an attractive price and subsequent sale of accessories is made at a premium.

Examples:

- i. Shaving Razors are sold with the blades at an attractive prices whereas individual blades are sold at a premium. The design of the razor is also made in such a way that it is necessary to purchase the blade of the same brand.
- ii. Printers similarly are sold at an attractive price whereas individual printer cartridges are sold at a premium.



9. **Optional Product Pricing:** This pricing model is used to sell add ons and increase value per customer as they start to buy. These optional increase the overall price of the product or service for an added feature / benefit.

Examples:

- i. While buying a cappuccino at Coffee chains, customer is asked for different flavours that can be topped up or cookies while order is being accepted. This very often results into acceptance from the customer end and the bill value goes up.
- ii. Similar example can be seen in Pizza Chains with toppings of various types.



- iii. In Insurance Business, the same is seen in case of policy riders of different nature
- iv. In case of Low Cost Airlines, for reserving a specific seat, additional charges are levied. This is usually done at the time of booking of ticket.

10. **Geographical Pricing:** Based on locations, price is determined for products services. This could be duty to distance or accessibility which may result in cost increase due to:

- i. Transportation,
- ii. Tax Structures,
- iii. Rarity of the product for the region.

Examples:

- 1. Products sold in hills, usually incur additional transportation cost – this results in higher price of the product for the region.
- 2. Differential Tax Structures which vary at state level may result into higher price to the customer.
- 3. Countries such as Maldives that do not grow food products and are dependent largely on import of need products. In such cases normally accepted commodities are sold at a premium, e.g. lemon, coriander, etc.

11. **Everyday Low Pricing (EDLP):** This method of pricing strategy is to create strong value image in customer's mind and attracting them on a continuous basis and not merely on promotions. Here the key objective of the Retailer is to price lower against the competition in their respective catchment area, e.g. Walmart and Toys RUs.



12. **Multiple Pricing:** This method of pricing strategy is to increase volume throughput by giving higher benefit on greater units purchased. This is also called Ladder Pricing.

For example, Buy1 get 10% Discount, Buy 2 get 20% discount and Buy3 get 30% discount – This makes customer buy more and therefore benefit more. One more form of this pricing is when discounted price is communicated instead of percentage discount. This form of pricing is called Multi Unit pricing.

For example, a shirt is priced at Rs. 199 whereas 2 shirts are offered at Rs. 299/-

13. **Product Line Pricing:** This method of pricing is to promote range of products or services to reflect the benefits of a package price as against the parts. For example, price of a shirt – Rs. 499/- and price of a tie – Rs. 199/- - However when bought as a set, then price of the package is Rs. 599/-



14. **Extinction Pricing:** This method of pricing is to extinct competition by pricing much lower than them. This form of pricing indicates “Under cutting ” competition.

You have already learnt the importance and factors affecting Retail pricing, nine laws of price sensitivity and the methods of pricing. Let us now learn about the reductions in Retail Firms.

Retailer needs to employ reductions as a concept in many a cases. This can be in the form of reducing prices as:

- a) Mark Downs
- b) Discounts

Let us learn them in detail.

- a) **Mark Downs** : These are price changes carried out periodically to respond to changing scenarios in Retail. These are generally done with change in price tags. This is a response to poor sales season or leftover sizes of product line, etc.

Markdown is beneficial to ensure the good health of merchandise in the Store. Timely actioned markdowns helps in selling non moving products / styles or cut sizes, as well as revise pricing to meet customer perception, etc. Retailers calculate markdown both in Rs. and percentage terms. Markdown component ought to be budgeted for any Retailer to arrive at the realistic picture of profitability at the beginning of the season.

Mark Down (in Rs.) = Planned Sales Value – Net Sales Value

$$\text{Mark Down \%} = \frac{\text{Mark Down (in Rs.)}}{\text{Net Sales}} \times 100$$

For example, Planned Sales = Rs. 425,000, Net Sales = 400,000

$$\begin{aligned} \text{Mark Down (In Rs.)} &= \text{Planned Sales Value} - \text{Net Sales Value} \\ 425000 - 400000 &= 25000 \end{aligned}$$

Therefore,

$$\text{Mark Down \%} = \frac{\text{Mark Down (in Rs.)}}{\text{Net Sales}} \times 100 = \frac{25000}{400000} \times 100 = 6.25 \%$$

- b) **Discounts**: It is generally offered to customers who offer you business benefit.

- I. **Volume Discounts** : It is provided to customers where large order make economics drive to reduce cost per unit and thereby improve profitability or improve liquidity

- II. **Cash Discounts:** It is offered to customers who pay promptly. This helps maintain cash flow in the organisation thereby ability to plough back money in the business to earn more revenue and thereby greater profits.
- III. **Seasonal Discounts:** It is offered to encourage customers to buy during lean season and thereby improve cash flow

Check Your Progress B

- 1. List any four important Laws of Price Sensitivity.
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- 2. What do you mean by Skimming Price?
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- 3. What is Psychological Pricing?
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- 4. How does Mark Down Pricing help?
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- 5. Which of the following statements are **True** or **False**?
 - i) The four Ps of marketing mix are product, promotion, pricing and place.
 - ii) At Break-even Point, business is at no profit no loss situation.
 - iii) Buyers are more sensitive to price when higher prices signal higher quality.
 - iv) Psychological pricing enhance the sales.
 - v) In captive pricing, the primary sale is at a higher price and the subsequent sales are at discount price.

6.8 LET US SUM UP

Pricing can be defined as the process of determining the price at which a product is bought or sold. A number of factors, such as manufacturing cost, market place, competition, market condition and quality of product are taken into account while fixing the price. The objectives of pricing are maximize profits and return on investments (ROI), positioning and gain or market share.

Various factors, namely store positioning, competition, store location, market share and profitability desired affect the retail price.

Thomas Nagle and Reed Holden have outlined nine laws of the price sensitivity. There are a number of pricing methods, such as skimming, penetration, premium, economy, psychological, bundled, promotional, captive, optional, geographical, everyday low, multiple, product line and extinction pricing. The prevailing situation and the desired results determine the actual method to be followed for pricing.

Reduction is also an important concept to push up the sales and clear the stocks in the retail business.

6.9 KEY WORDS

CPU (Central Processing Unit): It is the part of the computer which controls the interpretation and execution of instructions.

Designer Clothing: Bearing the name, signature or identifying pattern of a specific designer.

End – Benefit: The benefit is that end users save on the hardware, software and maintenance.

Hyper Market: A very large commercial establishment that is a combination of a department store and a supermarket.

Mark Down Pricing: A reduction in the price of an item for sale.

Mark-Up Pricing: A raise in the price of an item for sale.

Market Share: Percentage of total sales volume in a market captured by a brand, product, or firm.

Marketing Mix: It is the combination of elements that you will use to market your product. These are four elements: Product, Place, Price and Promotion.

Product Portfolio: A combination of two or more product families.

Return on Investment (ROI): The income that an investment provides in a year.

6.10 ANSWERS TO CHECK YOUR PROGRESS

B 5. i) True ii) True iii) False iv) True v) False

6.11 TERMINAL QUESTIONS

1. What are the objectives of pricing? Describe the factors that are taken into account while fixing the price.
2. Discuss different types of pricing methods giving illustrative examples.
3. What is meant by Break Even Analysis? Explain the “Mark-up” method of pricing.
4. Describe nine laws that influence buyer’s price sensitivity.
5. What is meant by “Reductions” in pricing? How does it help in the sales?

Activities

1. Study different pricing methods for 2-3 categories followed in a nearby Mall and how they are changed on different occasions.
2. Discuss with the manager in the Mall and examine which pricing method is more successful i.e. generates more turnover.

UNIT 7 ASSORTMENT PLANNING

Structure

- 7.0 Objectives
- 7.1 Introduction
- 7.2 Necessity and Guidelines for Planning
- 7.3 Assortment Planning
- 7.4 Factors Influencing Assortment Planning
- 7.5 Commercial Factors in Assortment Planning
- 7.6 Process Overview
- 7.7 Assortment Width Planning
- 7.8 Let Us Sum Up
- 7.9 Key Words
- 7.10 Answers to Check Your Progress
- 7.11 Terminal Questions

7.0 OBJECTIVES

After studying this unit, you should be able to:

- explain the necessity and guidelines for Retail assortment planning;
- describe the factors influencing the assortment planning;
- discuss the elements of assortment planning;
- describe the commercial factors in assortment planning;
- discuss the process involved in assortment planning; and
- describe the assortment width planning.

7.1 INTRODUCTION

Why should any Retailer take the trouble of planning at all? Surely we can just buy a few products and put them on sale. Even if a Retailer was to take this approach, at some stage, questions like, ‘Which products? How many? Who is going to buy them? At what price, etc. will arise. As soon as anything goes beyond the random and starts to have some form or structure, some form of a plan

requires to be developed. In this unit, you will learn about the assortment planning and the factors that influence it. You will further learn about the assortment width planning and the key assumptions therein. You will also learn about the objectives of the assortment planning.

7.2 NECESSITY AND GUIDELINES FOR PLANNING

The necessity of planning arises because:

- A business cannot function effectively without clear and measurable objectives
- A plan defines these objectives and let you measure how well are you doing?
- The bigger the business the more necessary to break it down into manageable chunks. Planning should aim to make complex businesses simple and understandable so that it can be managed.

Some Guidelines for Planning

While planning you should consider following guidelines:

Be Realistic

Do not bite off more than you can chew and be realistic about what you can achieve. Take your resources into account. Make sure that everything that needs to be measured is planned and everything that is planned can be measured.

- Vague targets serve no value. Specific targets can be hit with the right tools and skills.

Always understand your contingencies

- Things may go wrong. If you can predict what these things are likely to be and what the impact will be if they do happen, then they can be built into the plan.

Do not take detours

- Good businesses have often failed because they have become side-tracked from their chosen path.
- Always, focus on the primary objectives, both strategic and operational.
- Be consistent – changing direction all the time does not help the business to function.

The product is without any doubt the most important part of the Retail Mix.

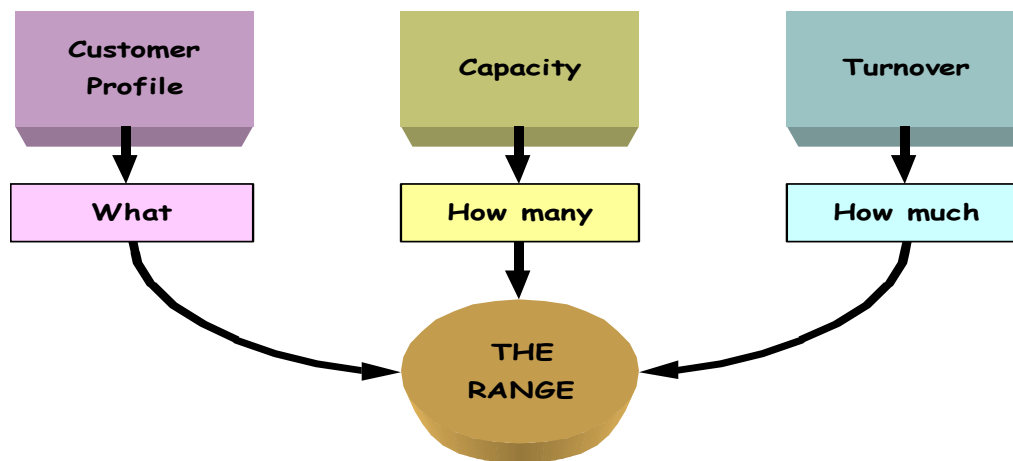


Figure 7.2 : The 3 Drivers

Regardless of store environment, excellent service or attractive promotions , customer will walk out of your store happy, only if they are able to buy product which meets their needs.

Range i.e. assortment planning is the process that ensures that the customer needs are met by buying the **right width** of the **right product** in the **right depth** and delivering it to the stores at the **right time**. In simple terms, assortment planning is where you decide **what to buy, how many options to buy and how much to buy of each option, and when to put it on sale**. ‘What’ is determined by the customer profile, ‘how much’ by the planned turnover, ‘how many’ by the capacity available and when by commercial considerations and the product life cycle. Look at Figure 7.2 which shows the three drivers.

Retailer operates in a competitive environment and must aim to differentiate themselves from their competitors. While some of this differentiation will come from other sources, such as the store environment or the marketing, a great deal of the onus will rest on the product. While planning the assortment you must consider about the right product, right place and the right time. Let us discuss them in detail.

Right Product: *Make sure the customer is given the best possible choice of product at all times with respect to the following:*

- Define your price architecture with respect to your Lead in, Mid and Premium price points
- Set the price according to what the customer wants to pay, and so that you maintain a clear price message and be flexible with your margin rate. Do not set the selling price according to the cost price for the product with a fixed margin rate.

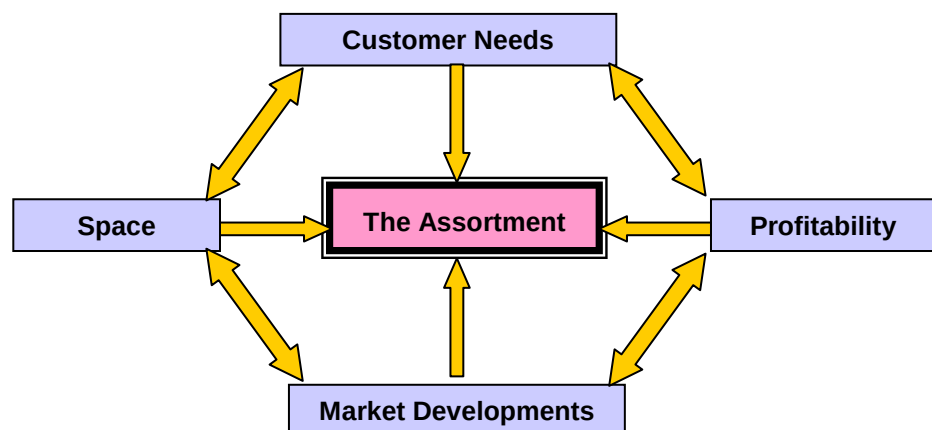
Colour/ Style/ Fabric/ Innovation

- Identify the key looks and ‘must have items’.

Right Place: When planning the assortment, one needs to take into consideration the physical capacity of each store. The replenishment cycle also needs to be considered. The faster you are able to replenish from your DC or from the supplier, the less stock you will need to hold at the front end.

Right Time: Deciding the right time to launch the product is critical. Various factors like peak festive periods, holidays, change of weather for seasonal merchandise need to be considered.

7.4 FACTORS INFLUENCING ASSORTMENT PLANNING



Factors 7.1 : Factors Influencing Assortment Planning

Look at Figure 7.1 which shows factors influencing assortment planning. Although the customer is the most important element in determining what the assortment will contain, there are other influences and constraining factors that need to be taken into account. The physical limitations due to the size of the outlets, the developments in the market as a whole and the expected level of profitability must all be considered.

It is important to understand the interdependencies between these four elements. For example, the customer may wish to have the widest possible Assortment but there may not be the sufficient space to stock it, the trend in the market may be for lower priced product but this may not deliver the required level of profitability, or, may be space is available but no suitable product is available. It is not possible to build a successful Assortment without understanding these relationships.

Check Your Progress A

1. Explain the Necessity of Planning.

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2. List three Guidelines for Planning.

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3. Define Assortment Planning.

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4. List three factors that influence Assortment Planning.

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5. What is the objective of the Assortment Planning.

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7.5 COMMERCIAL FACTORS IN ASSORTMENT PLANNING

The commercial factors in assortment planning involve:

- How much do I Buy?
- What Rate of Sale can be expected?
- Do I have any history of similar products?
- What is the 'true' demand?

Product Life Cycle

- What is the life cycle/ shelf life of each item?
- What level of Mark down will I need to take to clear the residual stock?
- When will I need to take it?
- How much can I afford?

When should I plan my assortment?

- The product development and production lead time must be understood.

What are my risks and contingencies?

- How much do I have to book now?
- Will I be able to repeat?
- What happens if I have overbought?

Availability

- Never out of stock, never over-stocked.
- Replenishment is critical.

7.6 PROCESS OVERVIEW

On the face of it, the assortment planning process appears simple. These are as follows:

- Gather information
- Develop product
- Make selection
- Buy Assortment

Needless to say, although the broad process follows this path, there are a lot of factors that need to be taken into account, and the assortment will have to be built within capacity and Open to Buy limitations.

Before the actual assortment selection, a lot of preparatory work needs to be done, that leads to the selection, particularly with respect to creating the right structure for the Assortment in a way that meets capacity constraints yet meets customer needs at all times.

Good planning is the key and the more effort and thought that go into these preliminary stages, the more likely to Assortment will be to succeed.

Look at Figure 7.3 which shows range planning process flow.

It can be seen from this diagram that there are a great deal of dependencies and interactions within the process – the department financial plans will depend on the Assortment structure; the Assortment structure will depend on the Assortment width plans and the Assortment width plans will depend on the department financial plans and so on.

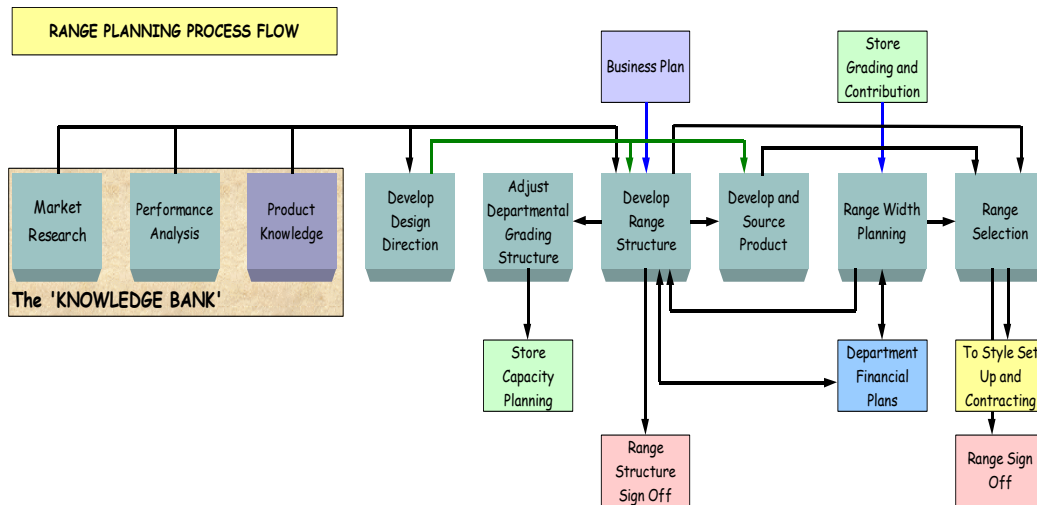


Figure 7.3 : Range Planning Process Flow

It is important to note that more than any other process, range planning does not follow a logical flow. The diagram illustrates the connectivity between the various components, more than the order in which they will be completed; for instance, Assortment width planning will often start before development of the Assortment structure. Assortment planning can start whenever it is most appropriate for the department and, although there will be set sign off points for the Assortment structure and the product itself, it will only really ‘end’ when the final option has been placed.

There are seven elements to the process. Let us learn them in detail.

Gather Information: Building a ‘knowledge bank’ of information taken from observations of the market behaviour learning from previous season performance and product knowledge. Study the emerging trends as well as the forecasts to add freshness and innovation to the assortment. This is a continuous process that is not specific to a particular season.

Develop the Assortment Structure: Development of the ideal assortment structure with regards to the option mix of price, colour, styling, etc. drawing on the information held in the knowledge bank and taking into account the overall business plans and the design direction.

Determine the Design / Trend Direction: The development of the design brief which will give the overall design/ trend direction for the department.

Product Development and Sourcing: Sourcing and development of product that will fit within the planned structure.

Assortment Width Planning: Planning of the width and depth of Assortment needed to achieve the planned sales from the available capacity.

Assortment Selection: Selection of the required number of options for each grade of store taking into account the planned Assortment structure

Note that, depending on the product lead time, assortment selection will often carry on throughout the season. It is only on long lead time departments that assortment selection will be finished before the season starts.

Assortment Sign Off

There are usually two points when the assortment plans are signed off.

1. When the assortment structure has broadly been finalised, the attribute plans will usually be signed off and be fixed. This will happen well in advance of the selection of the assortment and ensures that there is a benchmark by which the actual product bought can be measured.
2. Following selection, and prior to any major contracting activity, there will usually be a sign off the product. Since not all products may have been selected before the beginning of the season, depending on the lead time, there may need to be more than one product sign off for one season.

7.7 ASSORTMENT WIDTH PLANNING

Once the assortment structure and the design direction have been defined and product development is underway, one final piece of the jigsaw will be required before selection can be completed. Having decided on the 'What' part of the assortment equation you now need to establish, the 'How Much' and the 'How Many' in terms of the number of options and the total units you need to buy. The process of doing this, Assortment Width Planning, converts the financial and capacity plans into the assortment width and depth requirement.

The objectives of assortment width planning are:

- to ensure that every store is able to achieve its planned sales from the available capacity.
- to ensure that the number of options and the performance criteria by grade 'looks right' rather than to aim for absolute accuracy.
- The accuracy of the plans depends on the quality of the source data.

Key Assumptions in Assortment Width Planning

Assortment Grade Determines Width: *All stores in the same assortment grade – that is all stores with the same profile and capacity, as determined by the department grade selected in store planning – will receive the same width of assortment.*

Replenishment Grade Determines Depth: *All stores in the same replenishment grade will be planned to receive the same number of units of each option that they receive. This does not mean that they will actually receive the same number of units. That will depend on performance and will be managed through replenishment – if one store sells more than another then it should receive more units of replenishment. Look at Figure 7.4 and 7.5 which show assortment planning for women's wear.*



Figure: 7.4 : Assortment Planning for Women's Wear



Figure: 7.5 : Denim Assortment

The Objective of Assortment Planning : To Exceed Expectations

If there can be said to be one single objective of the whole assortment planning process it is that the assortment bought will exceed customer's expectations at all times.

Assortment planning is all about moving from inspiration through execution. Both are equally important, but while the inspiration may be good, the execution often is not. Importance of good assortment execution should not be underestimated. It takes diligence and discipline and it may not be easy but the end result will be happier customers and improved sales.

Check Your Progress B

1. List the commercial factors in the Assortment Planning.

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2. What do you mean by Product Life Cycle?

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3. List the seven steps in the Process Overview.

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4. What do you mean by Assortment Width Planning?

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5. Which of the following statements are **True** or **False**?

- i) Changing the direction often in business pays handsomely.
- ii) For a successful Retailer , it is necessary to look differently from his competitors.
- iii) It is always better to set the selling price according to the cost price with a fixed margin rate.
- iv) The development of a design brief is good for a store.
- v) The assortment width planning helps a store achieve its sales target.

7.8 LET US SUM UP

A business cannot function effectively without clear and measurable objectives. A plan defines these objectives and let you measure how well you are doing. Planning makes complex businesses simple and understandable so that it can be managed. It is imperative to follow some guidelines while making plan. Some guidelines include: be realistic, understand your contingencies and avoid taking detours.

Assortment planning is the process of ensuring that the customer needs are met by buying the **right width** of the **right product** in the **right depth** and delivering it to the stores at the **right time**. There are seven key elements to the Assortment Planning Process: 1) Gather information 2) Develop the Assortment structure 3) Determine the Design direction 4) Product Development & Sourcing 5) Assortment Width Planning 6) Assortment Selection 7) Assortment signoff.

Assortment Width Planning, converts the financial and capacity plans into the Assortment width and depth requirement. The objective of assortment width planning is to ensure that every store is able to achieve its planned sales from the available capacity. There are several key assumptions in the assortment width planning. Assortment planning is all about moving from inspiration through execution.

7.9 KEY WORDS

Assortment Structure: A collection of various kinds; a variety.

Contingencies: A possibility that must be prepared for; a future emergency.

Detours: A deviation from a direct course of action.

Innovation: The act of introducing something new.

Operational: Pertaining to a process or series of actions for achieving a result.

Replenishments: To fill or make complete again; add a new stock or supply to.

Strategic: Important or essential in relation to a plan of action.

Trend Direction: The general direction in which something tends to move, current style.

Vague Targets: Imprecise, uncertain or indefinite targets.

7.10 ANSWERS TO CHECK YOUR PROGRESS

B 5 i) False ii) True iii) False iv) True v) True

7.11 TERMINAL QUESTIONS

1. Why is assortment planning necessary for a successful business? Discuss the main guidelines for this purpose.
2. Describe the roles of right product, right place and right time in the assortment planning.
3. Discuss different commercial factors that affect assortment planning.
4. What is meant by process overview? Explain different steps involved therein.
5. What do you mean by assortment width planning? Explain key assumptions involved in it.

Activities

1. Study the assortment plan of a Retail Store and prepare its process flow chart.
2. Study the life cycle of a particular product category in a Retail Store and how they clear its stock.

UNIT 8 VENDOR SELECTION PROCESS

Structure

- 8.0 Objectives
- 8.1 Introduction
- 8.2 Vendor Selection Process
- 8.3 Factors Influencing Vendor Selection
- 8.4 Steps in Vendor Selection
- 8.5 Phases for Selection of Vendor
- 8.6 Vendor Evaluation Parameters
- 8.7 Let US Sum Up
- 8.8 Key Words
- 8.9 Answers to Check Your Progress
- 8.10 Terminal Questions

8.0 OBJECTIVES

After studying this unit, you should be able to:

- describe the process in selecting a Vendor;
- discuss the factors influencing Vendor selection;
- explain the process of Vendor selection;
- discuss the phases for selection of Vendor; and
- analyse the Vendor evaluation parameters.

8.1 INTRODUCTION

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The old mantra of ‘Right Product, Right Place, and Right Time’ remains true today but to this we should add ‘Right Supplier’ – the supply relationship is becoming increasingly critical in the delivery of the right product. In the purchasing process, as a Buyer/ Merchandiser, one has many responsibilities and tasks, but the most important aspect of purchasing is selecting the correct Vendor or Supplier. As Companies are forced to improve their own products and services, Vendors are pressured to upgrade their performance on quality, service and price. In this unit, you will learn about the process of Vendor selection and the different steps involved therein. You will further learn about the factors that are taken into

account while doing it. You will also learn about the parameters applied to evaluate the Vendor.

8.2 VENDOR SELECTION PROCESS

Look at Figure 8.1 which shows Vendor selection process. Let us learn these processes in detail.



Figure 8.1 : Vendor Selection Process

Awareness: The first step is to get to know the firm so that we can have a better understanding of what is it that you are looking for.

Need: Once we get to know the firm better, work out your needs and the ways in which we can source merchandise. Armed with this background, we will club what we have learnt about your firm with the information that we have about the industry to seek out the most appropriate Vendor to work with.

Strategy: Once we outline the needs, we need to strategize course of action. This is where we will sketch out your specific case and chart out what steps need to be taken in order to achieve your needs in sourcing of merchandise.

Business case: A critical decision-making factor when it comes to selecting Vendor is the decision of long term Vendor development to meet the business needs.

Budget: A critical decision-making factor when it comes to selecting Vendor is the budget that you have allocated on the project. Now that we have worked out what needs to get done, together we can finalize a number that can be realistically spent on this.

RFP process: It is now time to draft up a Request for Proposals. This is where it will help you communicate your needs in a written format along with a request for a quote from the Vendor. Your proposal will then be sent to a few potential Vendors who can match your requirements.

Select Vendor: Once we have finalized an agreement with a Vendor, the last step is to sign on the dotted line. Iron out the creases in the final decision so that both parties have a clear understanding of what the end results will be. As a large format Retailer, there are various avenues to identify and shortlist Vendors. While well known brands and businesses can be directly approached, the private label

manufacturers and suppliers can be identified and shortlisted at trade shows and exhibitions. Also, contacts of Exporters and other domestic/ International Manufacturers and Suppliers are available with different trade organisations like CII, FICCI, and CMAI, etc. The selection process does not always follow the same path and is not always applied in the same way, because circumstances differ and product and services required differ. Purchasing policies of the organization also influence the process of selecting a specific Vendor. These policy guidelines enable the purchasing department to make decisions more easily and also give direction to their actions.

8.3 FACTORS INFLUENCING VENDOR SELECTION

While the key criteria for Vendor Selection are Quality, Price, Terms, Delivery and Service, there are various other related factors which need to be considered as well:

- Does the Vendor have the capacity to meet your volumes ?
- Does the Vendor have a financially stable background and resources to manage supplies at the desired scale?
- Can they deliver the right quality at the right cost?
- Are they able to make on time deliveries every time?
- Are they capable of reacting quickly if unforeseen and unanticipated requirements crop up suddenly?
- Are they committed to the product and will they see your success as their success?
- Are they working as a true partner with an understanding of your needs, processes and timescales?
- Do they have the ability to grow and evolve with you?
- Is the Vendor technologically equipped to work with your system requirements?
- How has been their performance on previous orders?
- How does the Vendor compare with other Vendors in terms of efficiency, price and delivery?

Remember, a good Supplier is a key part of your team. Selecting competent Vendors in the first place, results in an almost problem-free buying department.

Check Your Progress A

1. List different steps in the initial Vendor Selection Process.

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2. What are the factors influencing Vendor Selection?

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3. What do you mean by Allocation of Budget?

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4. List different sections in a Request for Proposal.

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5. List the desirable qualities of a Prospective Vendor.

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8.4 STEPS IN VENDOR SELECTION

The vendor selection process can be a very complicated and emotional undertaking if you do not know how to approach it from the very start. Here are five steps to help you select the right Vendor for your business. This guide will show you how to analyze your business requirements, search for prospective Vendors, lead the team in selecting the winning Vendor and provide you with insight on contract negotiations and avoiding negotiation mistakes. Look at Figure 8.2 Which Shows Steps involved in Selection of Vendor

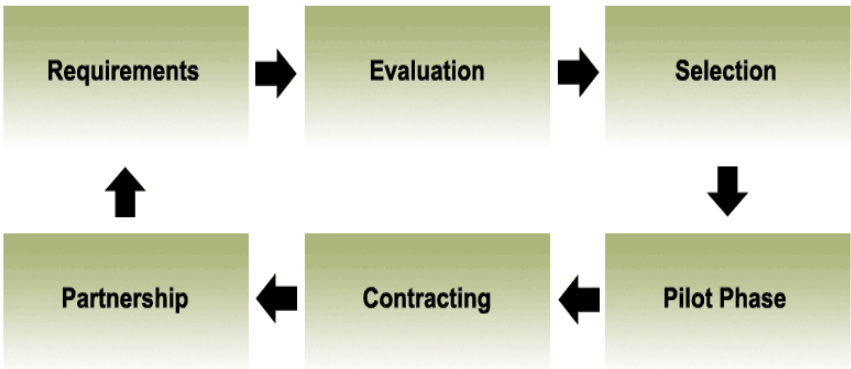


Figure 8.2: Selecting a Vendor

1. Analyze the Business Requirements: Before you begin to gather data or perform interviews, assemble a team of people who have a vested interest in this particular Vendor selection process. The first task that the Vendor selection team needs accomplish is to define, in writing, the product, material or service that you are searching for a Vendor. Next define the technical and business requirements. Also, define the Vendor requirements. Finally, publish your document to the areas relevant to this Vendor selection process and seek their input. Have the team analyze the comments and create a final document.

You should consider following:

1. Assemble an Evaluation Team
2. Define the Product, Material or Service
3. Define the Technical and Business Requirements
4. Define the Vendor Requirements
5. Publish a Requirements Document for approval

2. Vendor Search: Now that you have agreement on the business and Vendor requirements, the team now must start to search for possible Vendors that will be able to deliver the material, product or service. The larger the scope of the Vendor selection process, the more Vendors you should put on the table. Of course, not all Vendors will meet your minimum requirements and the team will have to decide which Vendors you will seek more information from. Next, write a Request for Information (RFI) and send it to the selected Vendors. Finally, evaluate their responses and select a small number of Vendors that will make the "Short List" and move on to the next round. In summary:

1. Compile a List of Possible Vendors
2. Select Vendors to Request More Information From
3. Write a Request for Information (RFI)
4. Evaluate Responses and Create a "Short List" of Vendors

3. Request for Proposal (RFP) and Request for Quotation (RFQ): The business requirements are defined and you have a short list of vendors that you want to evaluate. It is now time to write a *Request for Proposal* or *Request for Quotation*. Whichever format you decide, your RFP or RFQ should contain the following sections:

1. Submission Details
2. Introduction and Executive Summary

3. Business Overview & Background
4. Detailed Specifications
5. Assumptions & Constraints
6. Terms and Conditions
7. Selection Criteria

4. Proposal Evaluation and Vendor Selection: The main objective of this phase is to minimize human emotion and political positioning in order to arrive at a decision that is in the best interest of the company. Be thorough in your investigation, seek input from all stakeholders and use the following methodology to lead the team to a unified Vendor selection decision:

1. Preliminary Review of All Vendor Proposals
2. Record Business Requirements and Vendor Requirements
3. Assign Importance Value for Each Requirement
4. Assign a Performance Value for Each Requirement
5. Calculate a Total Performance Score
6. Select the Winning Vendor

5. Contract Negotiation Strategies: The final stage in the Vendor selection process is developing a contract negotiation strategy. Remember, you want to "partner" with your Vendor and not "take them to the cleaners." Review your objectives for your contract negotiation and plan for the negotiations be covering the following items:

1. List Rank Your Priorities Along With Alternatives
2. Know the Difference Between What You Need and What You Want
3. Know Your Bottom Line So You Know When to Walk Away
4. Define Any Time Constraints and Benchmarks
5. Assess Potential Liabilities and Risks
6. Confidentiality, non-completion, dispute resolution, changes in requirements
7. Do the Same for Your Vendor (i.e. Walk a Mile in Their Shoes)

6. Contract Negotiation Mistakes: The smallest mistake can kill an otherwise productive contract negotiation process. Avoid these ten contract negotiation mistakes and avoid jeopardizing an otherwise productive contract negotiation process.

8.5 PHASES FOR SELECTION OF VENDOR

In deciding which vendor to use, the selection process involves the following phases:

- **The Survey phase** – involves the identification of suitable Suppliers.
Purchasing managers may also take the following into consideration:
 - Lead time of the Vendor, it is from initiation to completion of the order
 - Competitiveness of price
 - Vendor's flexibility
- **The Investigation phase** – involves the analysis and comparison of the identified Vendors.
- **The Selection phase** – involves the negotiation and the selection of the most suitable Vendors.
- **The Relationship phase** – consists of maintaining good relations with Vendors.

In addition to above phases, you should also consider following points:

- Determining of prices & availability
- Budget availability
- Search for alternatives (if there are)
- Selecting the Vendor
- Negotiate price and delivery date

The selected Vendor needs to understand conditions concerning delivery, packaging and payment issues.

- Placing the actual order

All the stages need not be followed when placing orders; exceptions can be made in the case of routine buying, or where the Company policy indicates the Vendor to be used. The discretion and experience of the buyer will determine this.

Selecting the right Vendor is essential for the success of the purchasing function.

The purchaser must ensure that his or her business becomes important to the Vendor.

8.6 VENDOR EVALUATION PARAMETERS

It is important for every business to develop its own Vendor Evaluation parameters depending upon the industry, type of business, product and policy requirements. Having a standard parameter list or checklist helps you assess Vendors by asking key questions about organizational background, financial information, alliances and partnerships, product support, product information, technical architecture, industry experience and miscellaneous.

A couple of examples of Vendor Evaluation formats for organized Apparel Retailers engaged in retailing their own Private/In house Labels as well as other National Brands have been given in the Appendices to the chapter.

Appendix 1 illustrates the various parameters on which an Apparel Retailer could evaluate Vendors to whom they would outsource the production of their own in house brands at the stage of Initial Vendor Selection.

Appendix 2 illustrates the evaluation parameters for suppliers of Brands/ Labels for which the Retailer would not get into product development.

Check Your Progress B

1. List different steps in the final decision of the Vendor Selection.

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2. What do you mean by defining the Product, Material or Service?

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3. What is meant by Contract Negotiation Strategies?

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4. List five Evaluation Parameters for a Vendor.

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5. Which of the following statements are **True** and **False**?

- i) The key criteria for Vendor selection are quality, price, terms, delivery and service.
- ii) Vendor should work as a partner for the progress of the Company.
- iii) Vendor should act as the competitor of the Company.
- iv) Emotions should not play any role in selecting a Vendor.
- v) A good Vendor is always committed to technological innovation.

8.7 LET US SUM UP

Selecting the right Vendor or Supplier is one of the most important aspects of the business. The right Vendor provides the right product, the right quality, on time, at the right price with the right level of service.

Initial Vendor selection process includes: awareness, need, strategy, business case, budget and RFP process.

While the key criteria for Vendor Selection are: Quality, Price, Terms, Delivery and Service, there are various other related factors which need to be considered as well. A good Supplier is a key part of your team. Selecting competent Vendors in the first place, results in an almost problem-free buying department.

Vendor selection process involves several steps, namely analysis of the business requirement, Vendor search, Request for Proposal (RFP) and Request for Quotation (RFQ), proposal evaluation and Vendor selection.

Proper strategies should be followed while doing contract negotiations as the smallest mistake can kill an otherwise productive contract negotiation process. Continuous evaluation of the Vendor is very important for the success of the venture. Having a standard parameter list or checklist helps you assess Vendors by asking key questions about organizational background, financial information, alliances and partnerships, product support, product information, technical architecture, industry experience and miscellaneous.

8.8 KEY WORDS

Benchmarks: A standard by which something can be measured or judged.

Constraints: One that restricts, limits or regulates.

Contracting: An agreement between two or more parties especially one that is written and enforceable by law.

Dispute Resolution: Legal agreement between two parties that lays out the method and timetable for solving conflict between them.

Evaluation: It is the process of examining a subject and rating it based on its important features.

FICCI: Federation of Chambers of Commerce and Industry.

Pilot Phase: Activity planned as a test or trial.

Vendor: A Vendor is any person or company that sells goods or services to someone else in the economic production chain.

8.9 ANSWERS TO CHECK YOUR PROGRESS

B 5 i) True ii) True iii) False iv) True v) True

8.10 TERMINAL QUESTIONS

1. What does Vendor selection mean? Discuss the initial steps in this regard.
2. Describe the important factors that should be considered while making the selection of a Vendor.
3. Create a chart for selecting a Vendor and building a partnership and explain the different steps.
4. “Selecting an appropriate Vendor is the key step in the success of an enterprise.” Elaborate.
5. What do you mean by RFP and RFO? Describe different points that must be included in it.

Activities

1. Study the Vendor selection process followed by a nearby Mall. Prepare a list of its terms and conditions.
2. Study the detailed specifications given by a Retail Store for the supply of the ladies' winter apparel.

107

BRANDS/ LABELS VENDOR EVALUATION REPORT						
1 GENERAL						
a.	Vendor Name					
b.	Address					
c.	Contact Person					
d.	Phone No.					
e.	Category -Trader/ Manufacturer					
f.	Company Status -Prop/Prtnrshp/Pvt Ltd					
g.	Year of Establishment					
2 FINANCIAL ASSESSMENT (Last 3 yrs)						Rating
Sales Rs.'000						
Net Profit Rs'000						
3 MARKET PRESENCE						Rating
Whether National brand or Local Brand						
Market Share in the Industry						
Last 3 years Media Spent						
Next years Advtg & Promotion Budget						
Other retailers dealing with						
4 PRODUCTION PLANNING & INFRASTRUCTURE ASSESSMENT						
a.	Production: totally inhouse OR %of outsourced production					
b.	If outsourced Manufacturers' Name & Address					
c.	Total production/month					
d.	Information System from order acceptance to pdt delivery					
5 PRODUCT ASSESSMENT						
a.	Product strengths in:					
b.	Products handled presently:					
c.	Whether capable of supplying any other products					
d.	Design Capability:					
e.	Overall Quality/workmanship/ neatness of the products					
Products to be supplied						
Brand Name	Product Type	MRP	CP	Margin%*	Rating	
* Margins to be inclusive of Freight, Sales tax, Octroi ,Excise						
11 INFORMATION MANAGEMENT & COMMUNICATION ASSESSMENT						Rating
a.	Computerisation					
b.	Commn with SSS email/Fax verbal etc.					
c.	Interest in B2B offer					
12 MANAGEMENT ASSESSMENT						Rating
a.	Level of Professionalism Good/average/Poor					
b.	Organisational Structure Good/Average/Poor					
c.	Avg Work Exp of Mgmnt >.10yrs,5-10 yrs,<5 yrs					
RECOMMENDATIONS						
Method Of Agreement						
Outright		Consignment		Concessionaire		
Conducting		Sale or Return				
Credit Period						
Cash Discount						
Intake Margin%						
Minimum Guarantee if applicable						
Any other Terms/Conditions						
14 REMARKS						
RECOMMENDED BY		Merchandiser				
AUTHORISED BY		Trading Manager				
APPROVED BY		(Authorised Member of VRC)				

UNIT 9 RETAIL MATHEMATICS FOR BUYING AND MERCHANDISING

Structure

- 9.0 Objectives
- 9.1 Introduction
- 9.2 Practice of Retail Financial Management
- 9.3 Terms Used for Retail Buying and Merchandising
 - 9.3.1 Vendor Negotiations
 - 9.3.2 In Store Merchandise Loss
- 9.4 Financial while Buying for Retail
- 9.5 Financial while Buying for Merchandising
- 9.6 Financial while Pricing for Merchandising
- 9.7 Retail Pricing Strategies
- 9.8 Let Us Sum Up
- 9.9 Key Words
- 9.10 Answers to Check Your Progress
- 9.11 Terminal Questions

9.0 OBJECTIVES

After studying this unit, you should be able to:

- discuss the practice of Retail financial management;
- analyse various terms used for Retail buying and merchandising;
- describe various Retail financial formulas that are applicable while buying and merchandising;
- explain the importance and scope of Retail financial formulas;
- apply Retail financial (mathematical) formulas to solve the exercises, and
- explain how are these formulas helpful for different strategies of pricing.

9.1 INTRODUCTION

In Retail, all the activities are directly related to the sale of goods and services to the final consumer for personal and non-business use. It is simply an exchange of goods and service for final consumption. While doing so, though the exchange of goods and service for a value or transaction is very important, the focus is on the customer satisfaction, so as to retain the customer for the repeat patronage. In this unit, you will learn about the definitions and meaning of terms that are used while practicing Retail buying and merchandising. You will further learn financial while buying for Retail as well as for merchandising. You will also learn about different pricing strategies in Retail.

9.2 PRACTICE OF RETAIL FINANCIAL MANAGEMENT

Retail operation depends on the level of ownership, level of service, product or service offered to customer, price, place and promotion. In essence, it depends on the Retail Mix, the Store selects to operate. Therefore, retailing aims at smooth transaction of business to meet the customer's immediate requirement, without making any loss. The determinants of profit depend on a prudent and conscious practice of financial management. The practice of Retail financial management is broadly classified into three main areas as mentioned below:

1. Financial while buying and inventory planning for Retail;
2. Financial while performing merchandising function for the Retail Stores;
3. Financial while pricing of merchandise;

These above financial formulas are helpful to study the basic of Retail Store's cost, margin, performance indices of the Store and its constituents.

The changes in retailing operation are rapid and competitive. The merchandisers and front end associates are always under pressure to meet twin primary expectations that are, customer satisfaction and Store's better performance. The tools or formulas for financial are defined as follows. (For better understanding, you should substitute the formulas with numbers and practiced over and again.)

The purpose of studying the formulas of Retail financials is to prepare you to take right decision while performing activities related to merchandising and its implications on the function of Retail. This chapter will explain you the key formulas and methods that help to take financial decisions you are required to learn and apply in the Retail profession. A thorough understanding of the retailing mathematics is essential for the successful completion of your learning programme. The following problems are intended to give you a better idea of the type of math you will be applying as part of your learning.

An understanding of these types of problems will give you the edge you will need in order to succeed in the Retailer . Retail math formulas have been provided to guide you in working through these problems.

The major responsibility of a merchandiser in retailing is to make a right decisions with regard to the merchandise, quantity, quality, time, purchase cost, source of the merchandise so that the decisions will help to attain a profit for business. The underlining importance is to sell merchandise at a profit. The buyer makes selection of the merchandise assortment after carefully doing the merchandise planning and deciding what, when, where and how much to buy and at what price.

9.3 TERMS USED FOR RETAIL BUYING AND MERCHANDISING

There are several terms which are frequently used in buying and merchandising. Let us learn them in detail.

Cost is the amount the Retailer pays for the merchandise while doing the purchases.

Retail price is the price at which Stores offer the merchandise to consumers.

Operating Income is sales volume (net sales) indicates how much merchandise has been sold.

Cost of Goods Sold is the amount paid for the goods sold also known as COGS.

Operating Expenses are all the expenses, other than COGS, incurred in the buying/selling process. For example, the cost of freight, insurance, transportation, warehousing, electricity, packing, storing, material movement, labeling, marking, visual merchandising, Store design and decoration etc.,

Gross Sales – the sum amount received for goods during a given period. This does not take into account any goods returns or price reductions.

Customer Returns - the return of sales when merchandise is returned to stock and a customer receives a refund due to an identified or unidentified fault of the goods.

Net Sales – Total sales minus customer returns and allowances from the gross sales. Merchandisers must determine the retail price for the items they purchase based on the amount they can afford to pay a Supplier for the merchandise. If the retail price is fixed without checking the cost of goods at purchase, the Retailer may end up in loss. There are many factors which govern the pricing of the goods including the cost at which the goods are purchased.

Direct Expenses : Expenses that are specific to merchandise or a department and would exist till the merchandise or department continues in the Retail Store. For example – if the Store sells umbrella, rainwear, caps etc. during the pre and during monsoon seasons, the salaries of buying and sales teams, departmental advertising, In-Store promotion, selling supplies, and customer delivery expenses are known as direct expense for the merchandise mix or department.

Indirect Expenses : Store expenses that exist whether a department or merchandise is added or discontinued. The expenses are calculated at prorata basis to all selling departments based on their sales volume. For instance, if a department contributes 2% to Sales of the whole Store, then, indirect expenses of the department is charged at 2% of the total Stores indirect expenses. Some examples of indirect expenses are: Store security, house-keeping, store insurance, rent, general electricity and salaries of middle and top level management staff.

Contribution : It is a margin, or the amount the department contributes to indirect expenses and profits. For example, if a store procures one kg of wheat at the rate of Rs. 26 and sells at the rate of Rs. 30 per kg. Rs. 26 includes the cost of goods. And the difference between the selling price (Rs. 30) and the cost of goods is (Rs. 26). The contribution of selling 1 Kg wheat is Rs. 4 that meets the indirect expenses and the profit.

Contribution Margin : Contribution Margin is the difference between total sales revenue and total variable costs. The term is applied to a product line and is generally expressed as a percentage.

Contribution Margin = Total Sales - Variable Costs

Cost of Goods Sold: (COGS)

COGS = Beginning Inventory + Purchases - Closing Inventory

Gross Margin

Gross margin is the difference between what an item cost and for what it sells.

Gross Margin = Total Sales - Cost of Goods

Inventory (Stock in the Store)

Retailer s use the different method of inventory calculation. But general method of calculating inventory is stated below:

The purpose of calculating the inventory is to know how much stock of merchandise is in the Store at a given point of time and to determine the cost value of the stock. The Retail Store cannot afford to over or under stock of inventory of any kind. It shall stock only on the basis of meaningful sales projection, demand estimate, season's forecast and merchandise planning.

Opening Inventory : It refers to the Retail value of the merchandise in stock at the beginning of the accounting period. Opening inventory is established by a physical count of the merchandise and the value is arrived by calculating the number of units in stock multiplied at the current Retail prices. This will provide the cost or value of the stock in hand.

Closing Inventory : the number of units of a particular merchandise in stock at the end of the accounting or stock period.

Check Your Progress A

1. Define Cost.

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2. What is meant by Operating Income.

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3. What do you mean by Operating Expenses?

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4. Explain the difference between Gross Sales and Net Sales.

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5. Explain the difference between Direct Expenses and Indirect Expenses.

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While negotiating with the Vendors following discounts are taken into consideration:

- Trade Discount
- Quantity Discount
- Promotional Discount
- Seasonal Discount
- Cash Discount
- Delivery Terms

Let us learn them in detail.

Trade Discount: It is a form of compensation or concession that the Retailer receives from the Supplier for achieving Retail target for the manufacturer in a particular season or period. For example, if a retail achieves the sale target of 1000 unit of a particular merchandise (kitchen utensil set) in a month, the trade discount is given as follows:

List price – Rs. 1,000 per kitchen set. Trade discount is offered at 20% that is Rs. 200 per kitchen set. This discount of 20% is given if a Retailer achieves the target of selling 1000 units in specified period or a season. Assume that the Retailer achieves the sales of 1000 units, then his cost of goods is Rs. 800 per kitchen set as he is offered 20% as a trade discount by the seller.

Quantity Discount: It is a price reduction offered as an inducement to purchase large quantities of merchandise. Some time, the Retailer is offered on cumulative quantity discount meaning the discount is extended to all the purchases the Retailer makes in a particular discount period or season. Remember, the Cumulative Quantity Discount is a discount offered by the Supplier based on the total amount purchased over a period of time by the Retailer. However, cumulative quantity discount is not applicable as many Suppliers practice Non-Cumulative Quantity Discount method applicable for only one or single purchase.

Promotional Discount: It is a discount provided for the Retailer to perform an advertising or promotional service for the merchandise by the manufacturer. Whenever a new product is launched or the suppliers enter into a new market territory, this type of discount is practiced.

Seasonal Discount: It is a discount provided to Retailer s if they purchase and take delivery of merchandise in the off season. If the manufacturer has more stock

than the demand beyond a season, then this type of discount is tried to off load the excess stock and at the same time, offer benefit to the Retailer .

Cash Discount: It is a discount offered to the Retailer for the prompt payment of bills (within a specified period of time).

End-of-Season (EOS): allows the Retailer to take a cash discount and the full payment period to begin on the first day of the following season instead of on the invoice date.

In addition to these discounts, the delivery terms are also an important area of Vendor's negotiation.

9.3.2 In Store Merchandise Loss

There are several losses in the merchandise Store. Let us learn a few losses.

- **Shrinkage:** It is the loss of merchandise due to theft, loss, damage, or accounting or book-keeping errors.
- **Employee theft:** It occurs when employees of the Retailer steal merchandise where they work.
- **Shoplifting:** It occurs when customers or individuals disguised as customers steal merchandise from the Retailer 's store.

Check Your Progress B

1. Clarify the difference between Contribution Margin and Gross Margin.

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2. What is meant by Inventory?

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3. Describe briefly different types of Trade Discounts.

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4. What do you mean by In-Store Merchandise Losses?

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5. Clarify the difference between Opening Inventory and Closing Inventory.

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9.4 FINANCIAL WHILE BUYING FOR RETAIL

Open-To-Buy

Open-To-Buy Planning or Planning of Inventory

Good retailing is all about serving the customer well by maintaining the likable merchandise. Good inventory management is critical to ensuring an adequate level of stock on hand for the amount of sales being generated. High inventory (or the wrong type) during certain periods (say lean period, can slow your cash flow and reduce profits with too many markdowns (which refers to reduction in Retail price of merchandise). At the same time, Low level of inventory may cause the Retailer to miss sales opportunities and resulting in losing potential profit. To help the Retailer to overcome this dilemma, and to stock the right amount of the right products at the right time, use of Open-To-Buy (OTB) plan is a handy.

Open-To-Buy can be calculated in either units or rupees. OTB is essentially the balance between the required and available inventory. This includes inventory at stock, in transit and any pending orders to be delivered.

To make the most of seasonal discounts or volume discounts from the Vendors or to take advantage of special buys or to add new products, some of the OTB budget should be held back. This also allows the Retailer to replenish to fast-moving merchandise and quickly restock the shelves. OTB plan and budget summary can be maintained for the whole store or department wise. This measure will give the Retailer an advantage of having good control over the stock and the investment made thereof.

Planned Sales

+ Planned Markdowns

+ Planned End of Month Inventory

- Planned Beginning of Month Inventory

= Open-To-Buy (Retail)

For example, a Retailer has an inventory level of Rs150,000 on February 1st and planned Rs152,000 End of Month inventory for February 28th. The planned sales for the Store are Rs48,000 with Rs750 in planned markdowns. Therefore, the Retailer has Rs50,750 Open-To-Buy at retail.

Note: Multiply that number by the initial markup to reach the OTB at cost. If our markup is 40%, then our Open-To-Buy at cost is Rs20,300. Look at Table 9.1 which shows sample table of Six month OTB plan as normally practiced in major Retailer s.

Table 9.1: Sample of Six (6) Month Plan

6 Month OTB Plan	January	February	March	April	May	June
Beginning of Month Inventory in Rs	155000	150000	152000	157000	157000	165000
Sales during the month	47000	48000	50000	50000	52000	48000
Markdowns/ shortages	1000	750	750	1000	1500	1000
Open To Buy (OTB)	43000	50750	55750	51000	61500	37000
End of Month Inventory in Rs	150000	152000	157000	157000	165000	153000

There are few methods of calculation that help the Retailer to add or reduce the margin depends upon the market dynamics. To react fast to the high demand or to make the stock turn fast or sell off the non-moving or slow moving stock, the Retailer has to make some decisions either by adding or reducing the margin. Let us learn the formulas helpful to the Retailer to take decisions suitably.

9.5 FINANCIAL WHILE BUYING FOR MERCHANDISING

Mark up: Markup is the difference between the cost of an item and the retail or selling price of the item.

Buying and Merchandising Markup can be expressed in rupees or as a percentage.

Basic Markup: A percentage added to the cost to get the retail selling price.

Example:

Cost of an Electrical cooker: Rs 2000 (at purchase by the Retailer for selling)

Markup: 20%

Therefore, the Selling or Retail Price of the Electrical cooker is:

(Cost + markup % of the cost)

Rs 2000 + 20% of Rs. 2000 (Rs 400) = Rs 2400/=

Rs. 2400/= is the Selling Price (Retail Price)

In the above case, The Markup % is (20% added) worked out on the cost of the goods purchased (Rs. 2000).

Please note the most Retailer s calculate the Markup percent on retail selling price and not at the cost by which they purchased the goods.

9.6 FINANCIAL WHILE PRICING FOR MERCHANDISING

Basic Retail Formula

Cost of Goods (purchase of cost of the goods or an item) + Markup = Retail Price

Retail Price - Cost of Goods = Markup

Retail Price - Markup = Cost of Goods

Basic Formula to calculate the Markup percent on retail selling price:

Formula:

Retail Price- Cost of goods = Markup

Markup percent on retail selling price = Markup / Retail Price X 100

Step 1: Retail (selling Price of an electrical cooker)= Rs 2400/=

Step 2: Cost (at purchase) = Rs 2000

Step 3: Markup at Retail (or selling price) = Retail Price – Cost
= Rs 2400 – Rs. 2000 = Rs 400

To arrive at Markup percent on retail selling price:

Step 4: Rs 400/ Rs. 2400 X 100 = Rs 16.66% or 16.7%

Markup percent on retail selling price: 16.7%

In simple words;

Markup in Rupees is = Retail Price - Cost

Markup % = Markup in Rupees ÷ Retail Price

Margin %: Margin is the amount of gross profit made when an item is sold. And if represented in %, then it is called as Margin %

Formula: Margin % = (Retail Price - Cost) ÷ Retail Price

Example:

Retail Price (Selling price) of a Television set = Rs 20000

Cost (at purchase price of a TV) = Rs. 18500

To calculate Margin %; Rs 20000 – Rs 18500/ Rs 20000

= Rs 1500/ Rs. 20000 = 0.075 (and to convert into %, then multiply 0.075 × 100)

= 7.5% = Margin %

Markdown: It is the reduction in the Retail (selling) Price of merchandise, usually take place either within certain number of days after the Seasonal merchandise received at the Store or at a specific date.

Example:

Markdown % = 10% of the Retail Price

Markdown = 10% of the Retail Price that is, 10% of Rs. 20000

Markdown is = Rs 2000 (10% of the Retail Price that is, 10% of Rs. 20000)

Reductions

Reductions are the total sum of markdowns, discounts and shortages of all merchandise in value terms of a particular period. The formula for arriving at Reductions is as follows:

Reductions = Markdowns + Employee Discounts + Customer Discounts + Stock Shortages

9.7 RETAIL PRICING STRATEGIES

Retailer has to be sensitive about what the store buys and sells. The selling, though is a simple transaction, for long term operation with profit, the Retailer has to retail with some sensible decisions. Following are some of the tips on the pricing decisions and selling practices.

Sell at Right Price

There are many external and internal environmental factors that influence and affect profitability and a Retailer's bottom line. Fixing the right price is a right step toward achieving that profit. Retailers are in business to make a profit, but figuring out what and how to price products may not come easily.

Before one can determine what retail pricing decision to set the right price, it is essential to know the costs associated with the products. Two key elements in factoring product cost is the cost of goods and the amount of operating expense. The cost of goods sold includes the amount paid for the product, plus any shipping or handling expenses (explained in earlier chapters). The cost of operating the business, or operating expense, includes overhead, payroll, marketing and office supplies.

Regardless of the pricing strategy used, the Retail price of the products should more than cover the cost of obtaining the goods plus the expenses related to operating and fixed expenses of the business. A Retailer simply cannot afford to sell any merchandise for a loss.

In above paragraph, you have learnt what and how our products actually cost. Now, we should look at how our competition is pricing their products. Retailer s will also need to examine their channels of distribution and study what the market is willing to pay.

The pricing strategies explained here are for our clear understanding and one has to choose an appropriate or set of pricing techniques depending on the circumstances.

Markup Pricing: Markup on cost can be calculated by adding a pre-set (often industry standard) profit margin, or percentage, to the cost of the merchandise. Markup on Retail is determined by dividing the Rupee markup by Retail price. Be sure to keep the initial mark-up high enough to cover price reductions, discounts, shrinkage and other anticipated expenses, and still achieve a satisfactory profit. Retailer s with a varied product selection can use different mark-ups on each product line.

Vendor Pricing: Manufacturer suggested Retail price (MSRP) or Prescribed Price is a common strategy used by the small Retail shops to avoid price wars and still maintain a decent profit. Some Suppliers suggest minimum Retail prices by clearly mentioned in the packing. By pricing products with the suggested Retail prices supplied by the Vendor, the Retailer has no option. Another issue with using pre-set prices is that it doesn't allow a Retailer to have an advantage over the competition. However, these methods is not generally applicable in staple goods categories.

Competitive Pricing: Consumers have many choices and are generally willing to shop around to receive the best price. Retailer s considering a competitive pricing strategy will need to provide outstanding customer service to stand above the competition.

Pricing below competition simply means pricing products lower than the competitor's price. This strategy works well if the Retailer negotiates the best prices, reduces costs and develops a marketing strategy to focus on price specials. This is possible when the Retailer procures directly from the manufacturers instead of doing so from the distribution channel members.

Prestige Pricing, or Pricing above Competition: This may be considered when location, exclusivity or unique customer service can justify higher prices. Retailer

s that stock high-quality merchandise that is not available at any other location may be quite successful in pricing their products above competitors.

Psychological Pricing: Psychological pricing is used when prices are set to a certain level where the consumer perceives the price to be fair. The most common method is odd-pricing using figures that end in 5, 7 or 9. It is believed that consumers tend to round down a price of Rs9.95 to Rs9, rather than Rs10. Pricing of Bata is normally ends at .99.

Other Pricing Strategies

Keystone Pricing is not a popular one as though it was done earlier. This is having more than 100 percent margin on the cost of goods sold. Doubling the cost paid for merchandise was once the rule of pricing products, but very few products these days allow a Retailer to keystone the product price.

Multiple Pricing or **Combo Selling Price** is a method which involves selling more than one product for one price, such as three items for Rs100 or Rs. 200 etc. This is also an alternate to markdowns or sales events like End of Season sale. And Retailer s experience the consumers spend larger amounts where the multiple pricing strategy is used.

Discount Pricing and Price Reductions are another common Retail pricing technique. Discounting can include coupons, rebates, seasonal prices and other promotional markdowns.

Merchandise priced below cost is referred to as **loss leaders**. Although Retailer s make no profit on these discounted items, the hope is consumers will purchase other products at higher margins during their visit to the Store.

Check Your Progress C

- 1. Write the Open-To-Buy formula.
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- 2. Explain the difference between Markup and Markdown.
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3. Define margin%.

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4. Explain Psychological Pricing.

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5. Which of the following statements are **True** or **False**?

- i) The merchandise returned to stock due to some fault of the goods and the customer receiving a refund for that is called customer returns.
- ii) The salaries of the management staff come under direct expenses.
- iii) The retail value of the merchandise in stock at the beginning of the accounting period is called inventory.
- iv) Promotional discount is offered towards the end of the season.
- v) Markup% is added on the cost of a product.

9.8 LET US SUM UP

The practice of Retail financial management can be classified broadly into three main areas, namely financial while buying and inventory planning for Retail, financial while performing merchandising function for the Retail Stores and financial while pricing of merchandise. These financial formulas are helpful in studying the basics of Retail Store's cost, margin, performance indices and its constituents.

The major responsibility of a merchandiser in retailing is to make right decisions with regard to the merchandise, quantity, quality, time, purchase cost, source of the merchandise so that profit is earned in the business.

In a successful retailing, customer is served well by maintaining the likeable merchandise. A good inventory management is critical to ensuring an adequate level of stock on hand for the amount of sales being generated. High inventory during lean periods can lower the cash flow and reduce profits with too many markdowns on the one hand, but low level of inventory may cause the Retailer to miss sales opportunities and losing potential profit on the other hand. To react fast to the high demand or to make the stock turn fast or sell off the non-moving

or slow moving stock, the Retailer has to make some decisions either by adding or reducing the margin.

The selling, though is a simple transaction, for long term operation with profit, the Retailer has to retail with some sensible decisions and follow various pricing strategies depending upon the situation.

9.9 KEY WORDS

Discount: To deduct or subtract from a cost or price.

Front End Associates: Of or relating to the initial phase of a project.

Inventory Planning: Planning the quantity of inventory and its timing; coordinating inventory with production or sales needs.

Merchandising Function: The promotion of merchandise sales, as by coordinating production and marketing and developing advertising, display and sales strategies.

Margin: Profit from the difference between costs and net sales.

Performance Indices: They are long term considerations.

Retail Mix: It is the tactical marketing frame to create a specific shopping experience at the point of sales.

Sales Projection: Estimation of the total sales to be made based upon partial sales results.

Variable Costs: A cost of labour, material or overhead that changes according to the change in the change in the volume of production units.

9.10 ANSWERS TO CHECK YOUR PROGRESS

C 5. i) True ii) False iii) False iv) False v) True

9.11 TERMINAL QUESTIONS

1. Giving a suitable example, explain trade discount. How is it different from the quantity discount.
2. What do you mean by in store merchandise loss? Give a few examples.
3. Explain the concept of open-to-buy. How is it helpful in increasing the profits of the Retail Store?

4. Giving illustrative examples, describe the concepts of mark up and mark down.
5. Describe briefly different retail price strategies.

Activities

1. Visit a Retail Store and prepare the six months open-to-buy plan for an assortment category, say jeans.
2. Make a comparative chart for the pricing system of a Retail Store during the festival season.

UNIT 10 RETAIL MATHEMATICS FOR PERFORMANCE ANALYSIS

Structure

- 10.0 Objectives
- 10.1 Introduction
- 10.2 Financial for Store Inventory
 - 10.2.1 Inventory
 - 10.2.2 Turn Returns into Sales (Sale of Returned Goods)
- 10.3. Financial for Store Operation and Performance
- 10.4 Break Even Analysis
- 10.5 GMROI
- 10.6 Profit and Loss Account
- 10.7 Let Us Sum Up
- 10.8 Key Words
- 10.9 Answers to Check Your Progress
- 10.10 Terminal Questions

10.0 OBJECTIVES

After studying this unit, you should be able to:

- explain the Retail financial formula that concern the Store operations;
- describe the financial methods that help to measure the Store performances;
- explain the use of these tools to analyse the Store performance and help taking financial decisions;
- discuss the Break-Even Analysis;
- describe GMROI;
- analyse the Profit and Loss Account.

10.1 INTRODUCTION

The health of Retail Store performance lies in the profitable operation of the Store, financial efficiency, inventory management, pricing method, control on income and expenditure and finally ability to make the profit margin. It is

important to study and understand different aspects of inventory management, cost of inventory, margin achieved against the inventory stocked, selling and profits earned in order to know the performance of a Store. There are common formulas and mathematical tools being practiced to measure each of the aspect and to know about the financial performance of the store operations; these formulas will help to arrive at the basics of Retail Store Profit & Loss (P&L) Accounting, and P&L Account statement and its constituents.

The formulas of financial and performance analysis are designed to meet the needs of the Store Organization, short and long term objectives, performance measurement of the Store operation and the individuals work for it. These formulas help to understand the actual operation and its performance against the standards. In this unit, you will learn about the financial of store inventory and how to calculate inventory turnover. You will further learn the formulas to measure the performance of the Store and about break-even analysis. You will also learn about GMROI and its calculation and Profit and Loss Accounts.

10.2 FINANCIAL FOR STORE INVENTORY

Retail store keeps numerous amounts of merchandise or stock keeping units (SKUs), to serve the need of the customer who patronize. The SKUs vary from one Store to other, one location to other and one region to other. The SKUs are normally planned based on the requirement and demand level of customer the Store attracts. It sells to satisfy the customer. However, while meeting the demands of the customer, the Store has to preserve the core objective the Store, that is, earning profit. Given the competition, the supply and demand factors, cost of direct and indirect expenses, it is difficult to earn profit at every SKU the Store handles. But, a prudent management of inventory, cost management and SKU decisions, will help the Store to maintain the level of profit earning.

10.2.1 Inventory

Inventory is the merchandise a Retail Store has on-hand (all stock). The term also refers to the act of counting, itemizing and recording in-stock merchandise or supplies kept in a store at a particular point of time. The number of times during a given period (month or season) that the average inventory on hand is sold and replaced.

Controlling inventory turnover is the key to keeping our shelves stocked with interesting products and keeping the cash flowing. We want to buy the merchandise, move it quickly and then repurchase more products for our

customers. However, if the turnover becomes too high, sales may be lost because of reduced customer selection.

How to Calculate Inventory Turnover?

Here's how we calculate inventory turns to help create a proper inventory control:

Here is How:

1. Start with the Beginning Inventory At Cost (purchase price)
2. Add Purchases At Cost
3. Subtract Ending Inventory At Cost
4. Subtract Cost of Scrapped and Lost items (if applicable)
5. Divide by the Cost of Sales
6. The result is the number of times the average inventory is sold and replaced.

Inventory Turnover = (Beginning Inventory at Cost + Purchases at Cost – End Inventory at cost – cost of lost or scrapped item) divided by Cost of Sales

You should note that:

1. Inventory turnover can be calculated in whole, as well as by department or merchandise category.
2. Inventory turns can be calculated by the month, quarter, season or year.

10.2.2 Turn Returns into Sales (Sale of Returned Goods)

Once a product or service is sold to a customer, the last thing a Retailer wants is to get that item back. However, the return of purchased item and refunds are a reality of retailing and also a measure to satisfy the customers. Following are the customer service skills to how to turn those inconvenient returns into exchanges and avoid refunds.

1. **Listen and Learn:** Start the return transaction by genuinely listening to the customer. This allows the customer to be heard and it is your chance to understand the Shopper's needs. Once the customer is finished speaking, begin asking any unanswered questions to establish the reason for the return. Explore why is the item being returned? What is wrong with the item? What end result is the customer seeking? Once the reason for the return is known, customer care associate can offer solutions to the problem. If not possible at

his/her end, then he/she can seek the help of the department head and resolve the problem.

2. **Offer Suggestions:** Now that we understand why an item is being returned, we can suggest alternative products or solutions. Would the shopper like a different style, colour or size? Could a similar item serve the customer's needs? Do we offer a better product than the one being returned? If so, make those suggestions. Be sure to mention the benefits to the customer. This is not just a return; it is another opportunity to sell.
3. **Cross-Sell and Up-Sell:** If no substitution will satisfy the customer, all is not lost. Depending on the Store's return policy, it may be possible to offer in-store credit or gift cards instead of a cash refund. If you must provide a cash refund or credit card chargeback, consider offering accessories or related items to the customer. Without being pushy, mention current specials, best sellers or other products the customer may need. Is there an additional item he/she could use?
4. **Satisfy the Customer:** Not all returns can be exchanged. Many customers will only want their money back. That is okay. After you have exhausted the above selling opportunities and you have satisfied the customer, chances are good that he or she will return to shop with you another day.

Note: An exchange is better than no sale, but a satisfied customer is more important than a return policy.

Check Your Progress A

1. What is meant by Inventory?

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2. How is Inventory Turnover Calculated?

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3. What do you mean by 'Turn Returns into Sales'?

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4. Explain Cross-Sell and Up-Sell.

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5. List the methods commonly used for avoiding Refunds of the Sold Goods.

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10.3 FINANCIAL FOR STORE OPERATION AND PERFORMANCE

Formulas to Measure the Performance of the Store

Net Sales: To arrive at Net sales, minus all returns, shortages and allowances from the gross sales happened in a particular period of time.

Net Sales = Gross Sales – Returns and Allowances

Sales per Square Foot: This is a very important analysis to gauge the performance of the Store. Based on this calculation and its result, many decisions are normally taken. For example, the Store expansion, Store renovation, additional/reduction of manpower, add/delete of merchandise, any additional spending are decided based on the positive or high Sales per Sq. Ft. Following is the formula to calculate the Sales per Sq. Ft:

Sales per Square Foot = Total Net Sales ÷ Square Feet of Selling Space

Sell-Through Rate in %:

This is a measure by which a Retailer arrives at the percentage of units (goods) sold out of the units (goods) purchased in a particular period of time/season.

Sell-Through % = Units Sold ÷ Units Received × 100

For example

Units Received (No of Kg of Sugar purchased in a month) = 3500 Kg

Units Sold (No of Kg of Sugar sold in a month) = 3380 Kg

Then, Sell- through % is = 3380/3500 × 100 = 96.57% or 96.6%

Stock to Sales Ratio: It is the ratio of the stock kept at the beginning of the month to the total sales proceeds of the same month. This calculation will help us to know and plan for the inventory stock in future.

Formula to calculate the Stock-to-Sales is mentioned below:

Stock to Sales ratio = Beginning of Month Stock ÷ Sales for the Month

Quick Ratio or Current ratio: This is a measurement of how well a business can meet its short-term financial obligations without selling any inventory. It is how to arrive at the ratio of all liquid assets (saleable by or for cash) minus inventory at the store divided by the current liabilities.

Current Assets: It is a financial term or a balance sheet item which equals the sum of cash and cash equivalents, accounts receivable, inventory, marketable securities, prepaid expenses, and other assets that could be converted to cash in less than one year (or in an accounting year).

A Retailer's creditors will often be interested in how much that Retailer has in current assets, since these assets can be easily liquidated in case the Retailer goes bankrupt. In addition, current assets are important to most Companies as a source of funds for day-to-day operations. It is very important consideration from the Vendors' perspective and providers of many services. If the current asset is healthy, it is also a sign of credit worthiness.

Current Liabilities: In accounting parlance, it is a term for financial obligations or current debts which must be due or payable within the normal operating cycle for a business. Generally it is assumed that the operating cycle is no longer than twelve months. Normally, a Retailer's debts or obligations cannot be payable beyond one year. Current liabilities appear on the Retailer's balance sheet and include short-term debt, accounts payable, accrued liabilities, and other debts. It is the sum of all money owed by a Retailer and due to his Vendors or service providers within one year.

Formula to calculate the Quick Ratio or Current ratio is as follows:

Current Ratio = Current Assets - Inventory ÷ Current Liabilities

Average Inventory: It is the sum of Beginning of Month Inventory and End of Month inventory divided by 2.

Average Inventory (Month) = (Beginning of Month Inventory + End of Month Inventory) ÷ 2

Average inventory cost is found by adding the beginning cost inventory for each month plus the ending cost inventory for the last month in the period. If calculating for a season, divide by 7. If calculating for a year, divide by 13.

Check Your Progress B

- 1. What do you mean by ‘Sales per Square Foot’?
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- 2. Explain ‘Stock to Sales Ratio’.
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- 3. Describe Current Assets.
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- 4. List different parameters used to measure the performance of a Retail Store.
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- 5. How is Current Ratio Calculated?
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10.4 BREAK-EVEN ANALYSIS

What is break-even analysis?

The point (time) in business where the Total revenue equals the Total cost. There is no profit and no loss.

Break-Even Point (Rs) = Fixed Costs ÷ Gross Margin Percentage

Or Fixed Cost divided by Gross Margin in Rs/ Total Sales

In a Retail Store, the Fixed cost per month is Rs. 34000; the Store sells a pen at the rate of Rs. 50, where the cost of pen at purchase rate is Rs. 35 and margin is Rs. 15. Now, the Store has to calculate how many pens to be sold to meet the fixed cost of the month. By using the above mentioned formula, the BEP can be found out.

Fixed cost = Rs. 34000; Total sales = Rs. 50; Gross Margin = Rs. 15;

To calculate BEP =

Rs. 34000 is divided by (Rs. 15/Rs.30) = or Rs. 34000/0.5 = Rs 68000

That means, the Store has to sell Rs. 68000 worth of pens or 1360 pens (Rs. 68000 divided by Rs.50 – a unit selling price of a pen)

Look at the graph 10.1 which shows the graphical presentation of the break-even analysis.

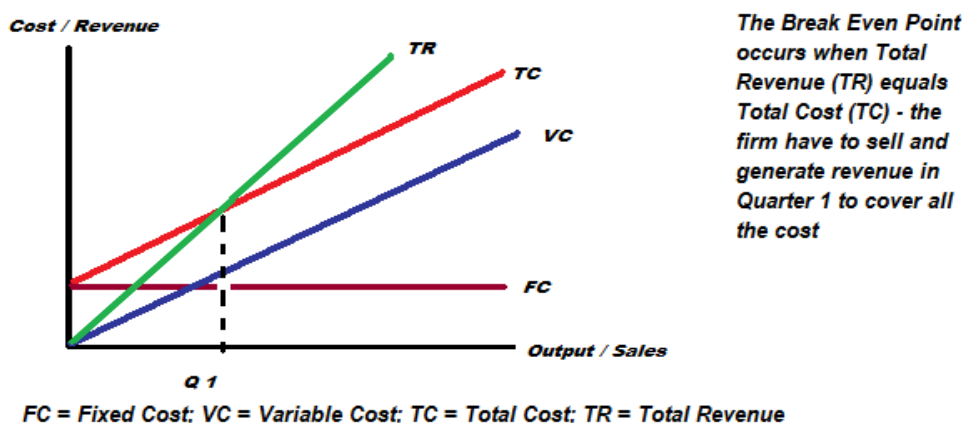


Figure 10.1: Break Even Analysis – Graphical presentation

Contribution Margin: Contribution Margin is the difference between total sales revenue and total variable costs. The term is applied to a product line and is generally expressed as a percentage.

Contribution Margin = Total Sales – Variable Costs

Cost of Goods Sold: COGS: $\text{COGS} = \text{Beginning Inventory} + \text{Purchases} - \text{Ending Inventory}$

Gross Margin: Gross margin is the difference between what an item cost and for what it sells.

$\text{Gross Margin} = \text{Total Sales} - \text{Cost of Goods}$

10.5 GMROI

The Retailer can get more productivity out of the capital or investment on inventory deployed therefore; he/she does not necessarily have to increase the sales to improve the profit. So the onus is on how to achieve better productivity out of the investment (precisely on inventory). Why is it so? For any Retailer, the primary means of earning profit is the investment made on the inventory or stock of goods. It is understandable that the Retailer has to invest on the merchandise or set of merchandises that gives the best return on the investment. How to achieve this when the Retailer deals with a host of categories or departments that sell merchandises? Or in simple word, which set of inventory or category gives you more returns?

Here comes the use of GMROI (or GMROI) is a dynamic measure of inventory's productivity and expresses the relationship between the sales, gross margin earned and the amount invested on the inventory. It can be expressed as a percentage or in sum rupees, stating how many times the Retailer has gotten his inventory investment back during a year's time.

GMROI can be calculated for an entire Store or for a department or a category or a single SKU carried in a Store. Using GMROI as a productivity measuring tool, one can compare the relative value realization of each item carried in the Store and draw conclusions on which category to invest on to maximize the Store's profit. Note that, GMROI is not the *only* factor to be considered to determine the profitability of the Store as various subjective factors also matter when the Store profitability is measured.

How to Calculate GMROI

Formula A explains how to express GMROI as a percentage of inventory investment and Formula B explains how to express GMROI in sum of rupee amount invested.

Formula A: (GMROI as a percentage of inventory investment):

$\text{GMROI \%} = \text{Gross margin \%} \times \text{Sales divided by Average inventory at cost.}$

Step 1: To calculate Gross Margin %

Step 2: Figure out Average inventory at cost

Step 3: Divide Total Sales by Average inventory at cost to get the ratio of Sales to Inventory Investment; and

Step 4: multiply the result of the Step 3 by Gross Margin % to get GMROI.

Let us go through the above 4 steps to show how we can get GMROI.

Exercise:

Step 1: To get Gross Margin %

Remember, Gross margin is the difference between what an item costs and for what it sells. or expressed as: $\text{Gross Margin} = \text{Total Sales} - \text{Cost of Goods sold.}$

Total Sales of Fans are = Rs. 50,000

Cost of Goods sold (Fans at purchase cost) = Rs. 26,000

Gross Margin is: $\text{Gross Margin} = \text{Total Sales} - \text{Cost of Goods sold or}$

$\text{Rs. } 50,000 - \text{Rs. } 26,000 = \text{Rs. } 24,000$

$\text{Gross Margin} = \text{Rs. } 24,000$

As we have to express GMROI in percentage, we calculate to arrive at Gross Margin as a percentage to Sales. To get that, divide the Gross Margin in Rs by the Total Sales. The result is 48% (Rs. 24000 divided by Rs. 50000)

$\text{Gross Margin as a percentage to Sales} = \text{Gross Margin in Rs/ Total Sales or Rs. } 24000 \text{ divided by Rs. } 50000 = 48\%$

Step 2: Calculate Average inventory at cost

To calculate Average Inventory Cost, use the following formula:

Average inventory cost is found by adding the beginning cost inventory for each month plus the ending cost inventory for the last month in the period. (If calculating for a season, divide by 7. If calculating for a year, divide by 13.) Let us assume, the sum of all those ending cost inventory of the product (Fans used as example) including the last year's fiscal year end is Rs. 130000; Then, Rs. 130000 is divided by 13, the result is Rs. 10000

The Average Inventory cost is Rs. 10000.

Step 3: Calculate Sales to Inventory Investment Ratio

Formula: Total Sales divided by Average inventory at Cost.

Total Sales (as mentioned in the Step 1) = Rs 50000

Average inventory at Cost (as in Step 2) = Rs. 10000

Sales to Inventory Investment Ratio = Rs 50000/ Rs 10000 = 5

Note: (Need not confuse this ratio number 5 with Inventory turnover ratio as Turnover is the ratio of Total sales to average inventory at selling cost or Cost of Goods sold to Average inventory at Cost)

Step 4: Calculate GMROI percentage

Formula: Gross Margin % $\times$ Sales to Inventory Investment Ratio or

Simply, 48% $\times$ 5 (here, Remember Step 1 & Step 4)

GMROI % = 48% $\times$ 5 = 240%

This means, each rupee invested on the goods Fan, the gross margin return on investment in % is 240.

Similarly, you can calculate for other product/ merchandise category or department to measure the productivity of inventory investment.

Alternatively, GMROI in Rs can be calculated in shorter approach: (the same result obtained using the above mentioned 4 steps):

GMROI in Rs: Gross Margin in Rs divided by Average Inventory at Cost

Gross Margin in Rs (as shown in Step 1) = Rs. 24000

Average Inventory at Cost (as shown in Step 2) = Rs. 10000

Gross Margin in Rs = Rs 24000 divided by Rs. 10000 (Rs. 24000/Rs. 10000) =
Rs. 2.40

That is Rs. 2.40 is a return on every rupee invested or Gross Margin Return on Investment.

This shorter approach will save some steps and note that in the shorter approach formula, the GMROI is expressed in Rupees.

The GMROI formula will work of any size of the Store or for any department or merchandise category within a Store.

10.6 PROFIT AND LOSS ACCOUNTS

Retailers use a Profit and Loss Account (P&L) Statement or Income Statement to track income and expenses. Note that the P&L statement is used to calculate the Net Profit/Loss of the Store.

What is Profit and Loss Account?

Profit and loss account is the account whereby a trader determines the net result of his business transactions. It is the account which reveals the net profit (or net loss) of the trader. The profit and loss account is opened with gross profit transferred from the trading account (or with gross loss which will be debited to profit and loss account). After this all expenses and losses (which have not been dealt in the trading account) are transferred to the debit side of the profit and loss account. If there are any incomes or gains, these will be credited to the profit and loss account. The excess of the gain over the losses is called the net profit and that of the loss over the gain is called the net loss. The account is closed by transferring the net profit or loss to capital account of the trader. Look at Table 10.1 which shows the format of the Profit and Loss Account.

Table 10.1 Format of the Profit and Loss Account

Profit and Loss Account For the year ended

To Gross Loss	Xxxx	By Gross Profit	Xxxx
To Salaries	Xxxx	By Interest Received	Xxxx
To Rent	Xxxx	By Discount Received	Xxxx
To Rent and Rates	Xxxx	By Commission Received	Xxxx
To Discount Allowed	Xxxx	By Other Receipts	Xxxx
To Commission Allowed	Xxxx	By Etc., Etc.	Xxxx
To Insurance	Xxxx		
To Bank Charges	Xxxx	By Net Loss (transferred to	
To Legal Charges	Xxxx	capital account of the trader)	Xxxx
To Repairs	Xxxx		
To Advertising	Xxxx		
To Trade Expenses	Xxxx		
To Office Expenses	Xxxx		
To Bad Debts	Xxxx		
To Travelling Expenses	Xxxx		
To Etc., Etc.	Xxxx		
To Net Profit (transferred to capital account of the trader)	Xxxx		

Closing Entries for Profit and Loss Account

The following usual entries are passed at the end of each trading period.

1. Transferring all expenses or losses:

Profit and loss account

To Each of the various expenses or losses

(This entry will close the expenses accounts)

2. Transferring all items of gains etc:

Various nominal accounts (representing gains)

To Profit and loss account

(This entry will close all the remaining nominal accounts)

3. Transferring net gain to capital account:

Profit and loss account

To Capital account

(This entry closes the P & L account)

4. Transferring net loss to capital account:

Capital account

To Profit and loss account

(This entry closes the P & L account)

Profit and Loss Account in Statement Form/Income Statement

Trading and profit and loss account/income statement may be prepared either in Account form (T form) or in report form (statement form). Trading and profit and loss account in both the forms give the same information. The Account or T form is traditional and is used widely but in recent years many business houses prefer to present the profit and loss account/income statement in the report form. Look at Table 10.2 which shows Profit and Loss Account in Statement Form/Income Statement.

Table 10.2 : Format of Profit and Loss Account/Income Statement in Statement Form

Trading and Profit and Loss Account/Income Statement For the year ended 31st March 2010

Income From Sales			
Sales		-----	
Less: Sales returns	-----		
Sales discount	-----	-----	
	-----	-----	
Net Sales			-----
Cost of Goods Sold			
Merchandise in stock on 1st January		-----	
Purchases	-----		
Less: Purchases returns	-----		

Net purchases		-----	

Cost of goods available for sale		-----	
Less merchandise in stock on 31st December		-----	

Cost of goods sold			-----

<u>Gross Profit</u>			-----
Operating Expenses			
<u>Selling Expenses:</u>			
Sales salaries	-----		
Advertising expenses	-----		
Insurance expense – selling	-----		
Store supplies expenses	-----		
Sundry selling expenses	-----		
Total selling expenses	-----	-----	
			Contd....

<u>General Expenses</u>			
Office salaries	-----		
Taxes	-----		
Insurance expenses general	-----		
Office supplies expenses	-----		
Sundry general expenses	-----		

Total general expenses		-----	

Total operating expenses			-----

Net profit from operations			-----

<u>Other Income</u>			
Rent income		-----	
<u>Other Expenses</u>			
Interest expenses		-----	

<u>Net Profit</u>			-----

Explanation of Certain Items of Income Statement

Income from sales: The total of all charges to customers for goods sold, both for cash and on credit, is reported in this section. Sales returns and allowances and sales discounts are deducted from the gross amount to yield net sales.

Cost of Goods Sold: Cost of goods sold refers to the cost price of goods which have been sold during a given period of time. In order to calculate the cost of goods sold we should deduct from the total cost of goods purchased the cost of goods at the end of the year. This can be explained with the help of following formula/equation:

$$(\text{Opening stock} + \text{Cost of goods purchased}) - \text{Closing stock} = \text{Cost of goods sold}$$

Gross Profit: The excess of the net income from sales over the cost of goods sold is also called gross profit on sales, trading profit or gross margin. It is as gross because all other expenses for the period must be deducted from it to obtain the net profit or net income of the business.

Operating Expenses: The operating expenses also called operating costs of a business may be classified under any desired number of headings and sub-headings. In small retail business it is usually satisfactory to classify operating expenses as selling or general.

1. Expenses that are incurred directly in connection with the sale of goods are known as selling expenses. Selling expenses include: salaries or the salesmen, Store supplies used, depreciation of the Store equipment, and advertising.
2. Expenses incurred in the general administration of the business are known as administrative expenses or general expenses. Examples of general expenses are office salaries, depreciation of equipment, and office supplied used.

Net Profit from Operations: The excess of gross profit on sales over total operating expenses is called net profit or net profit from operations. If operating expenses exceed gross profit, the excess is designated as net loss or net loss from operations.

Other Income: Minor sources of income are classified as other income or non-operating income. In a merchandising business this category often include: income from interest, rent, dividends and gains from the sale of fixed assets.

Other Expenses: Expenses that cannot be associated definitely with the operations are identified as other expenses or non-operating expenses. Interest expense that results from financing activities and losses incurred in the disposal of fixed assets are examples of items reported in this section.

The two categories of non-operating items, other income and other expenses, are offset against each other on the profit and loss account. If the total of other income exceeds the total other expenses, the excess is added to net profit from operations; if the reverse is true, the difference is subtracted from net profit from operations.

Net Profit: The final figure on the profit and loss account is labeled as net profit (or net loss) or net profit carried to balance sheet. It is the net increase in capital from profit making activities.

(Courtesy: http://www.accountingformanagement.com/profit_and_loss_account.htm)

Check Your Progress C

1. Define Break-Even Analysis.

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2. What is meant by Contribution Margin?

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3. What is Gross Margin?

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4. What do you mean by GMROI?

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5. Which of the following statements are **True** or **False**?

- i) The number of times during a given period an inventory on hand is sold or replaced is called inventory turnover.
- ii) The point in business where the total revenue equals the total cost is called break-even point.
- iii) Contribution margin and gross margin represent the same thing.
- iv) GMROI is a measure of inventory's productivity.
- v) Stock to Sales Ratio and Quick Ratio represents the same thing.

10.7 LET US SUM UP

A Retail Store can survive only if it operates in profit and maintains financial efficiency, inventory management, pricing method, control on income and expenditure and finally ability to make the profit margin.

Inventory is the merchandise a Retail Store has on-hand (all stock). The term also refers to the act of counting, itemizing and recording in-stock merchandise or supplies kept in a Store at a particular point of time. Controlling inventory turnover is the key to keeping our shelves stocked with interesting products and keeping the cash flowing.

Once a product or service is sold to a customer, the last thing a Retailer wants is to get that item back. However if such a situation arises, it requires patient listening, offering suggestion, offering In-Store credit or gift cards instead of a cash refund, and satisfying the customer.

There are several formulas to measure the performance of the Store, such as Net Sales, Sales per Square Foot, Sell - Through Rate in %, Stock to Sales Ratio, Quick Ratio or Current Ratio.

Current assets is a financial term or balance sheet item which equals the sum of cash and cash equivalents, accounts receivable, inventory, marketable securities, prepaid expenses, and other assets that could be converted to cash in less than over one year (or in an accounting year).

Break-Even analysis is the point (time) in business where the Total revenue equals the Total cost. There is no profit and no loss.

GMROI is a dynamic measure of inventory's productivity and expresses the relationship between the sales, gross margin earned and the amount invested on the inventory. It can be expressed as a percentage or in sum rupees, stating how many times the Retailer has got his inventory investment back during a year's time.

Profit and Loss Account is the account whereby a trader determines the net result of his business transactions. It is the account which reveals the net profit (or net loss) of the trader.

10.8 KEY WORDS

Closing Stock: The remaining stock of the business at the end of an accounting period.

Cost of Inventory: Cost of holding goods in stock.

Inventory Management: It is primarily about specifying the size and placement of stocked goods.

Opening Stock: Stock of an item at the beginning of a new inventory keeping period.

Stock Keeping Units (SKU): Inventory control count that represents one or more items that will be sold together.

Variable Costs: A cost of labour, material or overhead that changes according to the change in the volume of production units.

10.9 ANSWERS TO CHECK YOUR PROGRESS

C 5 i) True ii) True iii) False iv) True v) False

10.10 TERMINAL QUESTIONS

1. Describe various formulas used for Store inventory management.
2. Explain different ratios that measure the performance of the Store operations
3. What is Break Even Point(BEP)? How is it calculated and how BEP is applied to measure the Store operations?
4. Describe the importance of GMROI and explain the steps involved in calculating it.
5. What is Profit and Loss Account? Describe its various components.

Activities

1. Calculate the Inventory Turnover of a category in a Mall.
2. Study the performance of a Retail Store by using any two formulas and compare the results.

UNIT 11 BRAND V/S PRIVATE LABEL

Structure

- 11.0 Objectives
- 11.1 Introduction
- 11.2 Concept of Brand
- 11.3 Global Brand
 - 11.3.1 Benefits of Global Branding
 - 11.3.2 Global Brand Variables
- 11.4 Local Brand
- 11.5 Ambient Brand
- 11.6 Brand Name
- 11.7 Brand Identity
 - 11.7.1 Visual Brand Identity
 - 11.7.2 Brand Parity
 - 11.7.3 Expanding Role of Brand
- 11.8 Brand Extension & Brand Dilution
- 11.9 Multi-Brands
- 11.10 Private Labels
 - 11.10.1 Why should a Retailer have Private Labels ?
 - 11.10.2 Challenges faced by Private Labels
 - 11.10.3 Evolution of Private Labels in Developing Countries
 - 11.10.4 Future of Private Labels
- 11.11 Branding By ITC a Case Study
- 11.12 Let Us Sum Up
- 11.13 Key Words
- 11.14 Answers to Check Your Progress
- 11.15 Terminal Questions

11.0 OBJECTIVES

After studying this unit, you should be able to:

- explain the meaning and history of Branding;

- discuss the merits of Brands V/s Private label;
- describe the challenges in marketing a Private Label;
- discuss the evolution and growth of Private Labels; and
- explain the future of Private labels.

11.1 INTRODUCTION

Private labels are brands that are not owned by a manufacturer or producer but by a Retailer or Supplier who gets its goods made by a contract manufacturer under its own label. Private label goods and services are available in a wide range of industries from food to cosmetics to Apparels. They are often positioned as lower cost alternatives to regional, national or international brands, although recently some private label brands have been positioned as "premium" brands to compete with existing "name" brands. In the unit, you will learn about the concept of Brand, its types and other aspects. You will also learn about the private labels and the challenges faced by them.

11.2 CONCEPT OF BRAND

A brand is the identity of a specific product, service, or business. A brand can take many forms, including a name, sign, symbol, color combination or slogan. The word **brand** began simply as a way to tell one person's cattle from another by means of a hot iron stamp. A legally protected **brand name** is called a trademark. The word brand has continued to evolve to encompass identity - it affects the personality of a product, Company or service.

A **concept brand** is a brand that is associated with an abstract concept, like breast cancer awareness or environmentalism, rather than a specific product, service, or business. A **commodity brand** is a brand associated with a commodity. AMUL is an example of a commodity brand.

Brand is the personality *that identifies* a product, or Company (name, term, sign, symbol, or design, or combination of them) and how it relates to key constituencies: Customers, Staff, Partners, and Investors etc.

Some people distinguish the psychological aspect, brand associations like thoughts, feelings, perceptions, images, experiences, beliefs, attitudes, and so on that become linked to the brand, of a brand from the experiential aspect.

The experiential aspect consists of the sum of all points of contact with the brand and is known as the **brand experience**. The psychological aspect, sometimes referred to as the **brand image**, is a symbolic construct created within the minds of people, consisting of all the information and expectations associated with a product, service or the Company providing them.

Attractive Qualities or Characteristics of Brand

Brand Recognitions: People engaged in branding seek to develop or align the expectations behind the brand experience, creating the impression that a brand associated with a product or service has certain qualities or characteristics that make it special or unique. A brand is therefore one of the most valuable elements in an advertising theme, as it demonstrates what the brand owner is able to offer in the marketplace. The art of creating and maintaining a brand is called brand management. Orientation of the whole organization towards its brand is called brand orientation.

Careful brand management seeks to make the product or services relevant to the target audience. Brands should be seen as more than the difference between the actual cost of a product and its selling price - they represent the sum of all valuable qualities of a product to the consumer. There are many intangibles involved in business, intangibles left wholly from the income statement and balance sheet which determine how a business is perceived. The learned skill of a knowledge worker, the type of mental working, the type of stitch: all may be without an 'accounting cost' but for those who truly know the product, for it is these people the company should wish to find and keep, the difference is incomparable.

A brand which is widely known in the marketplace acquires **brand recognition**. When brand recognition builds up to a point where a brand enjoys a critical mass of positive sentiment in the marketplace, it is said to have achieved **brand franchise**. One goal in brand recognition is the identification of a brand without the name of the company present. For example, Disney has been successful at branding with their particular script font (originally created for Walt Disney's "signature" logo), which it used in the logo for go.com.

Consumers may look on branding as an important value added aspect of products or services, as it often serves to denote a certain attractive quality or characteristic (see also brand promise). From the perspective of brand owners, branded products or services also command higher prices. Where two products resemble each other,

but one of the products has no associated branding (such as a generic, store-branded product), people may often select the more expensive branded product on the basis of the quality of the brand or the reputation of the brand owner.

Brand Awareness: Brand awareness refers to customers' ability to recall and recognize the brand under different conditions and link to the brand name, logo, jingles and so on to certain associations in memory. It helps the customers to understand to which product or service category the particular brand belongs and what products and services are sold under the brand name. It also ensures that customers know which of their needs are satisfied by the brand through its products (Keller). Brand awareness is of critical importance since customers will not consider your brand if they are not aware of it.

'Brand love', or love of a brand, is an emerging term encompassing the perceived value of the brand image. Brand love levels are measured through social media posts about a brand, or tweets on sites such as Twitter. Becoming a Face book fan of a particular brand is also a measurement of the level of 'brand love'.

Brand Promise: *The marketer and owner of the brand has a vision of what the brand must be and do for the consumers.*

Brand promise is what a particular brand stands for (and has stood for in the past). It has its roots from the identity that it gains over a period of time. Usually, brand promise is an attribute common to 'Parent' brands. Herein, the brand may broadly stand for Quality, Performance, Trust, or False promises. However, the extensions, or the brands under the parent brand umbrella, may stand individually for a particular trait which it has delivered over the years, for example, 'the best sparkling teeth', or 'the trusted bank to bank with for centuries', et al.

11.3 GLOBAL BRAND

A global brand is one which is perceived to reflect the same set of values around the world. Global brands transcend their origins and create strong enduring relationships with consumers across countries and cultures. They are brands sold in international markets. Examples of global brands include: Face book, Apple, Coca-Cola, McDonald's, MasterCard, Gap and Sony. These brands are used to sell the same product across multiple markets and could be considered successful to the extent that the associated products are easily recognizable by the diverse set of consumer.

In addition to taking advantage of the outstanding growth opportunities, the following drives the increasing interest in taking brands global:

- Economies of scale (production and distribution)
- Lower marketing costs
- Laying the groundwork for future extensions worldwide
- Maintaining consistent brand imagery
- Quicker identification and integration of innovations (discovered worldwide)
- Preempting international competitors from entering domestic markets or locking you out of other geographic markets
- Increasing international media reach (especially with the explosion of the Internet) is an enabler
- Increases in international business and tourism are also enabler

11.3.2 Global Brand Variables

The following elements may differ from country to country:

- Corporate slogan
- Products and services
- Product names
- Product features
- Positioning
- Marketing mixes (including pricing, distribution, media and advertising execution)

These differences will depend upon:

- Language differences
- Different styles of communication
- Other cultural differences
- Differences in category and brand development
- Different consumption patterns
- Different competitive sets and marketplace conditions
- Different legal and regulatory environments
- Different national approaches to marketing (media, pricing, distribution, etc.)

1. Define 'Brand'.

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2. Explain the advantage of using a Brand.

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3. What do you mean by Brand Promise?

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4. List the advantages of Global Branding.

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5. Describe the variables in the Global Branding.

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11.4 LOCAL BRAND

Local brand is one sold and marketed (distributed and promoted) in a relatively small and restricted geographical area. A local brand is a brand that can be found in only one country or region. It may be called a regional brand if the area encompasses more than one metropolitan market. It may also be a brand that is developed for a specific national market; however an interesting thing about local brand is that the local branding is more often done by consumers than by the producers. Examples of local brands in India are: Nandini brand milk in Karnataka, Aaray Milk in Maharashtra & Vijaya Milk in Andhra Pradesh.

11.5 AMBIENT BRAND

An ambient brand is a movement, where the brand is organized around values and social needs instead of promoting a specific product. It is a virtual space, defined by values and occupied by a community of like minded people. Whereas a traditional brand is entirely dependent on products and their parent Corporations, an ambient brand is an independent social movement that Companies can participate in. They are not selling products, they are allowing their Company to participate in a social movement and allow their brand to be identified with this. It exists as a shared values space where consumers gather, converse and ultimately transact with organizations that appear to be in alignment with the values associated with that community. Corporations do not create ambient brands. They must qualify for inclusion within them by demonstrating that they share the values and will service the interests of their associated communities. The brands develop organically as a result of emerging social and cultural codes and are materialized through people's ability to organize around them through the use of mainly virtual communities on the web. The term as it is defined here was coined by Sara Batterby, a brand strategist in San Francisco and was used in an interview on the importance of successful destination branding with Bjorn Frode Moen. In India Hindustan Lever pledged 1% of its national sales of Surf Excel brand towards scholarship for students from rural India for higher learning.

11.6 BRAND NAME

Relationship between trade marks and brand

The brand name is quite often used interchangeably with "brand", although it is more correctly used to specifically denote written or spoken linguistic elements of any product. In this context a "brand name" constitutes a type of trademark, if the brand name exclusively identifies the brand owner as the commercial source of products or services. A brand owner may seek to protect proprietary rights in relation to a brand name through trademark registration. Advertising spokespersons have also become part of some brands, for example: Dhoni & Saif Ali Khan for LAYS Chips. Local branding is usually done by the consumers rather than the producers.

Types of Brand Names

Brand names come in many styles. A few include:

Acronym: A name made of initials such as UPS or IBM

Descriptive: Names that describe a product benefit or function like Airbus

Alliteration and rhyme: Names that are fun to say and stick in the mind like Coca-Cola, Head and Shoulders, Krispy Kreme, Bed and Bath, Crunch n Munch etc.

Evocative: Names that evoke a relevant vivid image like Amazon or Crest

Neologisms: Completely made-up words like Wifi or Kodak

Foreign word: Adoption of a word from another language like Volvo or Samsung

Founders' names: Using the names of real people, and founder's name like Hewlett-Packard or Disney

Geography: Many brands are named for regions and landmarks like Cisco and Fuji Film

Personification: Many brands take their names from myth like Nike or from the minds of ad execs like Betty Crocker

The act of associating a product or service with a brand has become part of pop culture. Most products have some kind of brand identity, from common table salt to designer jeans. A brandname is a brand name that has colloquially become a generic term for a product or service, such as Band-Aid or Kleenex, which are often used to describe any brand of adhesive bandage or any brand of facial tissue respectively.

11.7 BRAND IDENTITY

The outward expression of a brand includes its name, trademark, communications, and visual appearance. Because the identity is assembled by the brand owner, it reflects how the owner *wants* the consumer to perceive the brand - and by extension the branded Company, Organization, product or service. This is in contrast to the brand image, which is a customer's mental picture of a brand. The brand owner will seek to bridge the gap between the brand image and the brand identity.

Effective brand names build a connection between the brand personalities as it is perceived by the target audience and the actual product/service. The brand name should be conceptually on target with the product/service (what the Company stands for). Furthermore, the brand name should be on target with the brand demographic. Typically, sustainable brand names are easy to remember, transcend trends and have positive connotations. Brand identity is fundamental to consumer recognition and symbolizes the brand's differentiation from competitors.

Brand identity is what the owner wants to communicate to its potential consumers. However, over time, a product's brand identity may acquire (evolve), gaining new attributes from consumer perspective but not necessarily from the marketing communications an owner percolates to targeted consumers. Therefore, brand associations become handy to check the consumer's perception of the brand.

Brand identity needs to focus on authentic qualities - real characteristics of the value and brand promise being provided and sustained by organizational and/or production characteristics.

11.7.1 Visual Brand Identity

The visual brand identity manual for Mobil Oil developed by Chermayeff & Geismar is one of the first visual identities to integrate logotype, icon, alphabet, color palette, and station architecture to create a comprehensive consumer brand experience.

The recognition and perception of a brand is highly influenced by its visual presentation. A brand's visual identity is the overall look of its communications. Effective visual brand identity is achieved by the consistent use of particular visual elements to create distinction, such as specific fonts, colours, and graphic elements. At the core of every brand identity is a brand mark, or logo. In the United States, brand identity and logo design naturally grew out of the Modernist movement in the 1950s and greatly drew on the principles of that movement – simplicity (Mies van der Rohe's principle of "Less is more") and geometric abstraction. These principles can be observed in the work of the pioneers of the practice of visual brand identity design, such as Paul Rand, Chermayeff & Geismar and Saul Bass.

11.7.2 Brand Parity

Brand parity is the perception of the customers that some brands are equivalent. This means that shoppers will purchase within a group of accepted brands rather than choosing one specific brand. When brand parity is present, quality is often not a major concern because consumers believe that only minor quality differences exist.

11.7.3.1 Expanding Role of Brand

When the technique of branding first started, it was meant to make identifying and differentiating a product easier. Over time, brands came to embrace a

performance or benefit promise, for the product, certainly, but eventually also for the Company behind the brand. Today, brand plays a much bigger role. Brands have been co-opted as powerful symbols in larger debates about economics, social issues, and politics. The power of brands to communicate a complex message quickly and with emotional impact and the ability of brands to attract media attention, make them ideal tools in the hands of activists--and hacktivists.

Check Your Progress B

1. What do you mean by Local Brand?
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2. Explain the concept of the Ambient Brand.
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3. Give one example of each of the following types of brands:

a. Acronym
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b. Descriptive
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c. Evocative
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d. Founders' name
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e. Geography
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4. What is meant by Brand Identity?
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5. Explain Brand Parity.

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11.8 BRAND EXTENSION AND BRAND DILUTION

The existing strong brand name can be used as a vehicle for new or modified products; for example, many fashion and designer Companies extended brands into fragrances, shoes and accessories, home textile, home decor, luggage, sun glasses, furniture, hotels, etc. Brands like Adidas and Puma extended their brand name to personal hygiene by introducing body spray and Deo's. Dunlop extended its brand from tires to other rubber products such as shoes, golf balls, tennis racquets and adhesives.

There is a difference between brand extension and line extension. A line extension is when a current brand name is used to enter a new market segment in the existing product class, with new varieties or flavours or sizes. When Coca-Cola launched "Diet Coke" and "Cherry Coke" they stayed within the originating product category: non-alcoholic carbonated beverages. Procter (P&G) did likewise extending its strong lines (such as Ariel) into neighboring products (Ariel Liquid & Ariel bar) within the same category, washing detergents. Amul succeeded in its brand extension from milk to milk products like chocolates, butter etc.

The risk of over-extension is brand dilution where the brand loses its brand associations with a market segment, product area, or quality, price or cachet.

11.9 MULTI-BRANDS

Alternatively, in a market that is fragmented amongst a number of brands a supplier can choose deliberately to launch totally new brands in apparent competition with its own existing strong brand (and often with identical product characteristics); simply to soak up some of the share of the market which will in any case go to minor brands. The rationale is that having 3 out of 12 brands in such a market will give a greater overall share than having 1 out of 10 (even if much of the share of these new brands is taken from the existing one). In its most extreme manifestation, a supplier pioneering a new market which it believes will be particularly attractive may choose immediately to launch a second brand in competition with its first, in order to pre-empt others entering the market.

Individual brand names naturally allow greater flexibility by permitting a variety of different products, of differing quality, to be sold without confusing the consumer's perception of what business the Company is in or diluting higher quality products.

Once again, Procter & Gamble is a leading exponent of this philosophy, running as many as ten detergent brands in the US market. This also increases the total number of "facings" it receives on Supermarket shelves. Sara Lee, on the other hand, uses it to keep the very different parts of the business separate — from Sara Lee cakes through Kiwi polishes to L'eggs pantyhose. In the hotel business, Marriott uses the name Fairfield Inns for its budget chain (and Ramada uses Rodeway for its own cheaper hotels). Cannibalization is a particular problem of a "multibrand" approach, in which the new brand takes business away from an established one which the organization also owns. This may be acceptable (indeed to be expected) if there is a net gain overall. Alternatively, it may be the price the organization is willing to pay for shifting its position in the market; the new product being one stage in this process.

11.10 PRIVATE LABELS

With the emergence of strong Retailers, private label brands, also called own brands, or Store brands, also emerged as a major factor in the marketplace. Where the Retailer has a particularly strong identity (such as Marks & Spencer in the UK clothing sector and STOP brand of Shoppers Stop) this "own brand" may be able to compete against even the strongest brand leaders, and may outperform those products that are not otherwise strongly branded.

Individual and organizational brands

There are kinds of branding that treat individuals and organizations as the products to be branded. Personal branding treats persons and their careers as brands. The term is thought to have been first used in a 1997 article by Tom Peters. Faith branding treats religious figures and organizations as brands. Religious media expert Phil Cooke has written that faith branding handles the question of how to express faith in a media-dominated culture. Nation branding works with the perception and reputation of countries as brands.

Croudsource Branding

These are brands that are created by the people for the business, which is opposite to the traditional method where the business creates a brand. This type of method

minimizes the risk of brand failure, since the people that might reject the brand in the traditional method are the ones who are participating in the branding process.

11.10.1 Why should a Retailer have Private Labels?

Department stores clearly have an incentive to expand private labels across categories because Private Label margins run between 6 percent and 10 percent higher, on average, than the national brands. Also, Private Labels address consumer demand for differentiation, as the Private Label would be exclusively available only with that Store and not anywhere else in the market. This offers a major competitive advantage. Retailers are constantly looking at their Vendor matrix and ensuring that each Vendor on that matrix is performing up to the standards that have been established for it. If a Brand or Vendor does not measure up, the Retailer sees it as an opportunity to replace it with a Private Brand or another national brand that has more potential.

11.10.2 Challenges faced by Private Labels

Much depends on each chain's ability to design and source Private Label product efficiently. The decision process for all chains involves a painstaking analysis of sell-through and profitability at each category level.

Some of the Challenges faced by Private Labels are:

- Brands are nationally advertised and have the perception of quality and style that it takes years for Private Labels to reach.
- Retailers usually do not market their Private Labels externally, so it is a challenge to establish the positioning of the brand and build up adequate brand awareness.
- Retailers contract the manufacturing of these products to a third party and much depends on the abilities of the Suppliers to supply the right quality product at the right time and at right cost.
- Private Labels would not work by just keeping the products cheap. Retailers must look at developing good quality and value-added products
- As the Private Labels are exclusively manufactured for consumption within the Retailers' Stores and not distributed elsewhere, it is a challenge for the Retailers to achieve the required volumes to benefit from economies of scale which is critical for cost efficiency. Besides developing a good quality brand has a high development and innovation cost attached to it. To be able to absorb such costs, Retail chains will need to scale up.

- As the Retailer is solely responsible for the product , it is critical that they get the product and the buys right , else it poses a real problem . Line failures or excess inventory could prove very expensive due to high markdown liabilities and write offs.
- In fashion products the risks are even higher as their shelf lives are low . Department store chains do not have the ability to change the assortment quickly the way the speciality chains do.

11.10.3 Evolution of Private Labels in Developing Countries

Private labels have come a long way over the last three decades. They started with Retailers wanting to offer cheaper substitutes. This was for two reasons. One, having a Private Label meant that Retailers could negotiate a better margin from the manufacturer. And the other, when they had Private Labels they had a differentiator. While every shop sold a Coca-Cola and Pepsi, a Private Label meant that the Store now had something that other Stores did not. In India several Private Label brands were launched to compete with Coca-Cola such as Thums up, Duke's Cola, Campa Cola etc.

The biggest change in the last decade or so has been the entry of premium Private Labels. They are no longer saying “buy us because we are cheap”, instead today, they are saying “buy us because we are the best”. By offering high quality products, many Private Labels have started charging more than regular manufacturers.

Today, Retailers have realised that by having top quality Private Labels they can differentiate themselves from other Stores and be a destination Store.

11.10.4 Future of Private Labels

Private Retailers will occupy 50 per cent of the market the world over. At 50 per cent, they begin to saturate. If they try to occupy more than this, then consumers feel that there are not enough choices. In countries such as Switzerland and the UK, Private Labels have reached this limit and these markets have saturated. But they will continue grow in the other countries till they reach the same level. And this will happen very soon in India, too.

Overall in India Private Labels constitute 10-12 percent of the organized Retail product mix. Among the major Indian players, the degree of Private Label penetration is the highest in Trent with 90 percent, followed by Reliance Retail (80 percent), Pantaloon at (75 percent), Shoppers Stop (20 percent).

In comparison, international Retailers like the US-based Wal-Mart and Tesco of the UK have 40 per cent and 55 per cent own label brands representation in their Stores, respectively.

11.11 BRANDING BY ITC A CASE STUDY

John Players

ITC's John Players offers a complete and vibrant wardrobe of Casual wear, Party wear, Work wear, Denims, Outer wear and Suits & Jackets, incorporating the most contemporary trends, an exciting mix of colours, playful styling, trendy textures and comfortable fits. With a distinctive presence across segments at the premium end, ITC has also established John Players as a brand at its **Wills Life Style**. Stores that offers a complete fashion wardrobe to the male youth of today. With its brands, ITC is committed to build a dominant presence in the apparel market through a robust portfolio of offerings.

ITC forayed into the youth fashion segment with the launch of **John Players** in December 2002 and **John Players** is committed to be the No. 1 fashion brand for the youth. This foray leverages ITC's proven competencies in understanding consumer insights, brand building and design capabilities. **John Players** offers a complete and vibrant wardrobe of Casual wear, Party wear, Work wear, Denims, Outer wear and Suits & Jackets, incorporating the most contemporary trends, an exciting mix of colours, playful styling, trendy textures and comfortable fits. The brand is available across the country through a nation-wide network of over 220 exclusive Stores and over 1500 Multi-brand Outlets.

At the Images Fashion Awards 2005, John Players was declared '**The Most Admired Shirt Brand of the Year**'. At the Images Fashion Awards 2007, John Players was awarded the '**The Most Admired Fashion Campaign of the Year**' award. With Celebration Gift Certificates, **John Players** presents a new way of festive gifting. John Players offers a complete and vibrant wardrobe of Casual wear, Party wear, Work wear, Denims, Outer wear and Suits & Jackets, incorporating the most contemporary trends, an exciting mix of colors, playful styling, trendy textures and comfortable fits.

Check Your Progress C

1. What do you mean by Private Labels?

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2. Describe briefly the concept of brand extension. When does it change into brand dilution?

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3. Write the challenges faced by Private Labels.

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4. How do Private Labels help the retailer?

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5. Which of the following statements are **True** or **False**?

- i) Coca-Cola is a local brand.
- ii) Global branding lowers market costs.
- iii) Aeray Milk is a global brand.
- iv) Marks & Spencer is a Private Label.
- v) “Buy us because we are the best” has been coined by some companies using their Private Label.

11.12 LET US SUM UP

Brand is the personality that identifies a product, service or company (name, term, sign, symbol, or design, or combination of them) and how does it relate to key constituencies: Customers, Staff, Partners, and Investors etc.

A brand which is widely known in the marketplace acquires brand recognition. When brand recognition builds up to a point where a brand enjoys a critical mass of positive sentiment in the marketplace, it is said to have achieved brand franchise. One goal in brand recognition is the identification of a brand without the name of the Company present.

Brand awareness refers to customers’ ability to recall and recognize the brand under different conditions and link to the brand name, logo, jingles and so on to certain associations in memory.

Brand promise is what a particular brand stands for (and has stood for in the past). It has its roots from the identity that it gains over a period of time.

A global brand is one which is perceived to reflect the same set of values around the world.

Besides taking advantage of the outstanding growth opportunities, there are many other advantages of brands global. However, there are many elements that differ from country to country in global brands.

Brand names come in many styles, such as acronym, descriptive, alliteration and rhymes, evocative, neologisms, foreign word, founders' names, geography, personification, etc.

With the emergence of strong Retailers, Private Label Brand, also called own brands, or Store brands, also emerged as a major factor in the marketplace. However, much depends on each chain's ability to design and source Private Label product efficiently. There are many challenges faced by Private Labels.

11.13 KEY WORDS

Accounting Cost: The actual outlays or expenses incurred in production that shows up a firm's accounting statements or records.

Brand Franchise: Arrangement between a brand name manufacturer and a wholesaler, or retailer that gives the wholesaler or retailer the exclusive right to sell the brand manufacturer's product in a specific territory.

Contract Manufacturer: An organization that makes products under contract for other companies.

Cosmetics: A preparation, such as powder or a skin cream, designed to beautify the body by direct application.

Intangibles: Something of value that cannot be physically touched, such as a brand, franchise, trademark or patent.

Logo: A name, symbol, or trademark designed for easy and definite recognition.

Trademark: A word, a name, a symbol, a device, or a combination of them that indicates the source of goods or services.

11.14 ANSWERS TO CHECK YOUR PROGRESS

C 5 i) False ii) True iii) False iv) True v) True

11.15 TERMINAL QUESTIONS

1. Explain briefly the concept of 'Brand' and advantages of using a brand.
2. Giving suitable examples, describe Global Brand and its advantages.
3. What is a private label? What are the major challenges faced by it.
4. Giving suitable examples, describe the significance of Private label in Indian context.
5. What is meant by Brand Identity? Explain the extending role of branding.

Activities

1. Identify the global brand of a category in a Mall and compare its performance in relation to a Private Label.
2. List out Private Labels offered by the nearby Mall.